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China Consumer

Cheap but unloved – stay selective while waiting for the earnings floor

China Consumer

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Key thesis

China Consumer Top Picks: (1) **Nongfu (OW)**: strong brand momentum and margin buffer; (2) **Anta (OW)**: well-executed multi-brand portfolio and overseas upside; (3) **Guming (OW)**: continued runway for network growth and improving brand equity.

- **Earnings revisions YTD:** 2026 consensus EPS is down 9% for Staples and 7% for Discretionary. 80% of our coverage is down YTD, led by Baijiu, beauty, etc. Winners on revisions are fewer but real: **Guming, Laopu, Li Ning, and Nongfu**. “Full pricing” of cost pressure may not show up until late 2026.
- **What if the Iran conflict ended now?** Packaging and industrial inputs (e.g. PE/PET) are up 15-40% vs the 2025 average. JPM China Economics team forecasts PPI at 3.5%/3.9%/3.5% in 2-4Q26 and CPI at 1.3%/1.4%/1.1%, widening the CPI-PPI gap to -2.9pp. In this tape, Baijiu and beer look more insulated (less cut-throat competition), while beverages are more exposed. Pricing power matters: **Moutai, major brewers, and Haitian** should be better positioned to pass costs through.
- **Alpha comes from operator quality, not beta.** Demand may stay headline-noisy, but the real story is the split underneath. Operator quality – not broad category beta – should be the primary source of alpha. Based on our scoring across fundamentals (demand/supply/pricing/ margins), returns (dividends), and valuation, sportswear, pop toys, and white appliances stand out over the next 3-5 years. In our coverage, we like **Anta, Pop Mart, and Midea**.
- **Catalysts to watch and strategy:** Cost inflation hitting from 3Q26 is a headwind for beverages. Mid-Autumn Festival and October Golden Week are key read-throughs for baijiu and gold/jewelry. **Positioning:** add FMD after June (**Guming, Luckin, Chagee**); avoid **beverages** (especially crowded dividend trades) in 3Q26. Comps get friendlier over time: **Moutai (N)** from 3Q26, **FMD and Pop Mart (N)** from 4Q26, and beverages from 2Q27.

Focus Charts

Earnings revisions and share price performance																
Company name	Sub-sector	BBG Ticker	Price (LC)	Mkt Cap (USDmn)	Net profit YoY		NP CAGR 25-27E	FY26 sales revisions			FY26 NP revisions			Share performance		
					2026E	2027E		1Q26	2QTD	YTD	1Q26	2QTD	YTD	1M	3M	YTD
China/HK SAR Staples																
Moutai - A	Baijiu	600519 CH	1240.0	229,024	4.1%	6.6%	5.4%	-2%	-6%	-8%	-2%	-10%	-11%	-6%	-16%	-10%
Wuliangye - A	Baijiu	000858 CH	77.5	44,440	126.3%	9.1%	57.2%	-5%	-20%	-24%	-5%	-20%	-24%	-9%	-25%	-27%
Luzhou Laojiao - A	Baijiu	000568 CH	82.9	18,037	-4.6%	8.8%	1.8%	-3%	-11%	-14%	-4%	-12%	-16%	-8%	-22%	-29%
Yanghe - A	Baijiu	002304 CH	42.1	9,366	29.4%	15.6%	22.3%	-3%	-10%	-13%	-12%	-23%	-32%	-7%	-18%	-31%
Budweiser APAC	Beer	1876 HK	6.7	11,238	20.5%	9.5%	14.9%	-3%	-1%	-4%	-15%	-4%	-18%	-12%	-9%	-12%
CRB	Beer	291 HK	22.1	9,157	51.7%	6.4%	27.0%	-2%	-1%	-3%	-2%	-1%	-3%	-16%	-14%	-16%
Tsingtao - A	Beer	600600 CH	56.1	9,796	9.2%	5.3%	7.2%	-1%	0%	-1%	-2%	-1%	-3%	-9%	-11%	-8%
Tsingtao - H	Beer	168 HK	46.9	9,796	9.2%	5.3%	7.2%	-1%	0%	-1%	-2%	-1%	-3%	-8%	-5%	-4%
Nongfu Spring	Beverage	9633 HK	42.8	61,365	13.0%	12.8%	12.9%	5%	0%	5%	4%	0%	4%	0%	-1%	-9%
Eastroc - A	Beverage	605499 CH	125.4	13,402	31.5%	18.5%	24.9%	0%	-1%	-1%	-1%	-2%	-4%	-12%	-30%	-39%
CR Beverage	Beverage	2460 HK	7.6	2,314	12.0%	16.0%	14.0%	-6%	-2%	-8%	-20%	-8%	-26%	-7%	-21%	-25%
Mixue Group	FMD	2097 HK	253.8	12,294	7.5%	13.2%	10.3%	0%	0%	0%	-4%	-1%	-5%	-3%	-26%	-38%
Luckin Coffee	FMD	LKNCY US	30.7	8,786	34.1%	26.0%	30.0%	0%	2%	1%	-7%	1%	-7%	-3%	-10%	-8%
Guming	FMD	1364 HK	21.2	6,446	23.5%	20.5%	22.0%	12%	2%	14%	20%	3%	24%	-6%	-27%	-14%
Chagee	FMD	CHA US	11.5	2,198	51.0%	9.3%	28.4%	-2%	-10%	-12%	-4%	-19%	-23%	13%	5%	-1%
WH Group	Meat	288 HK	8.9	14,538	-2.4%	2.2%	-0.1%	-1%	0%	0%	0%	1%	1%	-5%	-8%	2%
Yum China	QSR & Condiment	YUMC US	43.3	15,032	-1.9%	8.8%	3.3%	0%	-1%	0%	0%	-1%	-1%	-5%	-18%	-9%
Haitian - A	QSR & Condiment	603288 CH	33.3	28,489	14.0%	10.6%	12.3%	1%	0%	1%	0%	0%	1%	-8%	-14%	-9%
Yili - A	Dairy	600887 CH	24.7	23,056	5.2%	8.1%	6.6%	0%	0%	-1%	-1%	2%	0%	-10%	-8%	-14%
Mengniu	Dairy	2319 HK	15.8	7,816	144.7%	10.9%	64.7%	0%	0%	1%	-7%	0%	-7%	-9%	-5%	6%
Feihe	Dairy	6186 HK	3.0	3,417	4.7%	6.7%	5.7%	-6%	-2%	-8%	-17%	-6%	-22%	-6%	-22%	-25%
Simple average					27.9%	11.3%	18.3%	-1%	-2%	-3%	-2%	-7%	-9%	-7%	-15%	-13%
China/HK SAR Discretionary																
Midea - A	Home app	000333 CH	79.2	88,779	6.7%	8.4%	7.5%	1%	0%	0%	0%	-3%	-3%	-4%	3%	1%
Haier - H	Home app	6690 HK	21.0	27,170	1.7%	8.7%	5.2%	-2%	-2%	-4%	-8%	-6%	-13%	2%	-16%	-14%
Haier - A	Home app	600690 CH	20.5	27,170	1.7%	8.7%	5.2%	-2%	-2%	-4%	-8%	-6%	-13%	-3%	-18%	-21%
Gree - A	Home app	000651 CH	37.2	30,745	0.1%	3.4%	1.7%	-1%	-3%	-3%	-2%	-5%	-6%	-6%	-5%	-8%
Ecovac - A	Home app	603486 CH	53.3	4,558	26.8%	18.1%	22.4%	-2%	0%	-1%	-4%	-4%	-8%	-22%	-16%	-34%
Supor - A	Home app	002032 CH	41.7	4,926	7.8%	6.7%	7.2%	-1%	-1%	-2%	-3%	-2%	-5%	-13%	-7%	-5%
Robam - A	Home app	002508 CH	15.6	2,181	16.6%	6.3%	11.4%	-2%	-8%	-10%	-3%	-16%	-18%	-11%	-25%	-19%
Bosideng	Apparel	3998 HK	4.1	6,083	20.3%	1.4%	10.5%	-3%	-1%	-4%	-4%	-1%	-6%	-2%	0%	-9%
HLA Corp - A	Apparel	600398 CH	5.7	4,023	4.8%	8.8%	6.8%	0%	-1%	0%	-4%	-6%	-10%	-4%	-9%	-6%
Semir - A	Apparel	002563 CH	5.2	2,078	16.1%	10.9%	13.5%	0%	-2%	-2%	0%	-8%	-8%	-9%	-6%	-4%
Peacebird - A	Apparel	603877 CH	13.0	907	58.0%	23.2%	39.5%	0%	-7%	-7%	-7%	-7%	-13%	-5%	-13%	-10%
Botanee - A	Beauty	300957 CH	33.6	2,102	23.6%	16.3%	19.9%	-1%	0%	-1%	-3%	4%	1%	-14%	-20%	-15%
Proya - A	Beauty	603605 CH	66.0	3,861	9.8%	9.9%	9.8%	-3%	-6%	-9%	-4%	-7%	-11%	17%	-2%	-4%
Jahwa - A	Beauty	600315 CH	18.1	1,801	149.4%	29.1%	79.5%	1%	-1%	0%	-13%	-10%	-22%	-2%	-17%	-19%
Marubi - A	Beauty	603983 CH	21.8	1,289	45.4%	19.5%	31.8%	-1%	-11%	-12%	-3%	-25%	-27%	-12%	-21%	-34%
Chicmax	Beauty	2145 HK	31.6	1,641	18.5%	20.9%	19.7%	4%	0%	4%	-2%	-2%	-5%	-23%	-48%	-57%
CTG Duty Free - A	Duty-free shop	601888 CH	56.8	17,257	42.1%	18.0%	29.5%	0%	-4%	-3%	3%	2%	5%	-2%	-24%	-40%
Pop Mart	IP merchandise	9992 HK	171.3	29,110	13.3%	16.9%	15.1%	-7%	-6%	-13%	-9%	-10%	-18%	14%	-23%	-9%
Miniso - ADR	IP merchandise	MNSO US	12.2	3,763	162.9%	13.5%	72.8%	0%	0%	1%	-1%	-11%	-12%	-15%	-29%	-35%
Miniso - H	IP merchandise	9896 HK	24.1	3,813	162.9%	13.5%	72.8%	0%	0%	1%	-1%	-11%	-12%	-14%	-30%	-34%
Chow Tai Fook^	Jewelry	1929 HK	12.6	15,811	39.3%	-0.7%	17.6%	-8%	-3%	-11%	1%	-1%	0%	14%	7%	1%
Laopu Gold	Jewelry	6181 HK	452.0	10,194	70.8%	20.6%	43.5%	16%	5%	23%	17%	6%	25%	-17%	-33%	-27%
Lao Feng Xiang - A	Jewelry	600612 CH	34.9	2,264	-10.1%	7.5%	-1.7%	2%	-9%	-7%	0%	-11%	-11%	-6%	-18%	-22%
Anta	Sportswear	2020 HK	72.1	25,730	6.9%	9.1%	8.0%	0%	1%	1%	-4%	1%	-4%	-5%	-8%	-10%
Li Ning	Sportswear	2331 HK	16.6	5,465	-8.2%	12.6%	1.7%	4%	1%	4%	7%	1%	8%	-10%	-18%	-11%
Xtep	Sportswear	1368 HK	4.1	1,472	-6.5%	13.4%	3.0%	-2%	-2%	-4%	-7%	-9%	-16%	-2%	-18%	-23%
Shenzhou	Textiles	2313 HK	42.7	8,181	3.5%	10.2%	6.8%	-2%	-5%	-8%	-6%	-12%	-17%	-7%	-23%	-30%
Luolai - A	Textiles	002293 CH	10.1	1,242	12.8%	12.6%	12.7%	0%	0%	0%	1%	1%	2%	-9%	0%	-2%
Luthai - A	Textiles	000726 CH	5.8	633	28.0%	11.0%	19.2%	-4%	-9%	-13%	-2%	-10%	-12%	-6%	-22%	-19%
Best Pacific	Textiles	2111 HK	2.5	337	-1.2%	12.1%	5.2%	-5%	-1%	-5%	-11%	-5%	-15%	-9%	-19%	-22%
Simple average					31.9%	12.8%	20.7%	-1%	-2%	-3%	-3%	-7%	-7%	-3%	-10%	-11%

Note: ^ refers to year end in Mar.

Focus Charts

China/HK consumer staples valuation

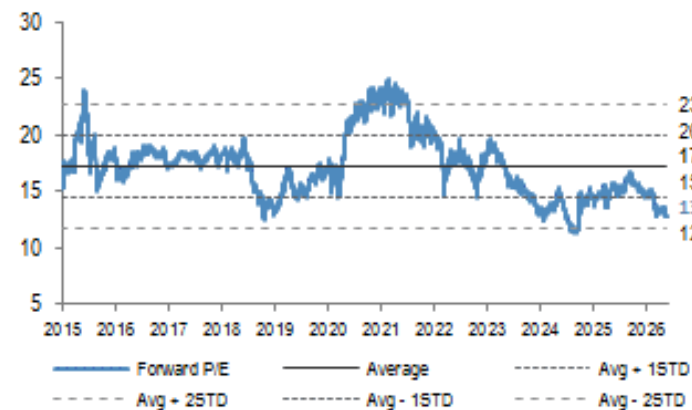
Trading at 16x forward P/E, 1.5 STD below 10-year mean



Source: Bloomberg Finance L.P. and J.P. Morgan.

China/HK consumer discretionary valuation

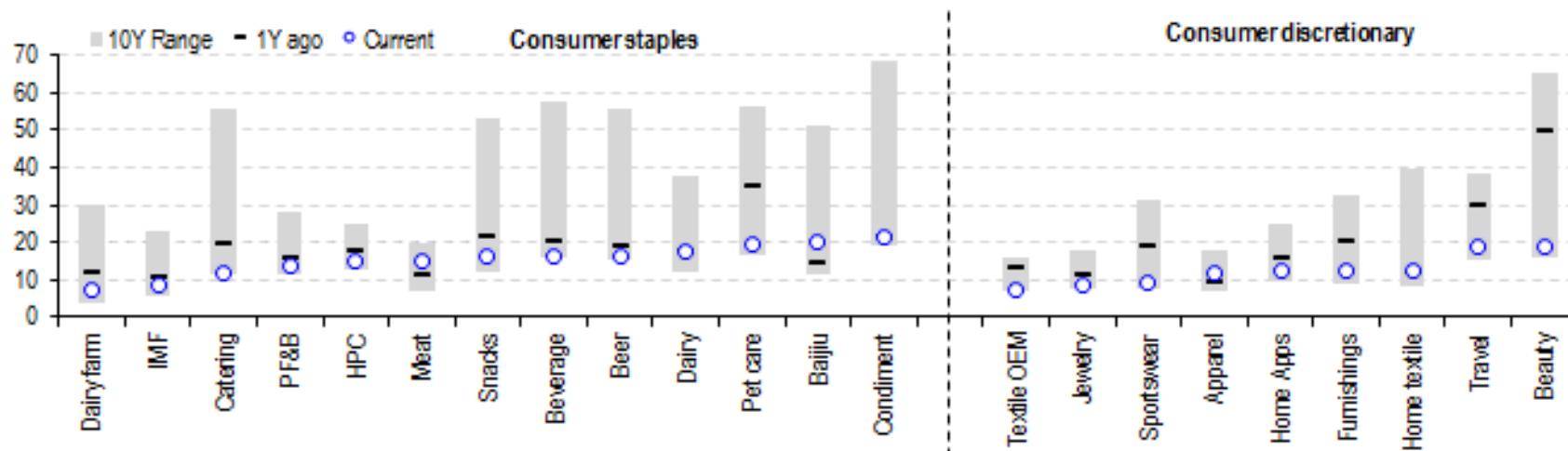
Trading at 13x forward P/E, 1.5 STD below 10-year mean



Source: Bloomberg Finance L.P. and J.P. Morgan.

Current P/E multiple vs 10Y range

Beverage, beer, condiments, catering, sportswear, beauty, jewelry are trading in the bottom decile of their respective 10Y valuation ranges



Source: Bloomberg Finance L.P. and J.P. Morgan.

Sector View Updates

- **Specialty retail – more than just a craze.** The surging demand for pop toys is not a passing fad but represents long-term structural growth, in our view. Our TAM analysis, using both population and GDP benchmarks, suggests a potential store count of 1,000-3,000 for **Pop Mart**, implying 76% to 4x upside from the current base (630 stores at end-2025), and a 5- year revenue CAGR of 12%-40%.
- **Bubble & Brew – who is still running?** Divergence is emerging in expansion: **Luckin** and **Guming** to grow store counts by approx. 31% and 51% through 2027, while **Mixue** (mainly **Lucky Cup**) should decelerate as network saturation sets in. Boundaries between coffee, tea and bakery are blurring. Price competition has eased in 2026 YTD, with players pivoting from aggressive discounting toward higher-ASP product launches.
- **RTD beverage – demand thriving while competition intensifying.** Sports drink is the fastest-growing category within China's soft drinks market, 14.7% CAGR in 2019-25 and 11% through 2030E. Competition is intensifying, with Danone (OW, covered by Celine Pannuti), Eastroc, Nongfu Spring, and Chi Forest (not covered) competing head-to-head (market shares of 13-19% each). Cost pressure from PET price sensitivity remains a key theme into 2H26, with **Nongfu** positioned as the most resilient player (30% NPM in 2025).
- **Baijiu – the dawn is not far off; Moutai DTC under the spotlight.** The baijiu sector's prosperity is shaped by three overlapping cycles – macro (including property), supply-demand (pricing), and policy – and the industry is approaching the **late stages of its downturn and the early innings of recovery**. Property prices in tier-1 cities are showing tentative signs of stabilization. **Moutai's** DTC reform successfully expands its customer base to mass-market while wholesale prices have stabilized above Rmb1,600.
- **Beer – embracing new channels.** China's beer market has entered volume maturity, with the growth algorithm decisively shifting to premiumization and a structural channel migration from on-trade to off-trade. **CR Beer** is best positioned with 70% off-trade mix. An early and hot summer could act as catalysts.

Valuation – China consumer staples

Company	BBG ticker	Rating	MCap USDmn	Avg TO USDmn	Price (LC)	EPS cagr 25-27e	P/E (x)		PEG(x)		EV/EBITDA(x)		Div yield (%)		Share performance				
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	1D	5D	1M	3M	YTD
Baijiu																			
Kweichow Moutai	600519 CH	N	229,044	822	1,240	5%	18.1	17.0	4.3	2.6	12.7	11.9	4.3	4.6	0%	-3%	-6%	-16%	-10%
Wuliangye	000858 CH	UW	44,444	319	77.49	55%	15.0	13.9	0.1	1.7	7.2	6.5	6.1	5.9	0%	-3%	-9%	-25%	-27%
Luzhou Laojiao	000568 CH	N	18,039	164	82.94	1%	11.8	11.1	n.m.	1.7	6.8	6.3	6.2	6.5	0%	-3%	-8%	-22%	-29%
Fen Wine	600809 CH	NC	21,217	149	117.70	2%	12.1	11.3	n.m.	1.7	8.3	7.7	5.3	5.7	0%	-2%	-9%	-26%	-31%
Yanghe	002304 CH	UW	9,367	51	42.08	21%	21.9	19.1	0.8	1.3	9.7	8.5	6.1	5.6	0%	-3%	-7%	-18%	-31%
Simple average							15.8	14.5	1.7	1.8	8.9	8.2	5.6	5.7					
Market cap weighted average							17.1	15.9	3.1	2.3	11.2	10.5	4.8	5.0					
Beer																			
CR Beer	291 HK	OW	9,066	36	21.90	27%	10.6	9.9	0.2	1.3	5.9	5.6	5.7	6.4	-1%	-7%	-16%	-14%	-16%
Budweiser	1876 HK	N	11,238	14	6.65	18%	17.7	16.0	0.7	1.5	5.4	5.1	6.6	6.8	0%	-5%	-12%	-9%	-12%
Tsingtao Brewery - A	600600 CH	N	9,797	47	56.10	7%	15.9	15.1	1.7	2.9	6.2	5.9	4.4	4.6	0%	-8%	-9%	-11%	-8%
Tsingtao Brewery - H	168 HK	OW	9,797	23	46.88	4%	11.4	11.6	1.1	n.m.	6.4	6.0	6.1	6.5	0%	-5%	-8%	-5%	-4%
Simple average							13.9	13.1	0.9	1.9	5.9	5.6	5.7	6.1					
Market cap weighted average							14.1	13.3	0.9	1.4	5.9	5.6	5.7	6.1					
F&B, Dairy																			
Want Want	151 HK	NC	6,084	5	4.04	0%	10.1	9.6	n.m.	1.6	5.6	5.3	5.0	5.5	0%	-3%	-3%	-16%	-13%
Tingyi	322 HK	NC	7,381	20	10.26	5%	11.1	10.4	2.9	1.5	5.7	5.5	8.9	9.4	0%	-2%	-12%	-17%	-9%
Uni-President	220 HK	NC	3,930	8	7.13	9%	11.9	11.2	1.2	1.6	5.8	5.4	8.3	8.8	0%	-2%	-9%	-9%	-12%
WH Group	288 HK	OW	14,539	37	8.88	3%	9.0	8.7	4.6	2.2	5.4	5.2	6.2	6.5	0%	1%	-5%	-8%	2%
Yili	600887 CH	OW	23,058	199	24.67	7%	12.7	11.7	2.5	1.4	11.1	10.5	5.8	6.5	0%	-4%	-10%	-8%	-14%
Mengniu	2319 HK	OW	7,816	45	15.80	65%	10.8	9.7	0.1	0.9	6.2	5.9	4.5	5.0	0%	-4%	-9%	-5%	6%
Feihe	6186 HK	OW	3,406	12	3.03	7%	9.9	9.2	1.7	1.2	4.4	4.3	8.3	7.8	0%	-4%	-6%	-23%	-25%
Simple average							10.8	10.1	2.2	1.5	6.3	6.0	6.7	7.1					
Market cap weighted average							11.1	10.3	2.4	1.6	7.5	7.1	6.3	6.8					
Beverage																			
Nongfu Spring	9633 HK	OW	61,109	38	42.58	13%	23.1	20.5	1.7	1.6	15.1	13.4	2.9	3.3	0%	0%	-1%	-2%	-9%
Eastroc Beverage - A	605499 CH	N	13,401	98	125.39	22%	16.1	13.6	0.7	0.7	10.5	9.0	3.4	3.8	0%	-6%	-12%	-30%	-39%
Eastroc Beverage - H	9980 HK	OW	13,401	13	118.00	22%	13.1	11.0	0.5	0.6	9.0	7.7	3.1	3.5	0%	-10%	-29%	-29%	
CR Beverage	2460 HK	N	2,289	4	7.48	14%	0.7	0.6	0.1	0.0	4.7	4.1	2.9	3.4	-1%	-7%	-8%	-22%	-26%
Simple average							13.3	11.4	0.7	0.7	9.8	8.6	3.1	3.5					
Market cap weighted average							20.0	17.6	1.3	1.3	13.2	11.7	3.0	3.4					
Restaurants																			
Yum China	YUMC US	OW	15,032	73	43.28	10%	14.9	13.5	1.5	1.3	7.7	7.0	2.7	3.0	-1%	-1%	-5%	-18%	-9%
Haidilao	6862 HK	NC	8,294	40	11.66	9%	12.2	11.1	1.5	1.1	6.5	6.1	6.7	7.3	0%	-5%	-18%	-29%	-18%
Xiaocaiyuan	999 HK	NC	1,032	2	6.90	1%	11.1	9.5	n.m.	0.6	4.9	4.4	5.5	6.2	1%	5%	3%	-14%	-27%
Simple average							12.7	11.3	1.5	1.0	6.4	5.8	5.0	5.5					
Market cap weighted average							13.8	12.5	1.4	1.2	7.2	6.6	4.2	4.6					
FMD																			
Mixue	2097 HK	UW	12,208	23	252.00	10%	12.9	11.4	1.8	0.9	7.8	6.9	0.9	1.6	-1%	-8%	-4%	-26%	-39%
Luckin	LKNCY US	OW	8,786	63	30.69	19%	15.3	13.1	0.7	0.8	6.3	5.0	0.0	2.2	-1%	1%	-3%	-10%	-8%
Guming	1364 HK	OW	6,446	20	21.24	38%	13.1	10.8	0.2	0.5	10.6	8.8	3.1	4.2	0%	-4%	-6%	-27%	-14%
Chagee	CHA US	OW	2,198	9	11.52	22%	8.1	7.5	0.2	1.0	4.9	4.4	4.7	6.6	0%	-2%	13%	5%	-1%
Baicha Baidao	2555 HK	NC	916	2	4.86	17%	6.8	6.0	0.3	0.5	2.7	2.4	10.0	11.4	0%	-3%	-12%	-17%	-26%
Auntea Jenny	2589 HK	NC	2,014	4	150.00	17%	22.9	19.9	1.2	1.4	13.8	12.1	2.0	1.7	1%	1%	-5%	90%	75%
Simple average							13.2	11.5	0.7	0.8	7.7	6.6	3.5	4.6					
Market cap weighted average							13.7	11.8	1.0	0.8	8.0	6.8	1.7	2.9					
Snack-chains																			
BusyMing	1768 HK	NC	9,463	19	340.40	32%	17.7	14.2	0.4	0.6	11.7	9.4	1.3	1.6	0%	-10%	-20%	-17%	
Wanchen	300972 CH	NC	5,200	60	178.35	56%	13.9	10.8	0.2	0.4	6.1	5.1	1.6	2.2	0%	-3%	-20%	-9%	-11%
Simple average							15.8	12.5	0.3	0.5	8.9	7.2	1.4	1.9					
Market cap weighted average							16.3	13.0	0.3	0.5	9.7	7.8	1.4	1.8					

Note: Revenue, EPS CAGR and valuation multiples based on Bloomberg consensus. Prices as of 17 Jun 2026 market close. NC: Not covered. Past performance is not an indicator of future results. Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Valuation – China consumer discretionary

Company	BBG ticker	Rating	MCap USDmn	Avg TO USDmn	Price (LC)	EPS cagr 25-27e	P/E (x)		PEG(x)		EV/EBITDA(x)		Div yield (%)		Share performance				
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	1D	5D	1M	3M	YTD
Lifestyle retail																			
Pop Mart	9992 HK	N	28,125	449	165.50	15%	13.2	11.3	0.9	0.7	8.7	7.5	1.9	2.2	-3%	-7%	10%	-25%	-12%
MINISO - ADR	MNSO US	OW	3,763	11	12.15	71%	8.3	7.4	0.1	0.6	5.7	5.3	6.1	8.7	-1%	-8%	-15%	-29%	-35%
MINISO - H	9896 HK	OW	3,794	17	24.00	71%	8.4	7.5	0.1	0.6	5.7	5.3	6.0	8.6	0%	-6%	-14%	-30%	-34%
Bloks	325 HK	NC	1,534	7	48.52	27%	12.8	10.0	0.5	0.4	7.6	5.9	0.5	1.0	0%	-10%	-14%	-24%	-28%
Simple average							10.7	9.0	0.4	0.6	6.9	6.0	3.6	5.1					
Market cap weighted average							12.2	10.4	0.7	0.6	8.1	7.0	2.7	3.5					
Home appliance																			
Midea	000333 CH	OW	88,625	371	79.22	8%	12.8	11.8	1.8	1.4	10.3	9.5	5.6	6.0	0%	-7%	-4%	3%	1%
Haier Smart Home - A	600690 CH	OW	27,026	156	20.49	5%	9.5	8.7	4.5	1.0	6.7	6.2	5.9	6.6	0%	-3%	-3%	-18%	-21%
Haier Smart Home - H	6690 HK	OW	27,027	51	20.60	6%	8.3	7.4	7.0	0.7	6.9	6.4	6.7	7.8	-2%	-4%	0%	-18%	-15%
Gree	000651 CH	N	30,748	229	37.15	44%	7.1	6.8	0.1	1.8	4.1	3.9	7.8	8.0	0%	-4%	-6%	-5%	-8%
Hisense	000921 CH	NC	5,280	37	27.88	16%	11.6	10.6	0.5	1.2	5.3	4.8	4.6	5.0	0%	-5%	16%	21%	12%
Robam	002508 CH	N	2,181	20	15.62	12%	10.5	10.0	0.6	2.2	7.1	6.6	5.8	6.1	0%	-5%	-11%	-25%	-19%
Joyoung	002242 CH	NC	950	18	8.43	217%	28.2	24.4	0.0	1.5	27.5	21.1	2.2	2.5	0%	0%	-20%	-20%	-19%
Ecovacs Robotics	603486 CH	UW	4,559	65	53.32	22%	14.6	12.4	0.5	0.7	9.6	8.2	2.0	2.3	0%	-4%	-22%	-16%	-34%
Simple average							12.7	11.3	1.7	1.2	9.5	8.1	4.6	5.1					
Market cap weighted average							10.8	9.9	2.5	1.2	8.1	7.5	5.9	6.4					
Sportswear brand and retailer																			
ANTA	2020 HK	OW	25,517	97	71.50	8%	12.0	11.0	1.7	1.2	6.7	6.2	4.0	4.5	-1%	-4%	-6%	-9%	-11%
Li Ning	2331 HK	OW	5,390	49	16.34	2%	11.9	10.5	n.m.	0.8	4.1	3.7	4.2	4.7	-1%	-7%	-12%	-19%	-12%
Xtep	1368 HK	OW	1,475	7	4.12	3%	7.9	6.9	n.m.	0.5	4.0	3.5	6.8	8.6	0%	-5%	-2%	-18%	-22%
361 Degrees	1361 HK	NC	1,225	5	4.43	11%	5.4	4.9	0.4	0.5	2.5	2.2	8.8	9.8	0%	-8%	-13%	-17%	-27%
Topsports	6110 HK	NC	2,105	5	2.66	-3%	11.2	10.9	n.m.	4.5	5.8	6.3	9.3	11.1	0%	-1%	-9%	-10%	-9%
Simple average							9.7	8.9	1.1	1.5	4.6	4.4	6.6	7.7					
Market cap weighted average							11.6	10.6	1.2	1.3	6.0	5.5	4.6	5.3					
Apparel & footwear OEM																			
Shenzhou	2313 HK	OW	8,135	48	42.42	7%	9.1	8.3	2.2	0.9	5.2	4.7	6.7	7.4	-1%	-1%	-7%	-23%	-31%
Huali	300979 CH	NC	5,456	17	31.64	10%	10.9	9.3	3.5	0.5	6.1	5.3	5.9	7.0	0%	-4%	-17%	-33%	-37%
Best Pacific	2111 HK	OW	338	0	2.55	8%	4.6	4.1	1.3	0.3	3.6	3.2	11.8	13.7	0%	-3%	-9%	-18%	-22%
Bosideng	3998 HK	OW	6,039	15	4.05	8%	10.6	9.6	2.0	1.0	5.5	5.1	7.8	8.5	-1%	-3%	-3%	-1%	-9%
Eclat	1476 TT	N	2,892	15	333.00	16%	13.3	12.2	0.5	1.4	8.4	7.7	5.3	5.9	3%	-3%	2%	-15%	-13%
Makalot	1477 TT	OW	1,710	14	219.00	11%	13.5	12.4	1.1	1.4	9.0	8.3	6.8	7.3	1%	-3%	3%	-26%	-24%
Simple average							10.3	9.3	1.8	0.9	6.3	5.7	7.4	8.3					
Market cap weighted average							10.6	9.5	2.1	0.9	6.1	5.5	6.7	7.5					
Beauty																			
Imeik	300896 CH	NC	4,065	62	90.92	16%	19.6	17.4	1.0	1.4	14.9	13.1	2.5	2.7	0%	-2%	-16%	-35%	-36%
Proya	603605 CH	OW	3,861	46	65.99	10%	15.8	14.4	1.6	1.5	10.4	9.5	2.3	2.5	0%	4%	17%	-2%	-4%
Giant Biogene	2367 HK	NC	3,523	37	26.00	7%	12.1	11.0	2.7	1.1	6.7	6.0	4.6	5.6	1%	-3%	-5%	-17%	-20%
Yunnan Botanee	300957 CH	OW	2,102	34	33.58	20%	22.4	19.3	1.0	1.2	11.7	10.1	1.9	2.2	0%	2%	-14%	-20%	-15%
Bloomage	688363 CH	NC	2,555	23	35.90	48%	39.1	30.5	0.6	1.1	20.3	17.6	0.6	0.8	0%	3%	-9%	-20%	-18%
Mao Geping	1318 HK	OW	3,472	19	55.50	28%	15.1	12.0	0.5	0.5	9.5	7.6	2.3	2.9	-2%	-6%	-6%	-31%	-32%
Simple average							20.7	17.4	1.2	1.1	12.2	10.6	2.4	2.8					
Market cap weighted average							19.6	16.6	1.3	1.1	11.9	10.4	2.5	2.9					
Jewelry / luxury																			
Chow Tai Fook	1929 HK	OW	15,685	29	10.86	33%	14.1	11.8	0.3	0.6	8.5	9.1	5.8	6.0	-1%	12%	14%	6%	1%
Laopu Gold	6181 HK	OW	10,154	96	487.40	41%	8.3	6.9	0.1	0.4	6.5	5.5	7.7	8.8	0%	2%	-17%	-33%	-27%
Lao Feng Xiang	600612 CH	UW	2,264	14	35.42	-1%	11.1	10.3	n.m.	1.3	4.4	4.2	3.1	3.3	0%	1%	-6%	-18%	-22%
Luk Fook	590 HK	NC	1,734	5	20.90	59%	8.0	7.3	0.1	0.7	5.8	5.6	6.8	7.6	0%	8%	7%	-12%	-2%
Simple average							10.4	9.1	0.2	0.7	6.3	6.1	5.8	6.4					
Market cap weighted average							11.5	9.8	0.2	0.6	7.3	7.3	6.3	6.8					

Note: Revenue, EPS CAGR and valuation multiples based on Bloomberg consensus. Prices as of 17 Jun 2026 market close. NC: Not covered. Past performance is not an indicator of future results. Source: Bloomberg Finance L.P., J.P. Morgan estimates.

RTD Beverages – Sports drinks shine, but cost pressure bites

Sports drinks under the spotlight; competition intensifying

- Sports drinks are projected to grow at a 2025–30E CAGR of 10.9%, more than double the overall soft drinks market growth of 4.0%. Revenue momentum has visibly inflected since 2023, with YoY growth accelerating to approximately 15%, signaling that the category has entered a new phase of expansion.

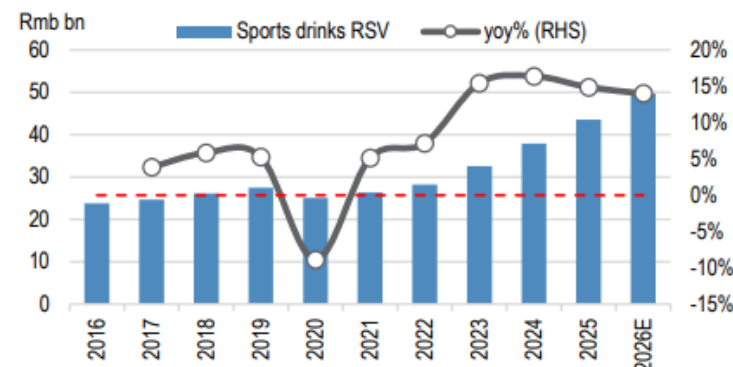
Sports drinks under the spotlight and are set to outperform other categories in the next five years

	Retail value (2025)		CAGR	
	Rmb bn	US\$ bn	2019-25	2025-30e
Bottled Water	252	34.3	3.5%	4.1%
RTD Tea	154	18.9	4.0%	6.1%
Carbonates	117	17.9	4.0%	0.4%
Juice	84	10.8	-0.5%	2.6%
Energy Drinks	63	8.6	4.8%	3.7%
Sports Drinks	27	2.9	14.7%	10.9%
Others	15	2.6	-4.9%	-2.2%
Soft Drinks	713	96	3.3%	4.0%

Source: Euromonitor, J.P. Morgan estimates.

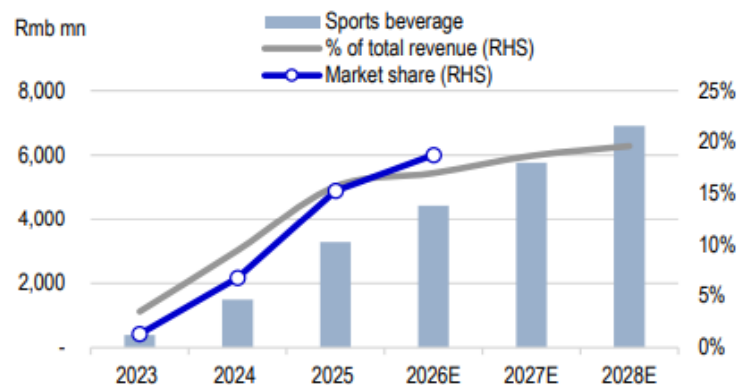
Sports drinks momentum picking up from 2023

Sports drink revenue (Rmb bn) and % of total revenue.



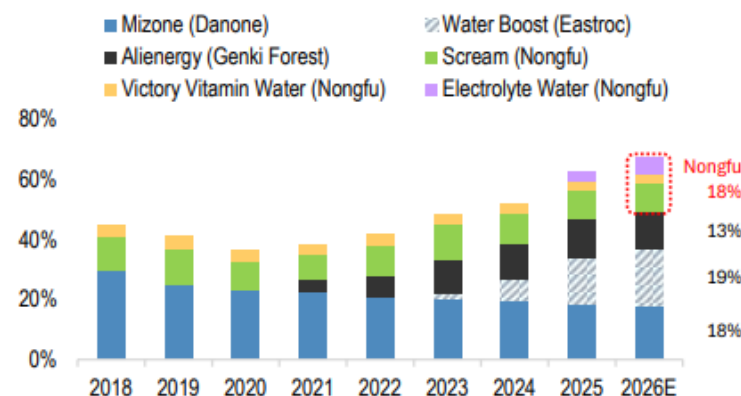
Source: J.P. Morgan estimates, Company data.

Eastroc sports beverage outperformed peers with significant market share gains in the past 3 years



Source: Company data, Euromonitor, J.P. Morgan estimates.

Nongfu promoting new product Electrolyte Water in 2026, aiming to capture more market share



Source: Euromonitor, J.P. Morgan estimates.

RTD Beverages – Sports drinks shine, but cost pressure bites

Sports drinks under the spotlight; competition intensifying

- This attractive growth profile has drawn aggressive participation from major players.
 - **Eastroc's** "Water Boost" has been the standout performer, scaling its sports beverage revenue from near zero in 2023 to an estimated Rmb 8bn by 2028E, with market share rising rapidly towards 20%.
 - Nongfu Spring launched new Electrolyte Water product in 2026, aiming to capture incremental share alongside its existing Scream and Victory Vitamin Water lines, bringing its combined portfolio share to approximately 18% by 2026E.
- The market was once dominated by Mizone (Danone), but is now rapidly fragmenting as domestic challengers deploy new products, refreshed packaging, and gamified promotions (e.g., QR-code lotteries and coupon mechanics) to drive trial and repeat purchases.

Sports drinks - new products and new looks from the major players – Eastroc, Nongfu, Alienergy (Chi Forest)

Eastroc "Water Boost"

Scan QR code to win Rmb 0.3 / 1 / 2 / 3 coupon per bottle



Nongfu Electrolyte beverage

Scan QR code to win lottery: One-yuan special offer, red pocket of Rmb 0.5 / 1 / 2 / 66 / 666



Chi Forest Alienergy

Scan QR code to win Rmb 0.3 / 1 / 2 / 4 coupon per bottle



Source: Company Taobao shops.

RTD Beverages – Sports drinks shine, but cost pressure bites

Cost pressure a major theme into 2H26; Nongfu most resilient

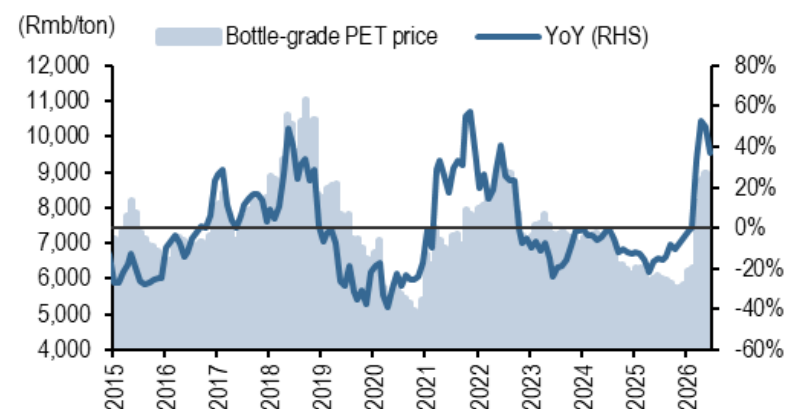
- Our sensitivity test shows that for every 10% PET price increase, Nongfu / Eastroc / CR Beverage's gross profit will be impacted by 1% / 3% / 4%, net earnings will be cut by 3% / 8% / 21% and net margin will decline by 0.8pp / 1.5pp / 1.9pp on an annualized basis.
- Currently, the PET is priced c.40% higher vs 2025 average levels. Most RTD beverage companies have locked in PET supply and prices through 2Q26, and hence will need to renew contracts relatively soon.

EPS sensitivity to PET price hike

2026E	Nongfu	Eastroc	CR Bev
Gross margin	58.3%	43.7%	44.5%
PET as % of COGS	20%	28%	36%
Net margin	28.4%	19.3%	9.4%
Downside per 10% PET price hike:			
Gross profit	-1%	-3%	-4%
Net profit	-3%	-8%	-21%
Net margin	-0.8%	-1.5%	-1.9%

Source: J.P. Morgan estimates.

PET price is about 40% higher than 2025 levels



Source: Bloomberg Finance L.P.

RTD Beverages – Sports drinks shine, but cost pressure bites

Key operating metrics and key financials comparison – Beverage players

Rmb mn	Nongfu				Eastroc				China Resources Beverage			
	2024A	2025A	2026e	2027e	2024A	2025A	2026e	2027e	2024A	2025A	2026e	2027e
Growth Driver												
Revenue	42,896	52,553	59,199	65,499	15,839	20,875	26,073	30,844	13,521	11,002	11,881	12,622
Water	15,952	18,709	20,606	22,253	-	-	-	-	12,124	9,504	10,090	10,563
Tea	16,745	21,596	24,835	28,064	1,023	1,986	3,743	5,040	1,397	1,499	1,791	2,060
Juice	4,085	5,176	5,797	6,551	-	-	-	-	-	-	-	-
Functional drinks	4,932	5,762	6,454	7,035	13,304	15,599	17,885	20,031	-	-	-	-
Others	1,182	1,309	1,506	1,596	1,512	3,290	4,444	5,773	-	-	-	-
Revenue mix												
Water	37%	36%	35%	34%	-	-	-	-	90%	86%	85%	84%
Tea	39%	41%	42%	43%	6%	10%	14%	16%	10%	14%	15%	16%
Juice	10%	10%	10%	10%	-	-	-	-	-	-	-	-
Functional drinks	11%	11%	11%	11%	84%	75%	69%	65%	-	-	-	-
Others	3%	2%	3%	2%	10%	16%	17%	19%	-	-	-	-
Revenue yoy (%)	0.5%	22.5%	12.6%	10.6%	40.6%	31.8%	24.9%	18.3%	0.0%	-18.6%	8.0%	6.2%
Water	-21.3%	17.3%	10.1%	8.0%	-	-	-	-	-2.6%	-21.6%	6.2%	4.7%
Tea	32.3%	29.0%	15.0%	13.0%	96.7%	94.1%	88.5%	34.6%	30.8%	7.3%	19.5%	15.0%
Juice	15.6%	26.7%	12.0%	13.0%	-	-	-	-	-	-	-	-
Functional drinks	0.6%	16.8%	12.0%	9.0%	28.7%	17.3%	14.7%	12.0%	-	-	-	-
Others	-9.8%	10.8%	15.0%	6.0%	272.0%	117.6%	35.1%	29.9%	-	-	-	-
Margin profile												
Gross profit	24,916	31,808	34,528	38,644	7,097	9,374	11,386	13,483	6,397	5,025	5,286	5,674
Gross margin (%)	58.1%	60.5%	58.3%	59.0%	44.8%	44.9%	43.7%	43.7%	47.3%	45.7%	44.5%	44.9%
Operating Expenses												
Total Opex	(11,136)	(12,253)	(13,802)	(15,271)	(3,169)	(4,048)	(5,027)	(5,885)	(4,407)	(4,194)	(4,182)	(4,367)
Selling & distribution expenses	(9,173)	(9,800)	(11,040)	(12,215)	(2,681)	(3,405)	(4,250)	(4,997)	(4,058)	(3,779)	(3,754)	(3,913)
Admin & R&D	(1,962)	(2,452)	(2,762)	(3,056)	(488)	(643)	(777)	(889)	(349)	(415)	(428)	(454)
Total Opex % of revenue	-26.0%	-23.3%	-23.3%	-23.3%	-20.0%	-19.4%	-19.3%	-19.1%	-32.6%	-38.1%	-35.2%	-34.6%
Selling & distribution expenses	-21.4%	-18.6%	-18.6%	-18.6%	-16.9%	-16.3%	-16.3%	-16.2%	-30.0%	-34.3%	-31.6%	-31.0%
Admin & R&D	-4.6%	-4.7%	-4.7%	-4.7%	-3.1%	-3.1%	-3.0%	-2.9%	-2.6%	-3.8%	-3.6%	-3.6%
Core EBIT	13,780	19,556	20,726	23,373	3,768	5,107	6,085	7,274	1,990	831	1,104	1,307
EBIT yoy (%)	-1.3%	41.9%	6.0%	12.8%	60.2%	35.5%	19.2%	19.5%	25.4%	-58.2%	32.8%	18.3%
EBIT margin (%)	32.1%	37.2%	35.0%	35.7%	23.8%	24.5%	23.3%	23.6%	14.7%	7.6%	9.3%	10.4%

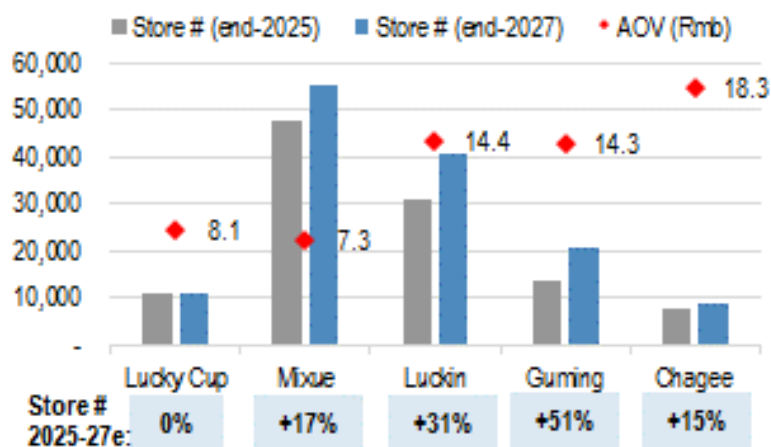
Source: J.P. Morgan estimates, Company data.

Bubble & Brew – After the tide recedes, who is still running?

After the tide retreats

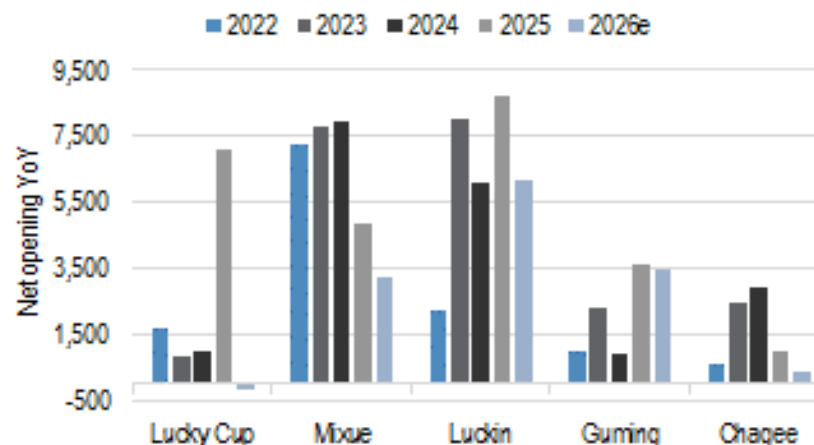
- After fast growth in 2025, we observe a clear divergence in store expansion trajectories among China's leading beverage chains heading into 2026-2027: **Luckin** and **Guming** to remain in aggressive growth mode, with store counts up 31% and 51% in 2025-27E. **Chagee**, with the highest AOV at Rmb18.3, is also set to grow its footprint by 15% over the same period, albeit from a smaller base.
- **Lucky Cup** and **Mixue** will enter a phase of meaningful deceleration. **Lucky Cup's** net store count is expected to remain essentially flat, while Mixue's expansion moderates to +17%, from 7k-8k annual net openings in 2023-2024 to well below 5k by 2026-27E. This slowdown likely reflects network saturation at the lower price tier (AOVs of Rmb 8.1 and Rmb 7.3 for Lucky Cup and Mixue) after years of hyper-expansion.

We expect Luckin and Guming to further grow store count by c.30-50% in the next two years



Source: J.P. Morgan estimates, Company data.

While Lucky Cup, Mixue and Chagee to slow down store expansion



Source: J.P. Morgan estimates, Company data.

Bubble & Brew – After the tide recedes, who is still running?

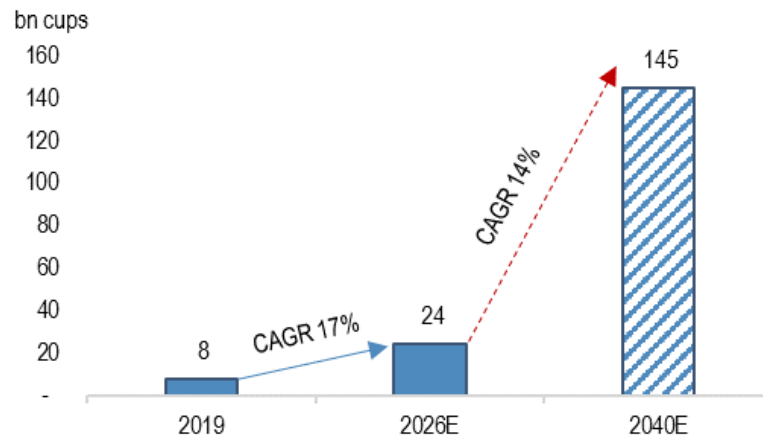
Blurring boundaries: How category convergence is reshaping the landscape

Argument 1:

Coffee penetration remains in early innings, offering a long runway for tea brands crossing over

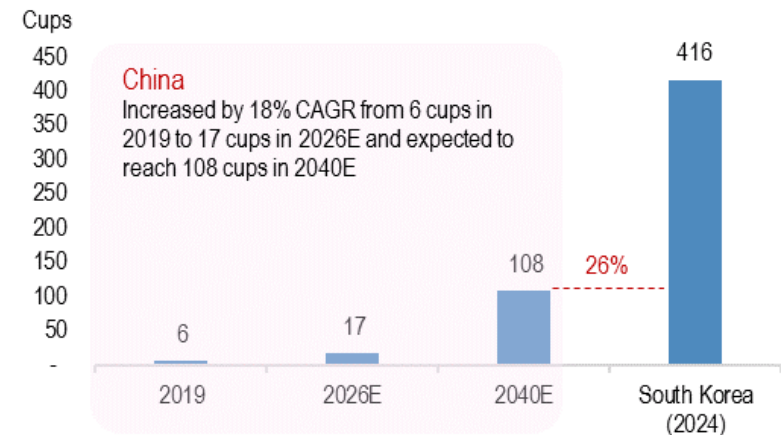
- We forecast a 14% CAGR of China's total coffee consumption through 2040, reaching 145bn cups. Implied per capita consumption of 108 cups would represent only 26% of South Korea's current level of 416 cups (2024). The vast whitespace explains why tea-centric brands such as **Guming** and **Mixue** are actively adding coffee to their menus – they can leverage existing store networks to capture incremental demand in an under-penetrated category without significant capital outlay.

We forecast China's total coffee consumption to grow at a 14% CAGR from 2026 to 2040 ...



Source: Customs data, Ministry of Agriculture of China, J.P. Morgan.

... with per capita consumption reaching 108 cups by 2040, only equivalent to 26% of South Korea's level in 2024



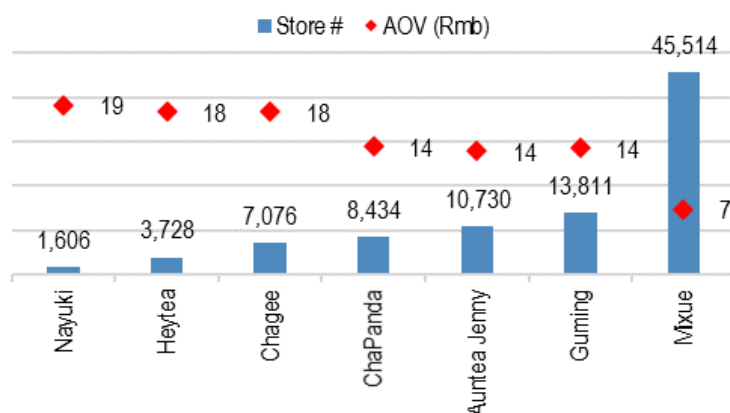
Source: Customs data, Ministry of Agriculture of China, Korea Times, J.P. Morgan.

Bubble & Brew – After the tide recedes, who is still running?

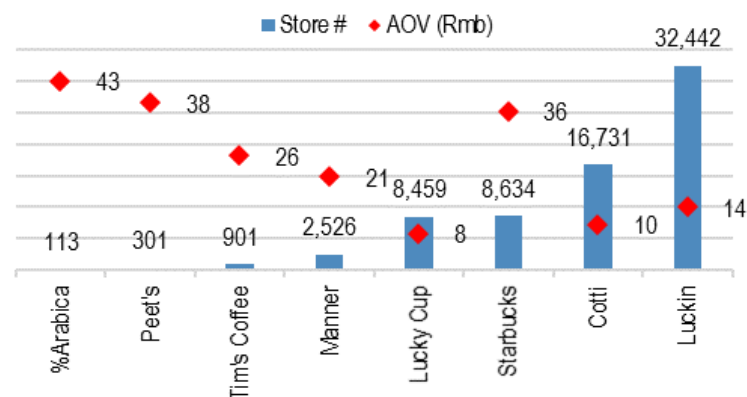
Argument 2:

Differentiated networks and staggered peak hours enable multi-category coexistence

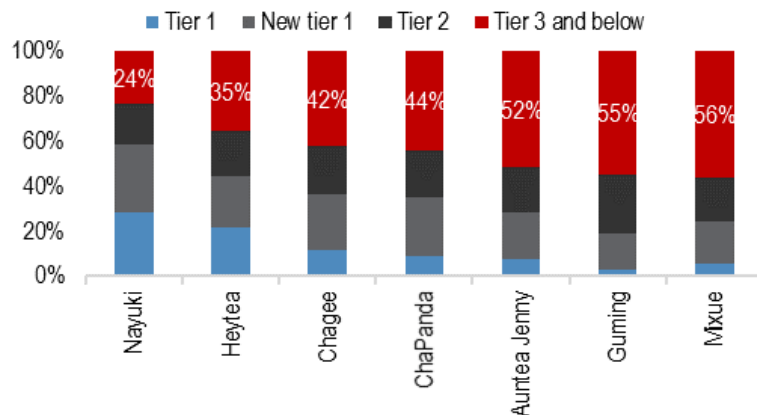
Store count vs average ticket size – tea brand



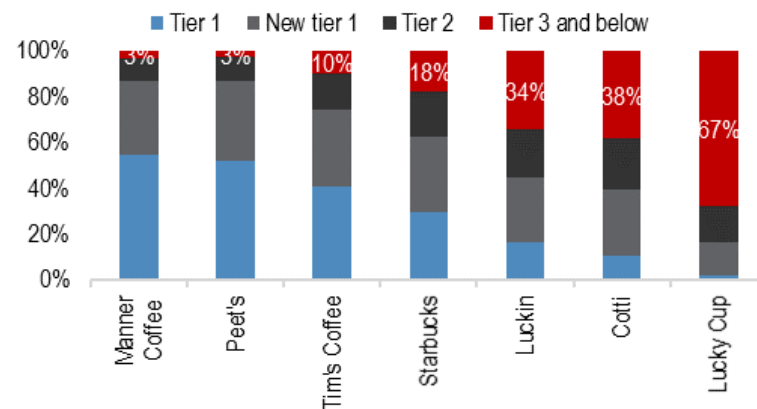
Store count vs average ticket size – coffee brands



Store distribution by city tier – tea brand



Store distribution by city tier – coffee brand



Note: As of end-May 2026.
Source: Zhaimen, J.P. Morgan.

Bubble & Brew – After the tide recedes, who is still running?

Argument 2:

Differentiated networks and staggered peak hours enable multi-category coexistence

Leading players branching into new categories to smooth out peak/low hour and enhance store productivity

	Brand perception	Network ----->		Product offerings ----->				Operating hour ----->	
		City tier		Core categories	New category 1	New category 2	New category 3	Peak hour	Increasing
Mixue	Value-for-money	Low-tier	-	Ice cream, tea	Snacks	Coffee		After lunch	Morning
Luckin	Affordable coffee	High-tier	Low-tier	Coffee	Non-coffee bev	Snacks	RTD bev	Morning	PM session
Guming	Value-for-money	Low-tier	-	Fruit tea	Coffee	Desserts	HPP Juice	After lunch	Morning
Chagee	Premium	High-tier	Low-tier	Tea latte	Bubble tea	Ice cream		After lunch	Morning
KFC / K Coffee	Fast food	National	Low-tier	Meal	Coffee	Light meal	Night snack	Lunch/dinner	Morning + late night
Lucky Cup	Value-for-money	Low-tier	-	Coffee	Non-coffee bev			Morning	PM session

Source: Company data, J.P. Morgan.

Competition and ASP: better than feared

High ASP new products from Guming, Mixue, Lucky Cup

Guming

Mixue

Lucky Cup

Source: Company mini programs.

Bubble & Brew – After the tide recedes, who is still running?

Key operating metrics and key financials comparison – FMD players

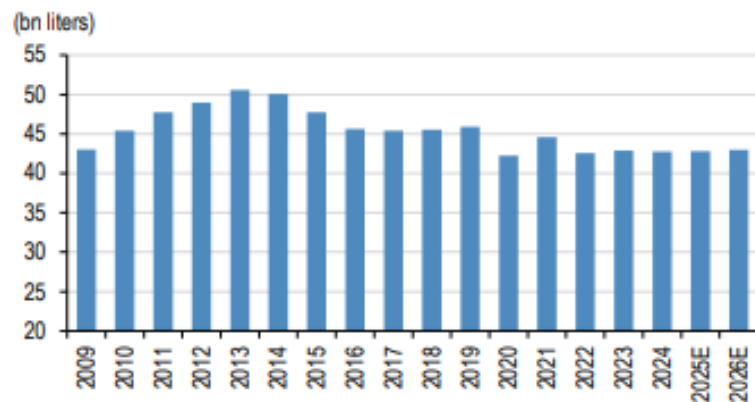
Rmb mn	Luckin				Guming				Mixue				Chagee			
	2024	2025	2026e	2027e	2024	2025	2026e	2027e	2024	2025	2026e	2027e	2024	2025	2026e	2027e
Store network																
Total store #	22,340	31,048	37,196	40,696	9,914	13,554	17,054	20,454	46,479	59,823	63,323	68,823	6,440	7,453	7,853	8,583
YoY%	37%	39%	20%	9%	10%	37%	26%	20%	24%	29%	6%	9%	83%	16%	5%	9%
Franchise store #	7,749	10,814	13,229	14,804	9,907	13,546	17,045	20,444	46,462	59,785	63,285	68,785	6,271	6,838	6,913	7,613
Directly-operated store #	14,591	20,234	23,967	25,892	7	8	9	10	17	38	38	38	169	615	940	970
Net open YoY	6,092	8,708	6,148	3,500	913	3,640	3,500	3,400	8,914	13,344	3,500	5,500	2,929	1,013	400	730
Franchise store #	2,129	3,065	2,415	1,575	912	3,639	3,499	3,399	8,946	13,323	3,500	5,500	2,799	567	75	700
Directly-operated store #	3,963	5,643	3,733	1,925	1	1	1	1	-32	21	0	0	130	446	325	30
Store-level operating metrics																
Avg daily cups sold	421	423	406	402	384	456	447	438	590	627	574	572	837	521	469	469
YoY%	-1%	0%	-4%	-1%	-8%	19%	-2%	-2%	-3%	6%	-8%	0%	5%	-38%	-10%	0%
ASP per cup (Rmb)	13.2	13.5	13.5	13.4	16.9	17.1	16.8	16.6	6.4	6.4	6.6	6.5	20.4	21.8	21.8	21.8
YoY%	-7%	2%	0%	-1%	4%	1%	-2%	-1%	0%	-1%	3%	-1%	1%	7%	0%	0%
5daily GMV (Rmb)	5,545	5,703	5,477	5,388	6,500	7,800	7,529	7,288	3,799	3,985	3,777	3,723	17,057	11,386	10,247	10,247
YoY%	-8%	3%	-4%	-2%	-4%	20%	-3%	-3%	-4%	5%	-5%	-1%	6%	-33%	-10%	0%
SSSG	-16.7%	7.5%			-1.5%	20.0%			not disclosed				2.7%	-23.8%		
Revenue breakdown																
Total revenue	34,475	49,288	60,172	66,836	8,791	12,914	16,312	19,103	24,829	33,560	36,878	39,134	12,406	12,907	13,837	15,404
- Sales of goods	5,539	6,959	8,739	10,040	6,563	9,320	12,138	14,604	23,452	31,439	34,532	36,618	9,891	10,083	8,990	9,497
- Sales of equipment	588	861	612	399	465	949	971	902	756	1,327	1,393	1,421	898	357	47	441
- Franchise management	1,618	3,773	4,877	5,604	1,750	2,628	3,187	3,582	620	794	953	1,096	843	977	967	1,021
- Revenue from direct-operated stores	26,730	37,694	45,944	50,793	14	16	16	15	-	-	-	-	773	1,490	3,833	4,444
YoY change	38%	43%	22%	11%	15%	47%	26%	17%	22%	35%	10%	6%	167%	4%	7%	11%
- Sales of goods	33%	26%	26%	15%	14%	42%	30%	20%	22%	34%	10%	6%	176%	2%	-11%	6%
- Sales of equipment	-33%	46%	-29%	-35%	27%	104%	2%	-7%	3%	75%	5%	2%	59%	-60%	-87%	833%
- Franchise management	36%	133%	29%	15%	15%	50%	21%	12%	53%	28%	20%	15%	240%	16%	-1%	6%
- Revenue from direct-operated stores	43%	41%	22%	11%	16%	15%	-3%	-3%	-	-	-	-	217%	93%	157%	16%
% of total																
- Sales of goods	16%	14%	15%	15%	75%	72%	74%	76%	94%	94%	94%	94%	80%	78%	65%	62%
- Sales of equipment	2%	2%	1%	1%	5%	7%	6%	5%	3%	4%	4%	4%	7%	3%	0%	3%
- Franchise management	5%	8%	8%	8%	20%	20%	20%	19%	2%	2%	3%	3%	7%	8%	7%	7%
- Revenue from direct-operated stores	78%	76%	76%	76%	0%	0%	0%	0%	-	-	-	-	6%	12%	28%	29%
Margin profile																
Gross margin	59.1%	61.9%	61.1%	60.7%	30.6%	33.0%	33.0%	33.0%	32.5%	31.1%	30.0%	30.0%	49.6%	53.5%	55.5%	55.5%
- yoy chg	2.9%	2.7%	-0.8%	-0.4%	-0.7%	2.4%	0.0%	0.0%	2.9%	-1.3%	-1.1%	0.0%	4.8%	3.9%	2.0%	0.0%
Total Opex	7,162	12,531	13,187	13,995	1,023	1,291	1,631	1,910	2,459	3,220	3,512	3,688	2,222	3,813	2,986	3,215
Selling & distribution expenses	4,741	9,474	5,234	5,975	479	703	888	1,040	1,599	2,037	2,213	2,309	1,109	1,363	1,266	1,407
Admin expenses	2,420	3,057	7,952	8,020	311	365	461	540	755	1,082	1,188	1,261	1,113	2,450	1,720	1,808
R&D expenses					233	223	282	330	105	101	111	118				
Total Opex as % of revenue	21%	25%	22%	21%	12%	10%	10%	10%	10%	10%	10%	9%	18%	30%	22%	21%
Selling & distribution expenses	14%	19%	9%	9%	5%	5%	5%	5%	6%	6%	6%	6%	9%	11%	9%	9%
Admin expenses	7%	6%	13%	12%	4%	3%	3%	3%	3%	3%	3%	3%	9%	19%	12%	12%
R&D expenses					3%	2%	2%	2%	0%	0%	0%	0%				
Core EBIT	3,570	5,073	5,908	7,385	1,664	2,971	3,753	4,395	5,601	7,232	7,551	8,052	2,887	1,347	1,689	1,892
YoY%	18%	42%	16%	26%	5%	79%	26%	17%	41%	29%	4%	7%	169%	-53%	25%	12%
EBIT margin	10.4%	10.3%	9.8%	11.0%	18.9%	23.0%	23.0%	23.0%	22.6%	21.5%	20.5%	20.6%	23.3%	10.4%	12.2%	12.3%
- yoy chg	-1.8%	-0.1%	-0.5%	1.2%	-1.7%	4.1%	0.0%	0.0%	2.9%	-1.0%	-1.1%	0.1%	0.1%	-12.8%	1.8%	0.1%
Adjusted net profit	3,311	4,196	5,167	6,183	1,552	2,706	3,404	3,981	4,519	6,937	6,151	6,561	2,517	1,895	1,842	2,003
YoY%	4%	27%	23%	20%	8%	74%	26%	17%	41%	34%	2%	7%	174%	-25%	-3%	9%
Net margin	9.6%	8.5%	8.6%	9.3%	17.6%	21.0%	20.9%	20.8%	18.2%	18.0%	16.7%	16.8%	20.3%	14.7%	13.3%	13.0%
- yoy chg	-3.1%	-1.1%	0.1%	0.7%	-1.1%	3.3%	-0.1%	0.0%	2.4%	-0.2%	-1.3%	0.1%	0.5%	-5.6%	-1.4%	-0.3%

Source: Company data, J.P. Morgan estimates.

Beer – Right side of the channel migration

- Premiumization: Still playing out, but the pace is moderating
- Channel mix: The structural shift from on-trade to off-trade

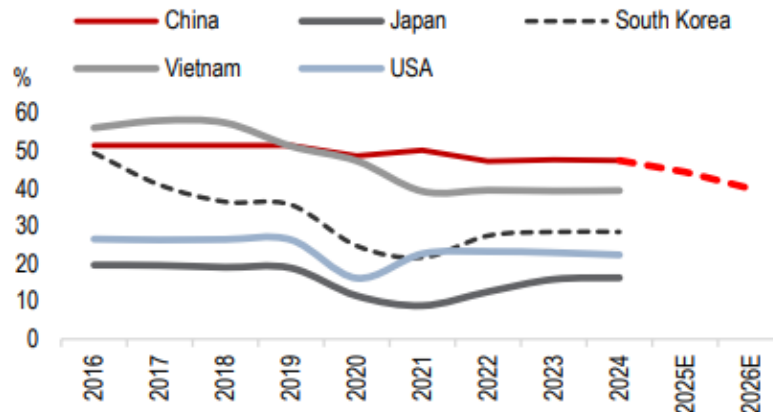
Total beer volume in China has been stabilizing at 40-45bn liters per annum after Covid



Source: Euromonitor.

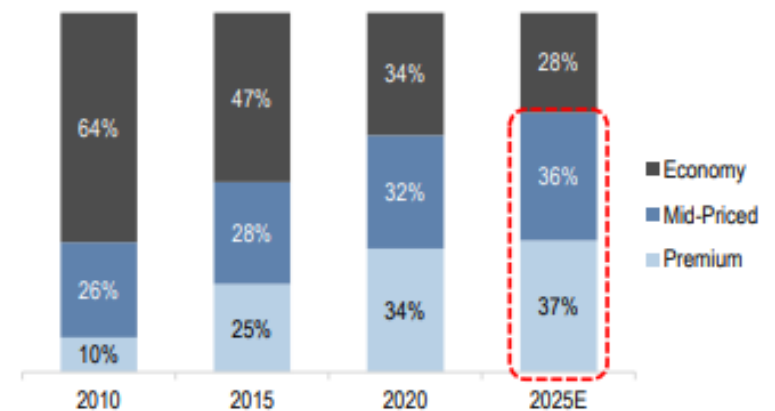
China's on-trade mix is still higher than other countries but has been declining from 2025

On-trade as % of total volume



Source: Euromonitor, J.P. Morgan estimates.

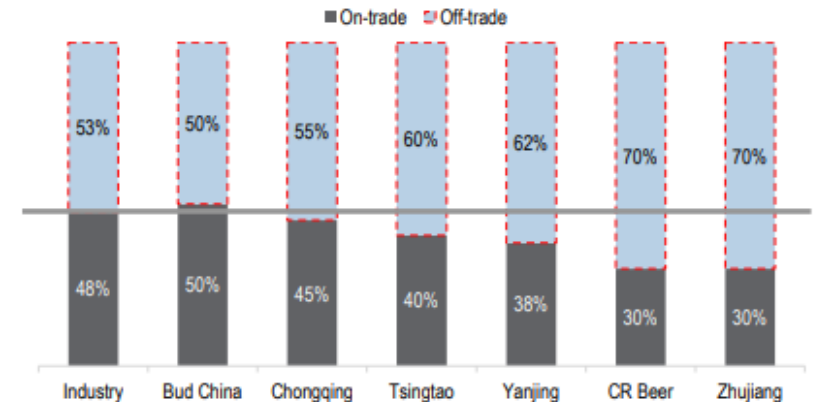
Premium and mid-priced beers are taking more share from economy



Source: Euromonitor.

Off-trade scenario is becoming more important and CR Beer has relatively higher mix than Bud China and Tsingtao

2025 volume breakdown by channel



Source: Company data.

Beer – Right side of the channel migration

YTD performance: Diverging trajectories among the big three

The channel migration has produced differentiated performance among the major brewers YTD. All three brewers are converging on a common playbook: optimizing product portfolios, extending strength in their respective advantaged segments, and building capabilities for the off-trade channel.

- **Bud China**, historically over-indexed to nightlife and high-end dining channels, has been undergoing a strategic pivot since 2025 - refocusing on the Rmb 6–8 price band with core SKUs including Classic Budweiser, Hoegaarden, and Corona, while accelerating the recovery of Harbin Beer. This transition has come at a cost: organic sales declined 11% in 2025 and remained negative at around -4% in 1Q26.
- **CR Beer** continues to deliver steady, positive momentum, leveraging its structural advantage in off-trade channels (70% off-trade mix - the highest among major players). The company is driving growth through its core brands - Brave the World, Pure Draft, Marris Green - and the premium Heineken series. Sales grew ~1% in 1Q26 and accelerated to ~2% from April onward, with volume growth of 2–3%, reflecting continued progress on premiumization upgrades.
- **Tsingtao**, with a higher on-trade skew (60% on-trade / 40% off-trade), is navigating the channel shift by centering its strategy on Draft Beer as the hero SKU, targeting the Rmb 6–8 and Rmb 8+ craft segments, and expanding 1-liter formats tailored to family and home-banquet occasions. April sales grew 2.4% with volume up 3–4%, indicating that its product structure optimization and format innovation are gaining traction.

Cost resilience: Beer margins better insulated than RTD beverages; YTD beer cost index only up 3.9%

Baijiu – Approaching the trough

Where are we in the cycle?

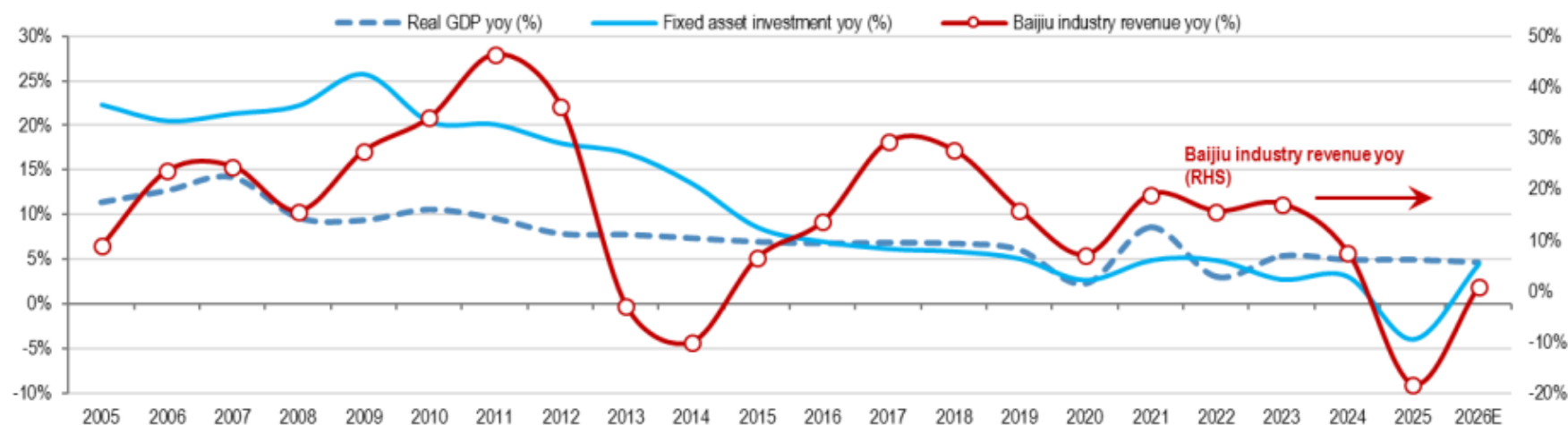
- **The baijiu sector's prosperity is shaped by the convergence of three overlapping cycles:**

1) Macro cycle; 2) Supply-demand and pricing cycle; 3) Policy cycle.

Macro cycle: Baijiu growth decoupling from a slowing economy

- Industry revenue grew at a rapid pace in 2005-2012 - buoyed by double-digit GDP growth and a fixed asset investment boom. As China's structural growth rate has decelerated, baijiu industry revenue growth has also downshifted, turning negative in 2025 at around -18% yoy.
- With fixed asset investment growth now hovering in the low single digits and GDP growth stabilizing around 4–5%, the macro tailwinds that once propelled the industry have largely dissipated. We expect industry revenue to begin stabilizing in 2026E, though the recovery trajectory will be more muted than in prior cycles given the structurally lower growth backdrop.

China Baijiu sector revenue growth vs. GDP and FAI



Source: NBS, Company data, J.P. Morgan estimates.

Baijiu – Approaching the trough

Where are we in the cycle?

Household balance sheets recovering: Property prices showing early signs of stabilization

- JPM forecasts that tier-1 city home prices will see a soft form of stabilization in 2026 (average -1% to 0% YoY). Beyond tier-1 cities, the broader national picture remains more cautious but is approaching a floor.
- For baijiu, household balance sheet repair should begin to alleviate the wealth destruction effect that has weighed on high-end consumption and banquet spending over the past two years.

Supply-demand & policy cycle: Mapping 2024-to-date downcycle against 2012-16

- **In the prior cycle**, the trigger was a **sudden** policy shock, sending industry revenue into decline for seven consecutive quarters before an inflection in 2H15. **The current cycle**, began with a more **gradual** deterioration, and the “alcohol ban (禁酒令)” arrived in 2Q25 added further downward pressure.
- If the 2012–2016 playbook is any guide, the industry may face several more quarters of contraction before bottoming. However, the current downcycle entered its demand weakness phase earlier, suggesting the industry may already be further along in its adjustment process than headline revenue declines imply.

China Baijiu sector revenue growth vs. GDP and FAI



Baijiu – Approaching the trough

Where are we in the cycle?

Our assessment: Approaching the trough, but recovery will be gradual

Synthesizing across all three cycles, we believe the baijiu sector is in the early innings of recovery.

- **On the macro front**, GDP growth has stabilized and property prices are showing tentative signs of bottoming – laying the groundwork for a gradual recovery in household wealth confidence.
- **On the supply-demand and policy front**, the industry has already absorbed five quarters of revenue decline and the incremental policy shock of the alcohol ban; if the 2012–2016 analog holds, the trough may arrive within the next two to three quarters.

However, unlike the V-shaped recovery of 2016–2017, **we expect the rebound to be more L-shaped** - constrained by structurally softer GDP growth, a still-fragile property market outside tier-1 cities, and a more cautious consumer mindset. The setup favors patient positioning in quality names with pricing power and DTC optionality, rather than aggressive cyclical bets on a sharp snapback.

Baijiu – Approaching the trough

DTC Reform: the next big thing, led by Moutai

A paradigm shift in distribution: From wholesale dependence to direct-to-consumer

- The market has responded positively to each of Moutai's DTC reform milestones.
- Investors are increasingly pricing in the structural benefits of DTC – namely, greater pricing transparency, reduced channel speculation, and a more direct relationship with end consumers.

Moutai's YTD share performance and key events of the DTC



Source: Bloomberg Finance L.P., J.P. Morgan..

Moutai – key events of the DTC reform since late-2025

Date	Event
A 11-Dec-25	Moutai held a distributor meeting and announced measures to support distributors' confidence. Moutai plans to cut 2026 distribution quota of non-standard Moutai: Caiyou Zhenpin / Zodiac / 15 years / 1L by 100% / 50% / 30% / 30%.
B 28-Dec-25	Moutai held its annual distributor meeting and aimed to implement market-oriented reforms: (1) Market-based pricing strategy. (2) DTC transformation; expanding customer base. (3) Better service: simplify online purchase, deepen cooperation with distributors with reasonable profit sharing.
C 1-Jan-26	Feitian Moutai 53%vol 500ml debut on DTC channel iMoutai.
D 13-Jan-26	Announced more detailed market-oriented reforms: (1) Transitioning from traditional "direct sales + distribution" to "direct sales + distribution + consignment" model. (2) Market-oriented pricing system: announced retail prices of several SKUs on iMoutai, including Feitian Moutai 53%vol 500ml (2026 edition) at Rmb1,499.
E 13-Mar-26	Introduced consignment model for non-standard Moutai products, including Moutai 15 years, Jingpin, Zodiac (Classic/Gift-pack), Guyue Feitian, and special SKUs for Feitian53%vol (1L/200ml/100ml/50ml). Distributors need to submit an application and pay a deposit, and all the products must be sold via i-Moutai at official retail prices, and distributors will receive a 5% sales commission.
F 30-Mar-26	Announced a raise in the ex-factory price of Feitian Moutai 53%vol 500ml (2026) from Rmb1,169 to Rmb1,269, and DTC retail price from Rmb1,499 to Rmb1,539, effective 31 Mar 2026.

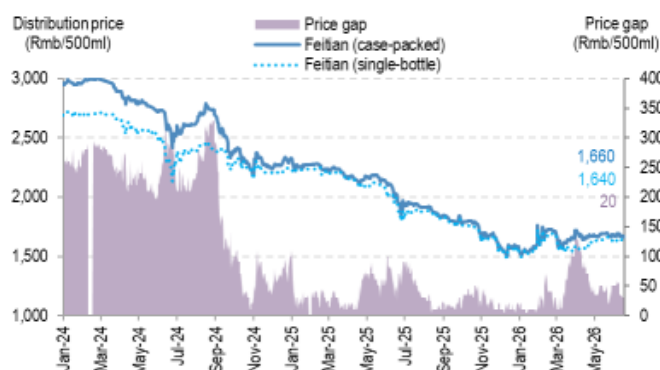
Source: Company data, J.P. Morgan..

Baijiu – Approaching the trough

DTC Reform: the next big thing, led by Moutai

- Channel check takeaways: DTC gaining traction with mass-market consumers.
- Wholesale price outlook: Downside limited, de-financialization complete.
- The de-financialization of Feitian Moutai pricing is a positive read-through for the broader sector.

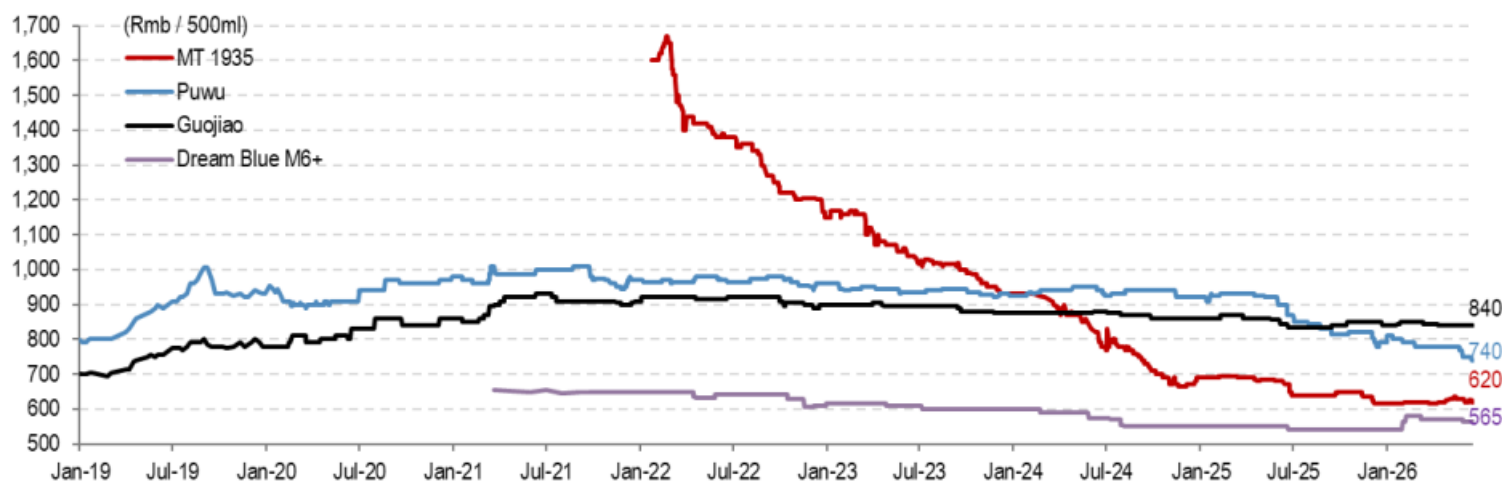
Distribution price of case-packed vs single-bottle Feitian Moutai



Distribution price of 100ml Feitian vs 500ml Feitian



Distribution prices of key brands in the Rmb600-1k price range



Note: Latest data as of 17 Jun 2026.

Nongfu (OW): Market share gain momentum intact

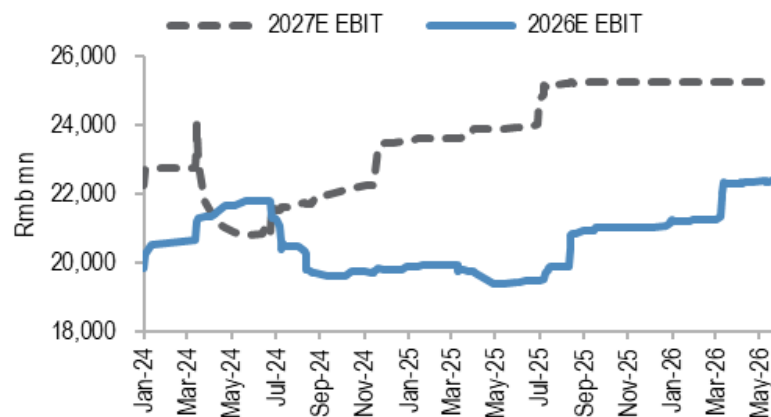
Nongfu – Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1H24	2H24	1H25	2H25
Total revenue	42,667	42,896	52,553	59,199	65,499	71,357	11%	22,173	20,723	25,622	26,931
YoY	28%	1%	23%	13%	11%	9%		8%	-7%	16%	30%
Gross Profit	25,407	24,916	31,808	34,528	38,644	42,101	10%	13,033	11,883	15,457	16,352
Gross margin	59.5%	58.1%	60.5%	58.3%	59.0%	59.0%		58.8%	57.3%	60.3%	60.7%
SG&A	(11,446)	(11,136)	(12,253)	(13,802)	(15,271)	(16,637)		(5,885)	(5,251)	(6,078)	(6,174)
Selling and distribution expense	(9,284)	(9,173)	(9,800)	(11,040)	(12,215)	(13,307)		(4,971)	(4,202)	(5,011)	(4,790)
Administrative expenses	(2,162)	(1,962)	(2,452)	(2,762)	(3,056)	(3,330)		(913)	(1,049)	(1,068)	(1,384)
Core operating profit	13,960	13,780	19,556	20,726	23,373	25,464	9%	7,148	6,632	9,378	10,178
Core operating margin	32.7%	32.1%	37.2%	35.0%	35.7%	35.7%		32.2%	32.0%	36.6%	37.8%
Profit before tax	15,688	15,788	20,918	22,187	25,074	27,412		8,142	7,645	10,034	10,884
Income tax expense	(3,609)	(3,665)	(5,049)	(5,356)	(6,053)	(6,617)		(1,903)	(1,762)	(2,411)	(2,638)
Profit after tax	12,079	12,123	15,868	16,831	19,022	20,795		6,240	5,884	7,622	8,246
Reported net profit	12,079	12,123	15,868	16,831	19,022	20,795		6,240	5,884	7,622	8,246
YoY	42%	0%	31%	6%	13%	9%		8%	-7%	22%	40%
Net margin	28.3%	28.3%	30.2%	28.4%	29.0%	29.1%		28.1%	28.4%	29.7%	30.6%
Core net income	12,073	12,083	16,236	16,831	19,022	20,795	9%	6,220	5,863	7,714	8,523
YoY	46%	0%	34%	4%	13%	9%		10%	-9%	24%	45%
Core net margin	28.3%	28.2%	30.9%	28.4%	29.0%	29.1%		28.1%	28.3%	30.1%	31.6%
EPS, diluted (core)	1.07	1.07	1.44	1.50	1.69	1.85	9%	0.55	0.52	0.69	0.76
YoY	46%	0%	34%	4%	13%	9%					
FYE Dec 31 (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1H24	2H24	1H25	2H25
Revenues											
- Packaged drinking water	20,262	15,952	18,709	20,606	22,253	23,596	8%	8,531	7,421	9,443	9,266
- Tea beverage	12,659	16,745	21,596	24,835	28,064	31,151	13%	8,430	8,315	10,089	11,507
- Functional beverage	4,902	4,932	5,762	6,454	7,035	7,597	10%	2,550	2,382	2,898	2,864
- Juice beverage	3,534	4,085	5,176	5,797	6,551	7,337	12%	2,114	1,971	2,564	2,612
- Other products	1,311	1,182	1,309	1,506	1,596	1,676	9%	548	634	629	680
Total	42,667	42,896	52,553	59,199	65,499	71,357	11%	22,173	20,723	25,622	26,931
YoY											
- Packaged drinking water	10.9%	-21.3%	17.3%	10.1%	8.0%	6.0%		-18.3%	-24.4%	10.7%	24.9%
- Tea beverage	83.3%	32.3%	29.0%	15.0%	13.0%	11.0%		59.5%	12.8%	19.7%	38.4%
- Functional beverage	27.7%	0.6%	16.8%	12.0%	9.0%	8.0%		3.8%	-2.6%	13.6%	20.3%
- Juice beverage	22.7%	15.6%	26.7%	12.0%	13.0%	12.0%		25.4%	6.7%	21.3%	32.5%
- Other products	-3.2%	-9.8%	10.8%	15.0%	6.0%	5.0%		-7.2%	-12.0%	14.8%	7.3%
Total	28.4%	0.5%	22.5%	12.6%	10.6%	8.9%		8.4%	-6.7%	15.6%	30.0%
% of total											
- Packaged drinking water	47%	37%	36%	35%	34%	33%		38%	36%	37%	34%
- Tea beverage	30%	39%	41%	42%	43%	44%		38%	40%	39%	43%
- Functional beverage	11%	11%	11%	11%	11%	11%		12%	11%	11%	11%
- Juice beverage	8%	10%	10%	10%	10%	10%		10%	10%	10%	10%
- Other products	3%	3%	2%	3%	2%	2%		2%	3%	2%	3%

Source: Company data, J.P. Morgan estimates.

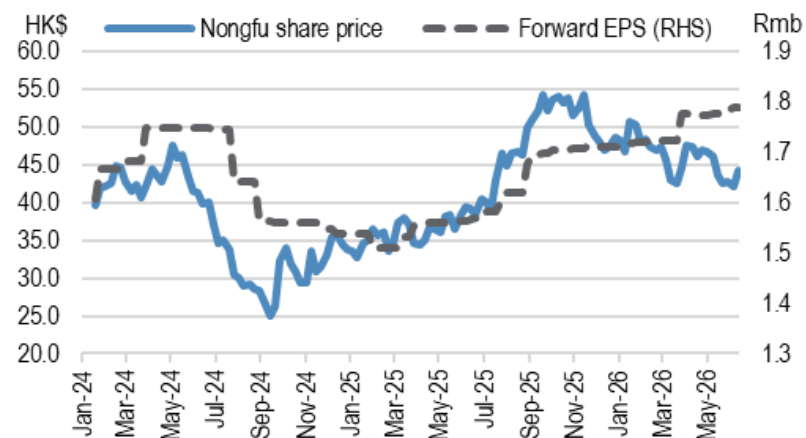
Nongfu (OW): Market share gain momentum intact

Nongfu – Consensus EBIT revisions



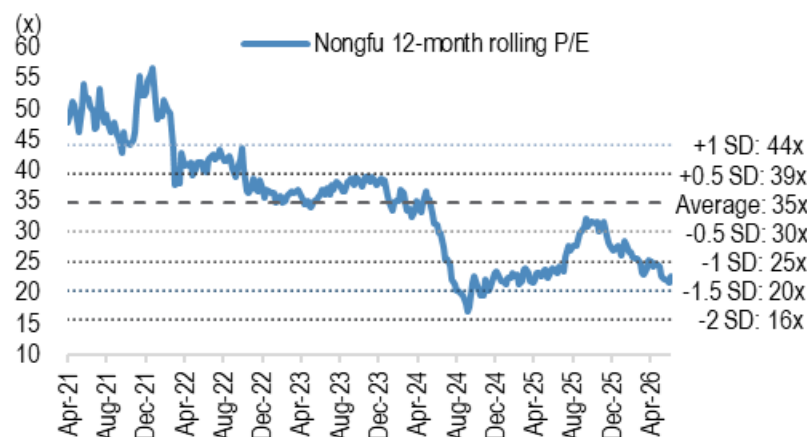
Source: Bloomberg Finance L.P. estimates.

Nongfu – Share price vs consensus forward EPS



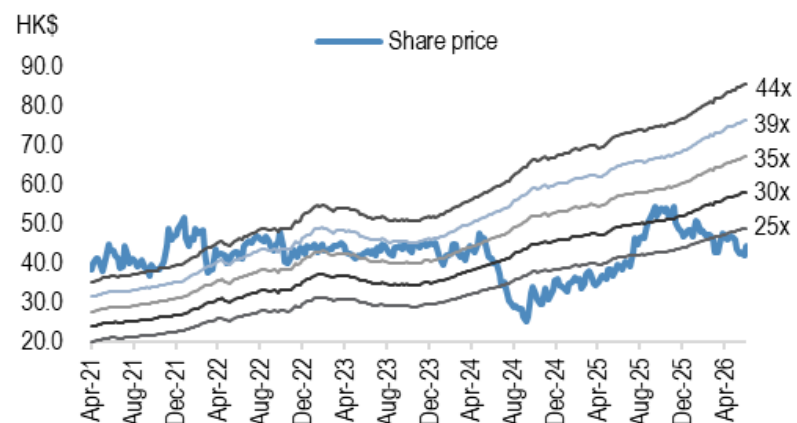
Source: Bloomberg Finance L.P.

Nongfu 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Nongfu 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Eastroc: Key debates on growth momentum and margin resilience persist

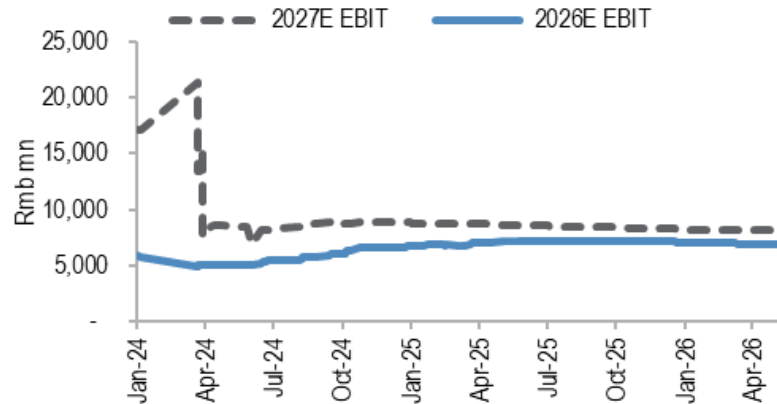
Eastroc – Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26
Revenue	11,263	15,839	20,875	26,073	30,844	35,223	19%	4,848	5,889	6,107	4,031	5,888
- Energy beverage	10,336	13,304	15,599	17,885	20,031	22,034	12%	3,901	4,460	4,203	3,036	4,412
- Sports beverage	394	1,495	3,274	4,428	5,756	6,907	28%	570	923	1,354	427	645
- Other beverage	520	1,023	1,986	3,743	5,040	6,265	47%	375	503	547	561	826
YoY	32%	41%	32%	25%	18%	14%		39%	34%	30%	23%	21%
- Energy beverage	26%	29%	17%	15%	13%	10%		26%	19%	15%	9%	13%
- Sports beverage		279%	119%	35%	30%	20%		261%	190%	84%	50%	13%
- Other beverage	63%	97%	94%	89%	35%	24%		73%	60%	95%	181%	120%
% of total												
- Energy beverage	92%	84%	75%	69%	65%	63%		80%	76%	69%	75%	75%
- Sports beverage	4%	9%	16%	17%	19%	20%		12%	16%	22%	11%	11%
- Other beverage	5%	6%	10%	14%	16%	18%		8%	9%	9%	14%	14%
Gross profit	4,851	7,097	9,374	11,386	13,483	15,520	18%	2,156	2,691	2,761	1,766	2,761
<i>Gross margin</i>	<i>43%</i>	<i>45%</i>	<i>45%</i>	<i>44%</i>	<i>44%</i>	<i>44%</i>		<i>44%</i>	<i>46%</i>	<i>45%</i>	<i>44%</i>	<i>47%</i>
- Energy beverage	45.4%	48.3%	50.8%	50.8%	51.7%	52.6%						
- Sports beverage	23.2%	29.7%	34.8%	35.0%	36.0%	37.0%						
- Other beverage	12.0%	22.3%	15.5%	20.0%	21.0%	22.0%						
Core operating profit	2,351	3,768	5,107	6,085	7,274	8,500	19%	1,163	1,602	1,593	749	1,497
YoY	34%	60%	36%	19%	20%	17%		57%	30%	40%	15%	29%
<i>Core operating margin</i>	<i>21%</i>	<i>24%</i>	<i>24%</i>	<i>23%</i>	<i>24%</i>	<i>24%</i>		<i>24%</i>	<i>27%</i>	<i>26%</i>	<i>19%</i>	<i>25%</i>
Net income	2,040	3,327	4,415	5,085	6,178	7,140	17%	980	1,394	1,387	654	1,257
YoY	42%	63%	33%	15%	21%	16%		48%	31%	42%	6%	28%
<i>Net margin</i>	<i>18%</i>	<i>21%</i>	<i>21%</i>	<i>20%</i>	<i>20%</i>	<i>20%</i>		<i>20%</i>	<i>24%</i>	<i>23%</i>	<i>16%</i>	<i>21%</i>
Core net income	1,870	3,262	4,184	5,028	6,178	7,140	20%	959	1,311	1,270	644	1,200
YoY	38%	74%	28%	20%	23%	16%		54%	21%	33%	8%	25%
<i>Core net margin</i>	<i>17%</i>	<i>21%</i>	<i>20%</i>	<i>19%</i>	<i>20%</i>	<i>20%</i>		<i>20%</i>	<i>22%</i>	<i>21%</i>	<i>16%</i>	<i>20%</i>
Core EPS - diluted	2.77	4.83	6.19	6.89	8.41	9.73	16%	1.42	1.94	1.88	0.95	1.73
YoY	38%	74%	28%	11%	22%	16%		54%	21%	33%	8%	22%

Source: Company data, J.P. Morgan estimates.

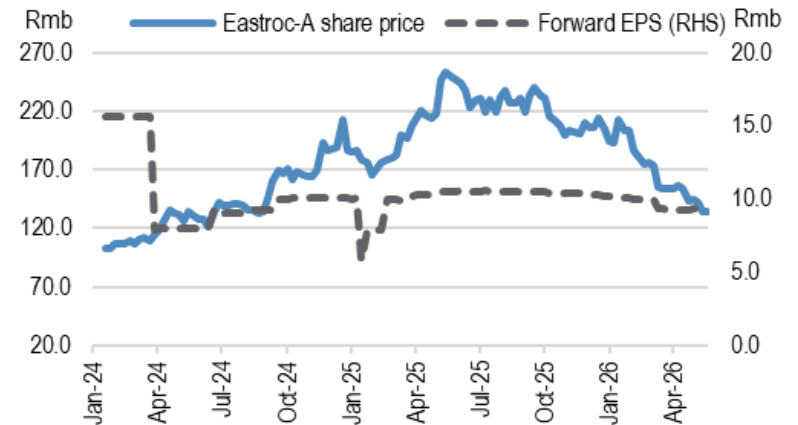
Eastroc: Key debates on growth momentum and margin resilience persist

Eastroc (A) - Consensus EBIT revisions



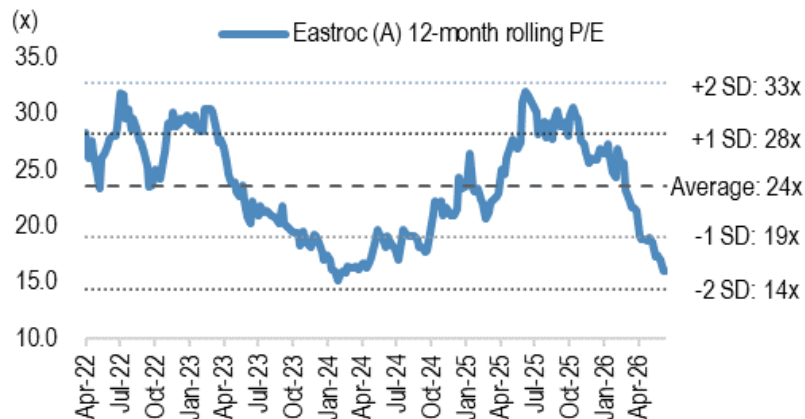
Source: Bloomberg Finance L.P. estimates.

Eastroc (A) - Share price vs consensus forward EPS



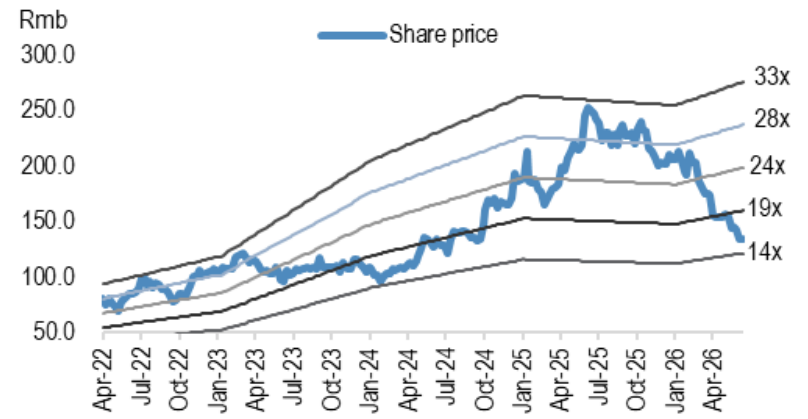
Source: Bloomberg Finance L.P.

Eastroc (A) 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Eastroc (A) 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

CR Beverage (N): Margin recovery remains key

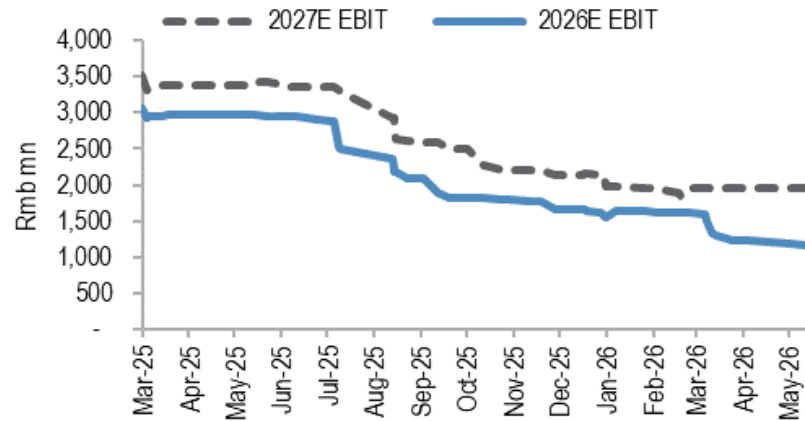
CR Beverage – Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1H24	2H24	1H25	2H25
Revenues											
- Packaged drinking water products	12,447	12,124	9,504	10,090	10,563	11,060	5%	6,829	5,295	5,251	4,253
- Beverage products	1,068	1,397	1,499	1,791	2,060	2,369	16%	787	610	955	544
Total	13,515	13,521	11,002	11,881	12,622	13,429	7%	7,616	5,905	6,206	4,797
YoY											
- Packaged drinking water products	5%	-3%	-22%	6%	5%	5%		3%	-9%	-23%	-20%
- Beverage products	49%	31%	7%	20%	15%	15%		40%	20%	21%	-11%
Total	7%	0.0%	-18.6%	8.0%	6.2%	6.4%		6%	-6%	-19%	-19%
% of total											
- Packaged drinking water products	92%	90%	86%	85%	84%	82%		90%	90%	85%	89%
- Beverage products	8%	10%	14%	15%	16%	18%		10%	10%	15%	11%
Key financial metrics (Rmb mn)											
Total revenue	13,515	13,521	11,002	11,881	12,622	13,429	7%	7,616	5,905	6,206	4,797
YoY	7%	0%	-19%	8%	6%	6%		6%	-6%	-19%	-19%
Gross Profit	6,035	6,397	5,025	5,286	5,674	6,098	7%	3,753	2,645	2,896	2,129
YoY	15%	6%	-21%	5%	7%	7%				-23%	-19%
<i>Gross margin</i>	<i>44.7%</i>	<i>47.3%</i>	<i>45.7%</i>	<i>44.5%</i>	<i>44.9%</i>	<i>45.4%</i>		<i>49.3%</i>	<i>44.8%</i>	<i>46.7%</i>	<i>44.4%</i>
Core operating profit	1,587	1,990	831	1,104	1,307	1,452	20%	1,499	490	853	(21)
YoY	48.7%	25.4%	-58.2%	32.8%	18.3%	11.1%				-43.1%	-104.3%
<i>Core OP margin</i>	<i>11.7%</i>	<i>14.7%</i>	<i>7.6%</i>	<i>9.3%</i>	<i>10.4%</i>	<i>10.8%</i>		<i>19.7%</i>	<i>8.3%</i>	<i>13.7%</i>	<i>-0.4%</i>
Reported net income	1,329	1,637	985	1,115	1,284	1,416	13%	1,128	509	805	180
YoY	34%	23%	-40%	13%	15%	10%				-29%	-65%
<i>Net margin, reported</i>	<i>9.8%</i>	<i>12.1%</i>	<i>9.0%</i>	<i>9.4%</i>	<i>10.2%</i>	<i>10.5%</i>		<i>14.8%</i>	<i>8.6%</i>	<i>13.0%</i>	<i>3.8%</i>
EPS (Rmb)	0.66	0.79	0.41	0.46	0.54	0.59	13%				
YoY	34%	19%	-48%	13%	15%	10%					

Source: Company data, J.P. Morgan estimates.

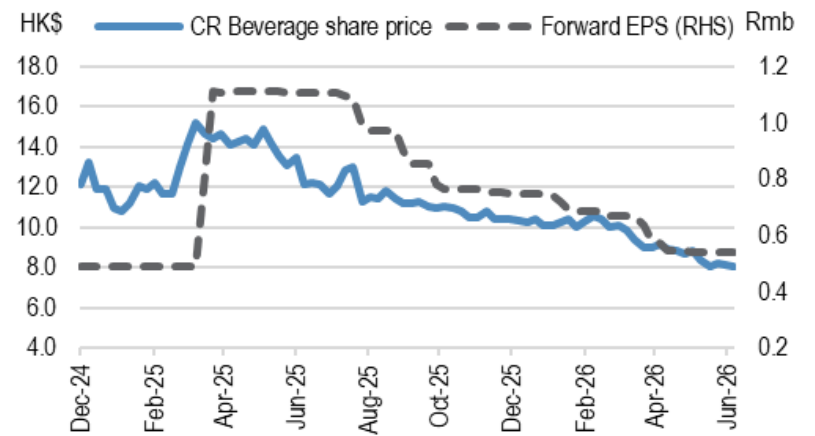
CR Beverage (N): Margin recovery remains key

CR Beverage - Consensus EBIT revisions



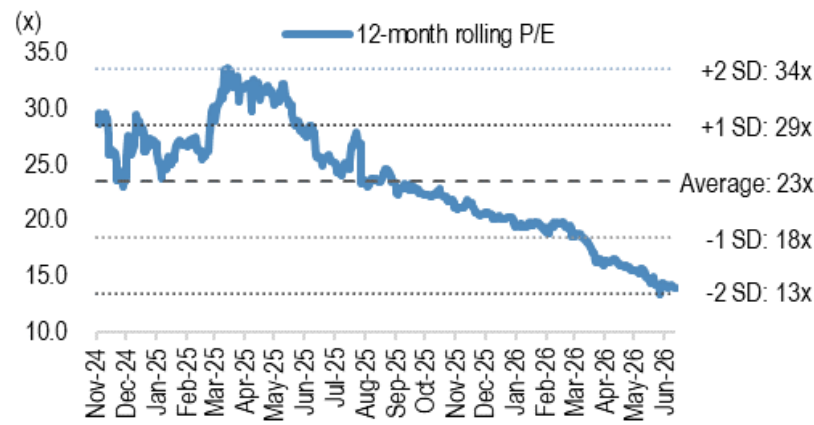
Source: Bloomberg Finance L.P. estimates.

CR Beverage - Share price vs consensus forward EPS



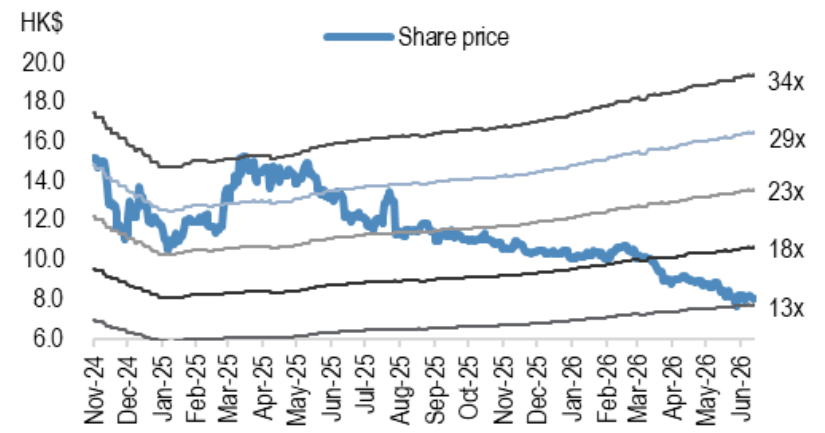
Source: Bloomberg Finance L.P.

CR Beverage 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

CR Beverage 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Luckin Coffee (OW): 1Q26 a solid start; margin recovery on track

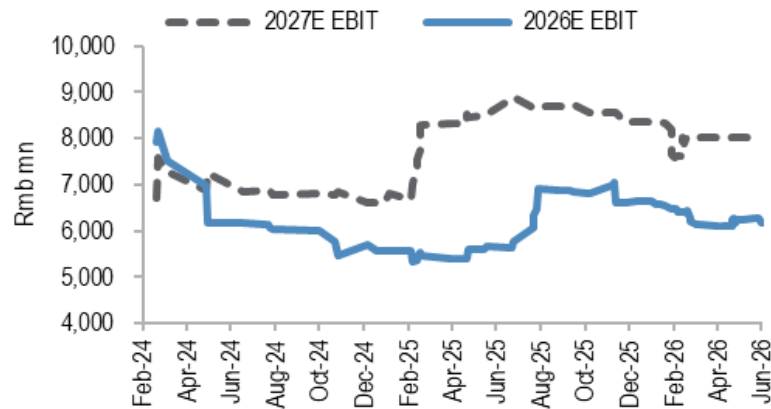
Luckin – Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Store count															
Total number of stores	16,248	22,340	31,048	37,196	40,696	44,196	12%	24,097	26,206	29,214	31,048	33,596	35,196	36,296	37,196
Self-operated stores	10,628	14,591	20,234	23,967	25,892	27,817	11%	15,598	16,968	18,882	20,234	21,807	22,767	23,427	23,967
Partnership stores	5,620	7,749	10,814	13,229	14,804	16,379	15%	8,499	9,238	10,332	10,814	11,789	12,429	12,869	13,229
China	16,218	22,289	30,888	36,956	40,376	43,796		24,032	26,117	29,096	30,888	33,419	0	0	0
Overseas	30	51	160	240	320	400		65	89	118	160	177	0	0	0
Total net addition	8,034	6,092	8,708	6,148	3,500	3,500		1,757	2,109	3,008	1,834	2,548	1,600	1,100	900
Self-operated stores	4,976	3,963	5,643	3,733	1,925	1,925		1,007	1,370	1,914	1,352	1,573	960	660	540
Partnership stores	3,058	2,129	3,065	2,415	1,575	1,575		750	739	1,094	482	975	640	440	360
China	8,004	6,071	8,599	6,068	3,420	3,420		1,743	2,085	2,979	1,792	2,531	0	0	0
Overseas	30	21	109	80	80	80		14	24	29	42	17	0	0	0
Single store drivers															
<i>Self-operated stores</i>															
Average daily cups sold	426	421	423	406	402	398		356	455	495	399	336	414	451	387
YoY	19.5%	-1.1%	0.5%	-4.1%	-1.0%	-1.0%		6.4%	9.5%	7.6%	-4.7%	-5.7%	-9.0%	-9.0%	-3.0%
ASP per cup (Rmb)	14.1	13.2	13.5	13.5	13.4	13.3		13.4	13.6	13.6	13.3	13.5	13.6	13.6	13.3
YoY	-5.6%	-6.8%	2.3%	0.2%	-1.0%	-0.5%		1.7%	3.0%	3.4%	1.0%	1.0%	0.0%	0.0%	0.0%
Daily GMV (Rmb)	6,018	5,545	5,703	5,477	5,368	5,288		4,770	6,166	6,719	5,306	4,542	5,611	6,114	5,147
YoY	12.8%	-7.9%	2.8%	-3.9%	-2.0%	-1.5%		8.2%	12.9%	11.2%	-3.8%	-4.8%	-9.0%	-9.0%	-3.0%
Store-level OP margin	22.2%	18.9%	17.8%					17.1%	21.0%	17.5%	15.0%	13.6%			
Group non-GAAP OP margin	13.1%	11.4%	11.5%	11.6%	12.7%	13.7%		9.7%	15.0%	12.6%	7.5%	7.5%	12.6%	14.7%	10.5%
Financials															
Total net revenue	24,903	34,475	49,288	60,172	66,836	71,439	13%	8,865	12,359	15,287	12,777	11,995	15,372	17,637	15,168
YoY	87%	38%	43%	22%	11%	7%		41%	47%	50%	33%	35%	24%	15%	19%
Gross profit	14,011	20,392	30,505	36,773	40,593	43,355	12%	5,290	7,758	9,747	7,669	7,142	9,500	11,111	9,021
YoY	73%	46%	50%	21%	10%	7%		59%	54%	56%	33%	35%	22%	14%	18%
Gross margin	56.3%	59.1%	61.9%	61.1%	60.7%	60.7%		59.7%	62.8%	63.8%	60.0%	59.5%	61.8%	63.0%	59.5%
Operating income	3,026	3,570	5,073	5,908	7,385	8,659	20%	735	1,700	1,777	821	716	1,633	2,280	1,279
YoY	162%	18%	42%	16%	25%	17%		-1233%	62%	13%	-18%	-3%	-4%	28%	56%
Operating margin	12.2%	10.4%	10.3%	9.8%	11.0%	12.1%		8.3%	13.8%	11.6%	6.4%	6.0%	10.6%	12.9%	8.4%
Reported net profit	2,848	2,956	3,600	4,069	5,083	6,011	19%	524	1,250	1,278	518	506	1,110	1,537	916
YoY	483%	4%	22%	13%	25%	18%		-731%	44%	-3%	-39%	-3%	-11%	20%	77%
Net margin	11.4%	8.6%	7.3%	6.8%	7.6%	8.4%		5.9%	10.1%	8.4%	4.1%	4.2%	7.2%	8.7%	6.0%
Non-GAAP net profit	3,174	3,311	4,196	5,167	6,183	7,111	19%	648	1,399	1,421	699	686	1,416	1,842	1,222
YoY	203%	4%	27%	23%	20%	15%			44%	1%	-25%	6%	1%	30%	75%
Non-GAAP net margin	12.7%	9.6%	8.5%	8.6%	9.3%	10.0%		7.3%	11.3%	9.3%	5.5%	5.7%	9.2%	10.4%	8.1%
Non-GAAP EPADS, diluted	10.03	10.39	13.07	15.95	19.09	21.95	19%	2.02	4.36	4.40	2.18	2.12	4.37	5.69	3.77

Source: Company data, J.P. Morgan estimates.

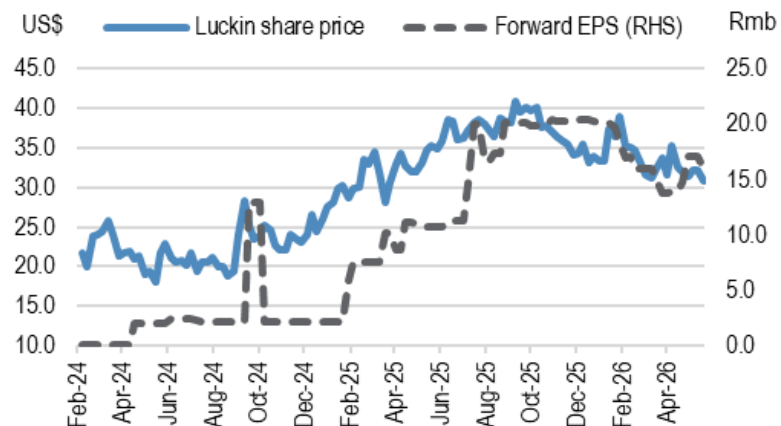
Luckin Coffee (OW): 1Q26 a solid start; margin recovery on track

Luckin - Consensus EBIT revisions



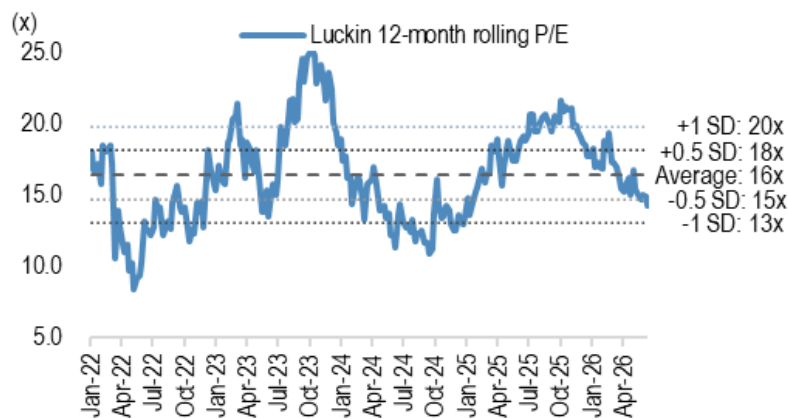
Source: Bloomberg Finance L.P. estimates.

Luckin - Share price vs consensus forward EPS



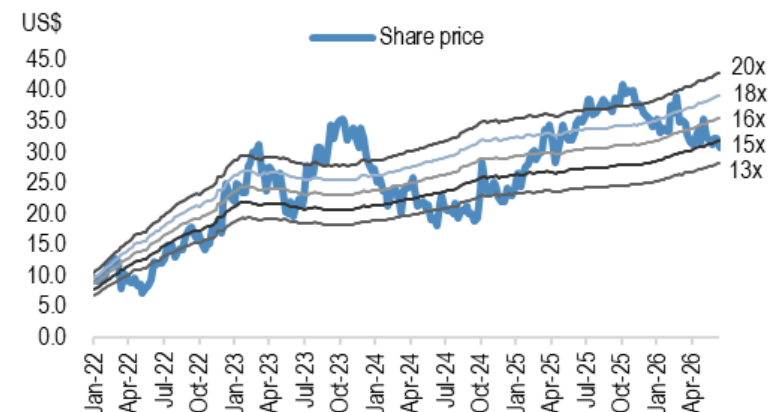
Source: Bloomberg Finance L.P.

Luckin 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Luckin 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Chagee (OW): 1Q26 signals a gradual recovery

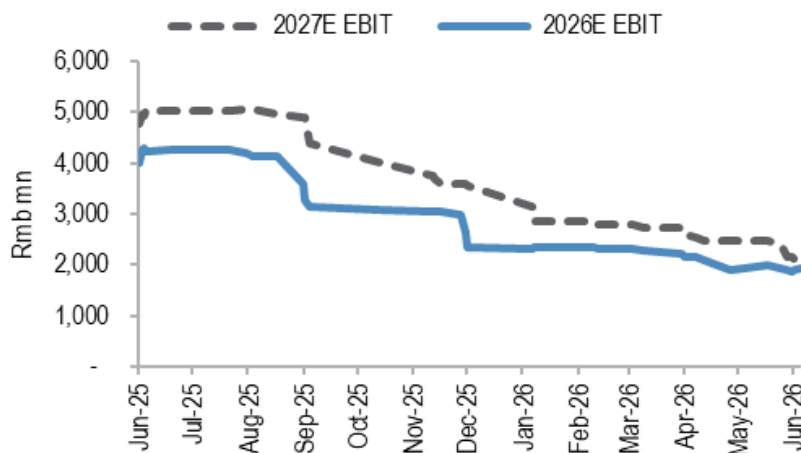
Chagee – Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Teahouse #							7% 6% 17% 5% 40%								
Total stores	3,511	6,440	7,453	7,853	8,583	9,103		6,681	7,038	7,338	7,453	7,531	7,631	7,731	7,853
Franchised	3,472	6,271	6,838	6,913	7,613	8,113		6,490	6,799	6,971	6,838	6,741	6,791	6,841	6,913
Company-owned	39	169	615	940	970	990		191	239	367	615	790	840	890	940
China	3,416	6,284	7,108	7,308	7,838	8,158		6,512	6,830	7,076	7,108	7,157	7,207	7,257	7,308
Overseas	95	156	345	545	745	945		169	208	262	345	374	424	474	545
Net change YoY															
Total stores	2,424	2,929	1,013	400	730	520		241	357	300	115	78	100	100	122
Franchised	2,415	2,799	567	75	700	500		219	309	172	(133)	(97)	50	50	72
Company-owned	9	130	446	325	30	20		22	48	128	248	175	50	50	50
China	2,392	2,868	824	200	530	320		228	318	246	32	49	50	50	51
Overseas	32	61	189	200	200	200		13	39	54	83	29	50	50	71
Key metrics															
SSSG	94.9%	2.7%													
China															
Overseas	24.5%	46.9%													
China avg monthly GMV / store (Rmb k)	483	512													
YoY	171.9%	6.0%													
Average daily cups sold per teahouse															
YoY	167%	5%	-38%	-10%	0%	0%									
Implied ASP per cup (Rmb)															
YoY	2%	1%	7%	0%	0%	0%									
</															

Source: Company data, J.P. Morgan estimates.

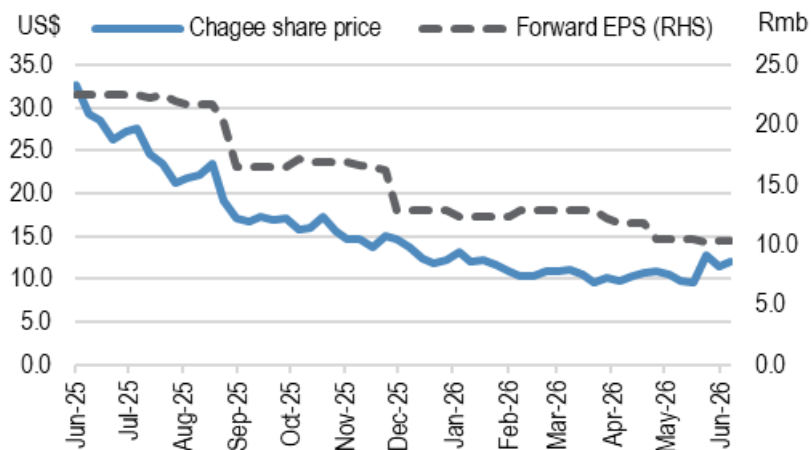
Chagee (OW): 1Q26 signals a gradual recovery

Chagee - Consensus EBIT revisions



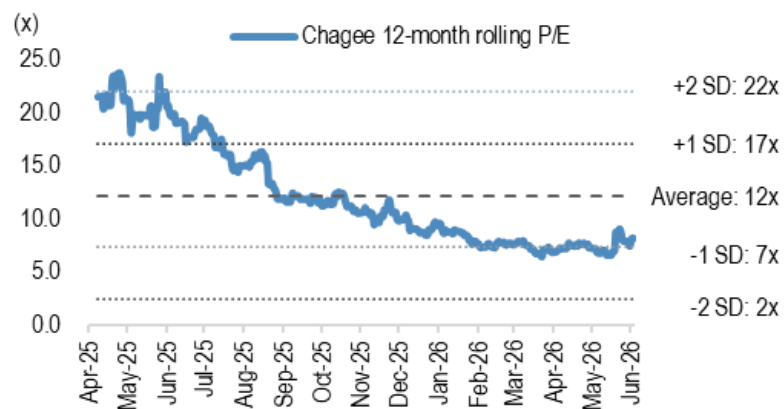
Source: Bloomberg Finance L.P. estimates.

Chagee - Share price vs consensus forward EPS



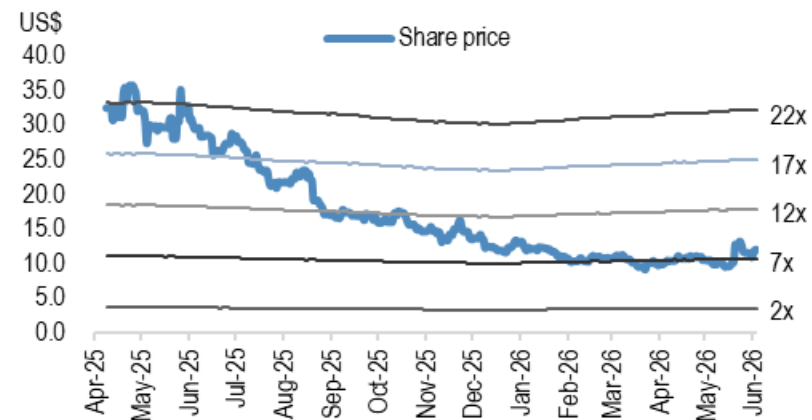
Source: Bloomberg Finance L.P.

Chagee 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Chagee 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Guming (OW): Alpha generator

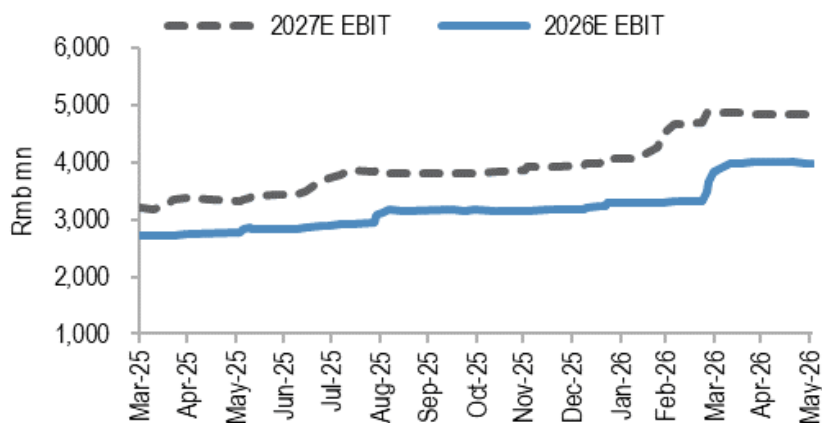
Guming – Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2022	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1H24	2H24	1H25	2H25
Total GMV	14,004	19,214	22,397	32,732	42,286	50,021	57,748	21%	10,484	11,913	14,094	18,638
YoY %	32%	37%	17%	46%	29%	18%	15%				34%	56%
Per-store daily GMV (Rmb k)	6.2	6.8	6.5	7.8	7.5	7.3	7.1	-3%	6.2	6.7	7.6	8.4
YoY %	3%	10%	-4%	20%	-3%	-3%	-2%				23%	25%
Per-store daily cups sold	385	417	384	456	447	438	429	-2%	374	387	439	495
YoY %	0%	8%	-8%	19%	-2%	-2%	-2%				17%	28%
ASP (Rmb/cup)	16.1	16.3	16.9	17.1	16.8	16.6	16.5	-1%	16.6	17.3	17.3	16.9
YoY %	3%	1%	4%	1%	-2%	-1%	-1%				4%	-2%
Total store count	6,669	9,001	9,914	13,554	17,054	20,454	23,954	21%	9,516	9,914	11,179	13,554
YoY %	17%	35%	10%	37%	26%	20%	17%				17%	37%
Net store increase	975	2,332	913	3,640	3,500	3,400	3,500		515	398	1,265	2,375
Total revenue	5,559	7,676	8,791	12,914	16,312	19,103	21,845	19%	4,009	4,782	5,663	7,251
YoY %	27%	38%	15%	47%	26%	17%	14%				41%	52%
Gross margin	28.1%	31.3%	30.6%	33.0%	33.0%	33.0%	33.0%		31.6%	29.7%	31.5%	34.2%
Core operating profit	989	1,585	1,664	2,971	3,753	4,395	5,026	19%	792	872	1,175	1,796
YoY %	5%	60%	5%	79%	26%	17%	14%				48%	106%
Core operating margin	17.8%	20.7%	18.9%	23.0%	23.0%	23.0%	23.0%		19.7%	18.2%	20.8%	24.8%
Reported net profit	367	1,080	1,479	3,109	3,304	3,881	4,430	13%	734	745	1,625	1,484
YoY %	1720%	194%	37%	110%	6%	17%	14%				122%	99%
Reported net margin	6.6%	14.1%	16.8%	24.1%	20.3%	20.3%	20.3%		18.3%	15.6%	28.7%	20.5%
Adj. net profit	783	1,442	1,552	2,706	3,404	3,981	4,543	19%	756	795	1,135	1,572
YoY %	2%	84%	8%	74%	26%	17%	14%				50%	98%
Adj. net margin	14.1%	18.8%	17.6%	21.0%	20.9%	20.8%	20.8%		18.9%	16.6%	20.0%	21.7%
Adj. EPS - diluted (Rmb)		0.70	0.75	1.15	1.45	1.69	1.93	19%	0.40	0.38	0.49	0.67
YoY %			7%	54%	26%	17%	14%				22%	75%

Source: Company data, J.P. Morgan estimates.

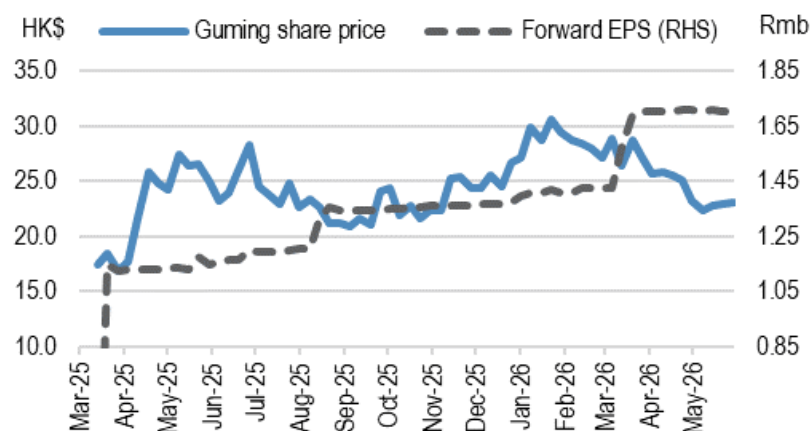
Guming (OW): Alpha generator

Guming - Consensus EBIT revisions



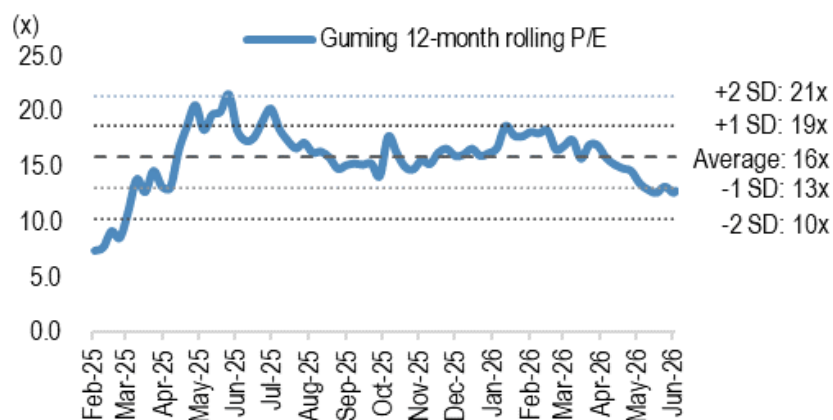
Source: Bloomberg Finance L.P. estimates.

Guming - Share price vs consensus forward EPS



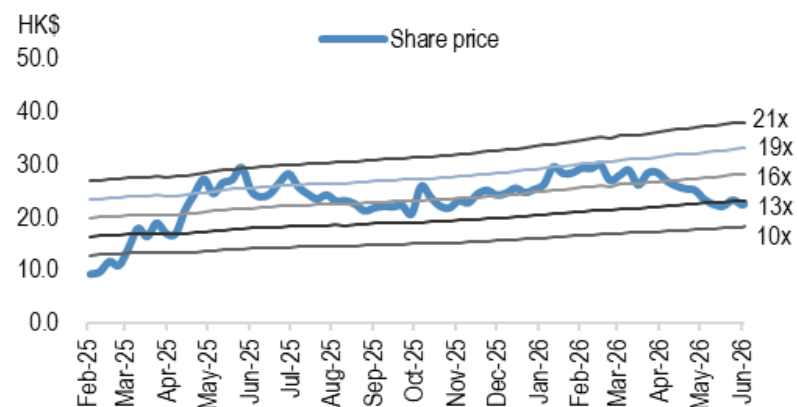
Source: Bloomberg Finance L.P.

Guming 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Guming 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Mixue (UW): Recalibrating for lower growth

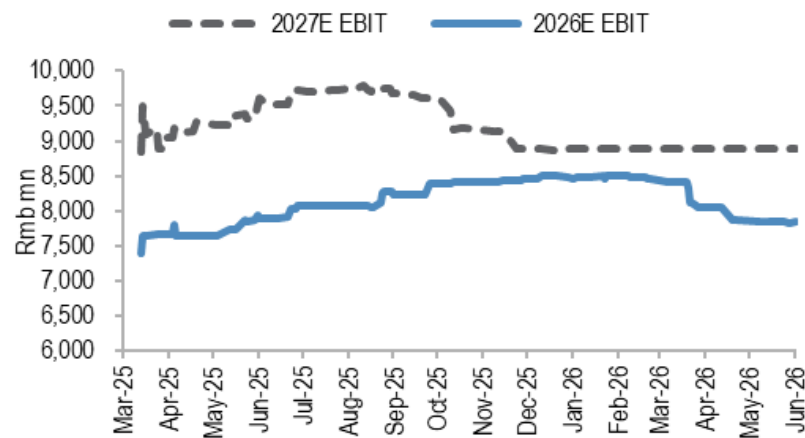
Mixue – Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1H24	2H24	1H25	2H25
Total store count (k)	37,565	46,479	59,823	63,323	68,823	73,123	7%	43,218	46,479	53,014	59,823
Mainland China	33,234	41,584	55,356	58,656	63,356	66,856	6%	38,613	41,584	48,281	55,356
Mixue	30,334	37,684	42,982	45,982	49,982	52,982	7%	35,413	37,684	41,181	42,982
Lucky Cup	2,900	3,900	11,000	10,800	11,000	11,200	1%	3,200	3,900	7,100	11,000
FULU			1,374	1,874	2,374	2,674	25%				1,374
Overseas	4,331	4,895	4,467	4,667	5,467	6,267	12%	4,605	4,895	4,733	4,467
YoY change	30%	24%	29%	6%	9%	6%			8%	14%	13%
Mainland China	22%	25%	33%	6%	8%	6%			8%	16%	15%
Mixue		24%	14%	7%	9%	6%			6%	9%	4%
Lucky Cup		34%	182%	-2%	2%	2%			22%	82%	55%
Overseas	141%	13%	-9%	4%	17%	15%			6%	-3%	-6%
Net opening (k)	8,582	8,914	13,344	3,500	5,500	4,300		43,218	3,261	6,535	6,809
Mainland China	6,046	8,350	13,772	3,300	4,700	3,500		38,613	2,971	6,697	7,075
Mixue		7,350	5,298	3,000	4,000	3,000		35,413	2,271	3,497	1,801
Lucky Cup		1,000	7,100	-200	200	200		3,200	700	3,200	3,900
FULU			1,374	500	500	300					1,374
Overseas	2,536	564	-428	200	800	800		4,605	290	-162	-266
ASP (Rmb)	6.5	6.4	6.4	6.6	6.5	6.4	0%				
YoY change	-1%	0%	-1%	3%	-1%	-1%					
No. of cups sold per day per store	609	590	627	574	572	571	-3%				
YoY change	16%	-3%	6%	-8%	0%	0%					
Key financial metrics (Rmb mn)											
Total revenue	20,302	24,829	33,560	36,878	39,134	41,520	7%	10,677	14,152	14,875	18,685
YoY change	50%	22%	35%	10%	6%	6%				39%	32%
Gross profit	5,999	8,060	10,452	11,063	11,740	12,456	6%	3,403	4,658	4,706	5,745
YoY change	56%	34%	30%	6%	6%	6%				38%	23%
Gross margin	29.5%	32.5%	31.1%	30.0%	30.0%	30.0%		31.9%	32.9%	31.6%	30.7%
Operating profit	3,985	5,601	7,232	7,551	8,052	8,543	6%	2,431	3,169	3,314	3,918
YoY change	57%	41%	29%	4%	7%	6%				36%	24%
Operating margin	19.6%	22.6%	21.5%	20.5%	20.6%	20.6%		22.8%	22.4%	22.3%	21.0%
Reported net profit	3,137	4,437	5,887	6,131	6,542	6,953	6%	1,884	2,552	2,693	3,194
YoY change	57%	41%	33%	4%	7%	6%				43%	25%
Net margin	15.5%	17.9%	17.5%	16.6%	16.7%	16.7%		17.6%	18.0%	18.1%	17.1%
Adjusted net profit	3,207	4,519	6,037	6,151	6,561	6,972	5%	1,906	2,612	2,708	3,328
YoY change	58%	41%	34%	2%	7%	6%				42%	27%
Adj. net margin	15.8%	18.2%	18.0%	16.7%	16.8%	16.8%		17.9%	18.5%	18.2%	17.8%

Source: Company data, J.P. Morgan estimates.

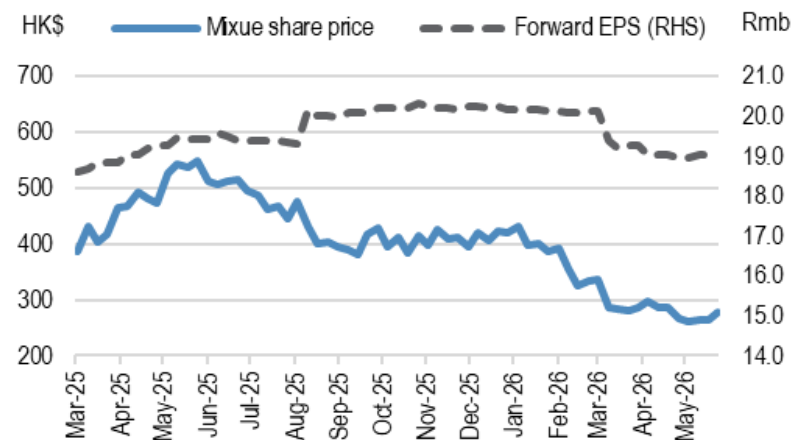
Mixue (UW): Recalibrating for lower growth

Mixue - Consensus EBIT revisions



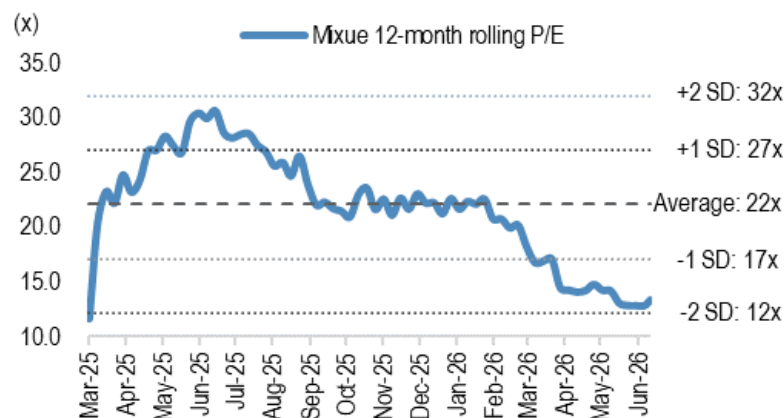
Source: Bloomberg Finance L.P. estimates.

Mixue - Share price vs consensus forward EPS



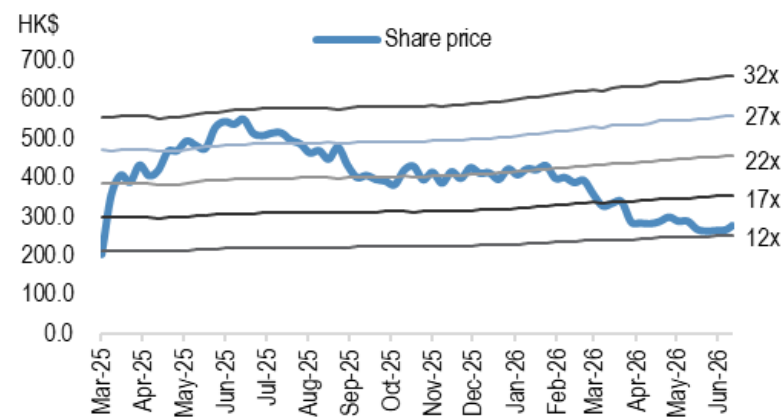
Source: Bloomberg Finance L.P.

Mixue 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Mixue 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Pop Mart (N): Moat intact, timing nuanced

Pop Mart – 2-year base case, bull case and bear case scenario analysis

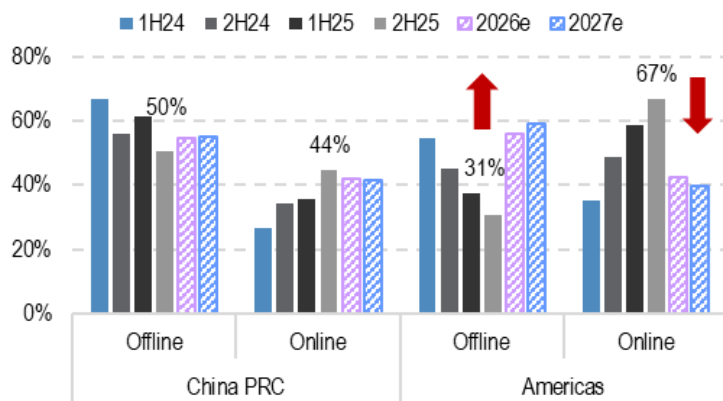
FYE Dec 31 (Rm b m n)	Base case (JPMe)							Bull case			Bear case		
	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
Total revenue	37,120	9,707	9,625	10,144	11,121	40,598	45,657	37,120	42,572	50,288	37,120	36,821	40,109
YoY	185%	76%	15%	-17%	1%	9%	12%	185%	15%	18%	185%	-1%	9%
* China PRC	20,852	6,610	6,440	6,633	6,954	26,636	28,836	20,852	27,107	31,173	20,852	25,022	27,524
YoY	135%	103%	28%	-1%	18%	28%	8%	135%	30%	15%	135%	20%	10%
* Overseas	16,268	3,098	3,186	3,511	4,167	13,961	16,821	16,268	15,465	19,114	16,268	11,799	12,584
YoY	292%	38%	-5%	-36%	-19%	-14%	20%	292%	-5%	24%	292%	-27%	7%
- Asia Pacific	8,011	1,578	1,595	1,787	2,101	7,060	7,866	8,011	8,011	9,213	8,011	6,409	6,729
YoY	158%	25%	0%	-31%	-19%	-12%	11%	158%	0%	15%	158%	-20%	5%
- Americas	6,806	1,240	1,267	1,368	1,577	5,453	6,733	6,806	5,785	7,232	6,806	4,084	4,288
YoY	748%	55%	-13%	-41%	-29%	-20%	23%	748%	-15%	25%	748%	-40%	5%
- Europe and others	1,451	280	323	356	489	1,448	2,221	1,451	1,669	2,670	1,451	1,306	1,567
YoY	506%	60%	7%	-41%	31%	0%	53%	506%	15%	60%	506%	-10%	20%
Gross profit	26,765					27,873	31,609	26,765	29,375	35,201	26,765	24,670	26,873
Gross margin	72.1%					68.7%	69.2%	72.1%	69.0%	70.0%	72.1%	67.0%	67.0%
Gross margin yoy	5.3%					-3.4%	0.6%	5.3%	-3.1%	1.0%	5.3%	-5.1%	0.0%
D&S cost	(8,082)					(9,865)	(11,095)	(8,082)	(9,366)	(10,560)	(8,082)	(9,205)	(9,626)
% of revenue	21.8%					24.3%	24.3%	21.8%	22.0%	21.0%	21.8%	25.0%	24.0%
G&A cost	(1,770)					(2,192)	(2,465)	(1,770)	(2,043)	(2,414)	(1,770)	(2,025)	(2,086)
% of revenue	4.8%					5.4%	5.4%	4.8%	4.8%	4.8%	4.8%	5.5%	5.2%
EBIT	16,890					15,979	18,233	16,890	18,129	22,412	16,890	13,603	15,345
YoY	307%					-5%	14%	307%	7%	24%	307%	-19%	13%
EBIT margin	45.5%					39.4%	39.9%	45.5%	42.6%	44.6%	45.5%	36.9%	38.3%
EBIT margin yoy	13.6%					-6.1%	0.6%	13.6%	3.2%	2.0%	13.6%	-5.6%	1.3%
Profit before tax	17,037					16,065	18,297	17,037	18,215	22,475	17,037	13,689	15,409
Net profit	12,776					12,047	13,721	12,776	13,659	16,854	12,776	10,265	11,555
Net margin	34.4%					29.7%	30.1%	34.4%	32.1%	33.5%	34.4%	27.9%	28.8%
Net profit (adjusted)	12,847					12,119	13,792	12,847	13,731	16,926	12,847	10,337	11,627
YoY	299%					-6%	14%	299%	7%	23%	299%	-20%	12%
Adj net margin	34.6%					29.9%	30.2%	34.6%	32.3%	33.7%	34.6%	28.1%	29.0%
Adj net margin yoy	9.9%					-4.8%	0.4%	9.9%	2.4%	1.4%	9.9%	-4.2%	0.9%
2025-27E Earnings CAGR						Base case	4%		Bull case	15%		Bear case	-5%
Trading P/E multiple						16x	14x		14x	12x		19x	17x
Target P/E multiple						14x	14x		18x	18x		12x	12x
Fair value (HK\$)						\$145	\$165		\$210	\$260		\$106	\$120
Implied up/(down)side						-15%	-3%		23%	52%		-38%	-30%

Note: Price as of 17 Jun 2026.

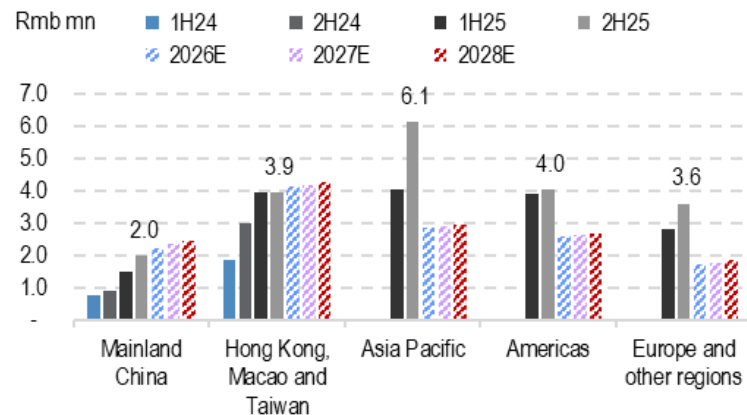
Source: Company data, J.P. Morgan estimates.

Pop Mart (N): Moat intact, timing nuanced

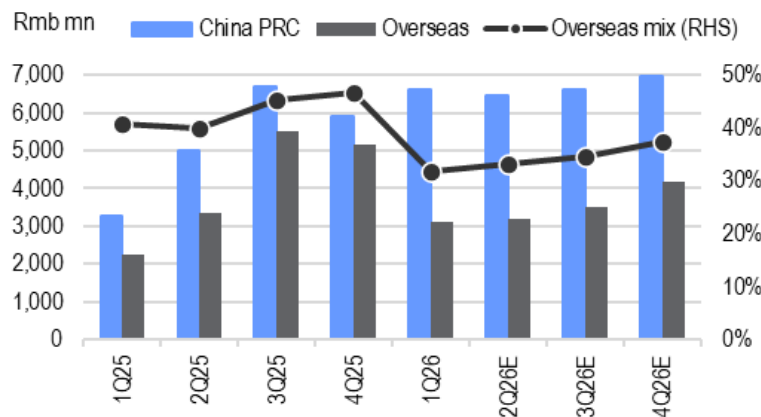
Channel mix is more balanced in China, while online channels overshoot in the Americas – needs to be addressed in 2026



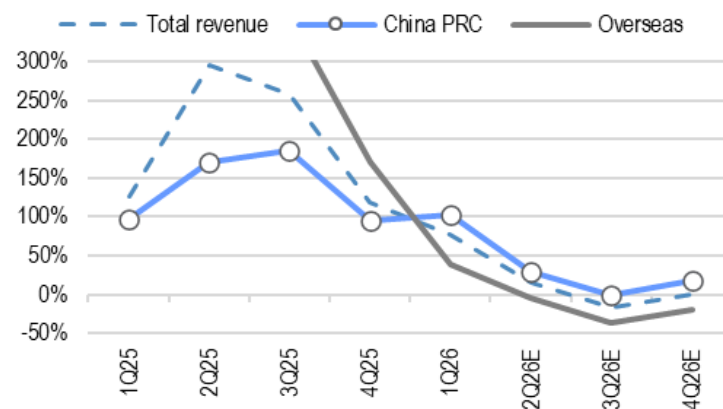
Overseas monthly revenue per store should normalize from 2026 after surge in 2025



We expect overseas and China revenue to sequentially improve in the next few quarters...



...and yoy growth to stabilize in 4Q26, after a double-digit yoy sales decline in 3Q26 on a tough base

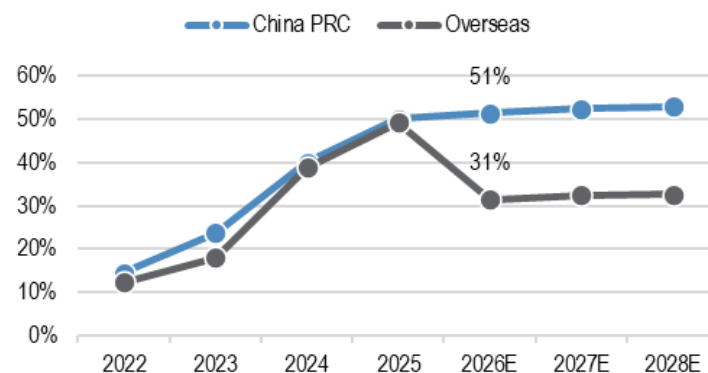


Pop Mart (N): Moat intact, timing nuanced

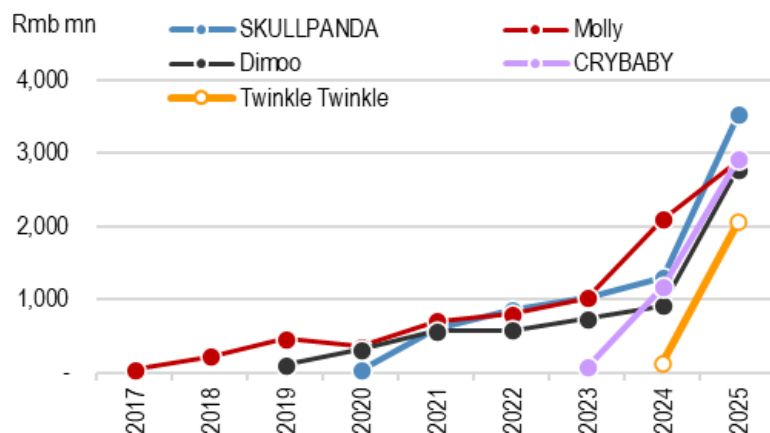
Quarterly revenue by channels

FYE Dec 31 (Rmb mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue YoY (JPMe)								
Total revenue	126%	295%	257%	118%	76%	15%	-17%	1%
China PRC	96%	170%	185%	95%	103%	28%	-1%	18%
Overseas	475%	410%	360%	171%	38%	-5%	-36%	-19%
- Asia Pacific	345%	210%	170%	90%	25%	0%	-31%	-19%
- Americas	895%	1337%	1265%	392%	55%	-13%	-41%	-29%
- Europe and others	600%	610%	735%	273%	60%	7%	-41%	31%
Revenue QoQ (JPMe)								
Total revenue	9%	52%	45%	-9%	-12%	-1%	5%	10%
China	8%	54%	33%	-12%	12%	-3%	3%	5%
Overseas	17%	50%	64%	-6%	-40%	3%	10%	19%
- Asia Pacific	-7%	26%	62%	0%	-39%	1%	12%	18%
- Americas	78%	83%	59%	-5%	-44%	2%	8%	15%
- Europe and others	75%	73%	99%	-38%	-25%	16%	10%	37%

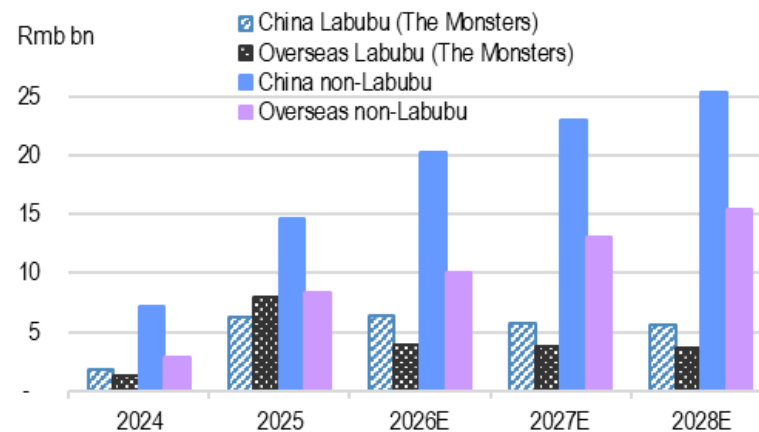
While China operating margin will be relatively stable, overseas operating margin will decline to 31% in 2026E from 49% in 2025, and gradually improve afterwards



Pop Mart has proven its capability in the commercialization of artist IPs, with revenue scale of Molly, Skullpanda and Dimoo reaching historical high in Pop Mart's hands



We expect 20% and 23% revenue CAGRs from non-Labubu IPs in China and overseas markets in 2025-28E



Pop Mart (N): Moat intact, timing nuanced

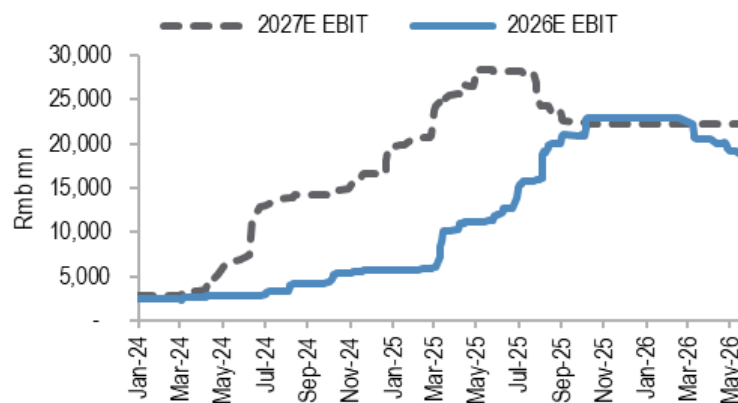
Pop Mart – Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2024	2025	2026E	2027E	2028E	26-28E CAGR	1H25	2H25	1H26E	2H26E
Store count										
Retail store	531	630	744	817	889	9%	571	630	681	744
Mainland China	401	410	430	440	450		409	410	420	430
Hong Kong, Macao and Taiwan	30	35	39	42	44		34	35	37	39
Overseas	100	185	275	335	395		128	185	224	275
Net opening										
Retail store	98	99	114	73	72		40	59	51	63
Mainland China	38	9	20	10	10		8	1	10	10
Hong Kong, Macao and Taiwan	30	5	4	3	2		4	1	2	2
Overseas	30	85	90	60	60		28	57	39	51
Revenue by Region										
The PRC	8,886	20,852	26,636	28,836	30,939	8%	8,283	12,569	13,049	13,587
Overseas	4,151	16,268	13,961	16,821	19,063	17%	5,593	10,675	6,283	7,678
Asia Pacific	3,110	8,011	7,060	7,866	8,478		2,851	5,160	3,173	3,887
Americas	802	6,806	5,453	6,733	7,604		2,265	4,541	2,507	2,946
Europe and other regions	239	1,451	1,448	2,221	2,981		478	973	603	845
Total	13,038	37,120	40,598	45,657	50,002	11%	13,876	23,244	19,332	21,265
YoY change										
The PRC		135%	28%	8%	7%		135%	134%	58%	8%
Overseas		292%	-14%	20%	13%		434%	244%	12%	-28%
Asia Pacific		158%	-12%	11%	8%		258%	123%	11%	-25%
Americas		748%	-20%	23%	13%		1142%	633%	11%	-35%
Europe and other regions		506%	0%	53%	34%		607%	467%	26%	-13%
Total		185%	9%	12%	10%		204%	174%	39%	-9%
FYE Dec 31 (Rmb mn)	2024	2025	2026E	2027E	2028E	26-28E CAGR	1H25	2H25	1H26E	2H26E
Total revenue	13,038	37,120	40,598	45,657	50,002	11%	13,876	23,244	19,332	21,265
YoY %	107%	185%	9%	12%	10%		204%	174%	39%	-9%
Gross margin	66.8%	72.1%	68.7%	69.2%	69.4%		70.3%	73.2%	68.7%	68.7%
Operating profit	4,154	16,890	15,979	18,233	20,057	12%	6,044	10,847	7,456	8,523
YoY %	238%	307%	-5%	14%	10%		437%	258%	23%	-21%
Operating margin	31.9%	45.5%	39.4%	39.9%	40.1%		43.6%	46.7%	38.6%	40.1%
Reported net profit	3,125	12,776	12,047	13,721	15,141	12%	4,574	8,201	5,623	6,424
YoY %	189%	309%	-6%	14%	10%		396%	272%	23%	-22%
Reported net margin	24.0%	34.4%	29.7%	30.1%	30.3%		33.0%	35.3%	29.1%	30.2%
Adj. net profit	3,220	12,847	12,119	13,792	15,212	12%	4,602	8,245	5,659	6,460
YoY %	172%	299%	-6%	14%	10%		372%	267%	23%	-22%
Adj. net margin	24.7%	34.6%	29.9%	30.2%	30.4%		33.2%	35.5%	29.3%	30.4%
Adj. EPS - basic (Rmb)	2.43	9.66	9.02	10.27	11.33	12%	3.46	6.20	4.21	4.81
YoY %	174%	298%	-7%	14%	10%		371%	271%	22%	-22%

Source: Company data, J.P. Morgan estimates.

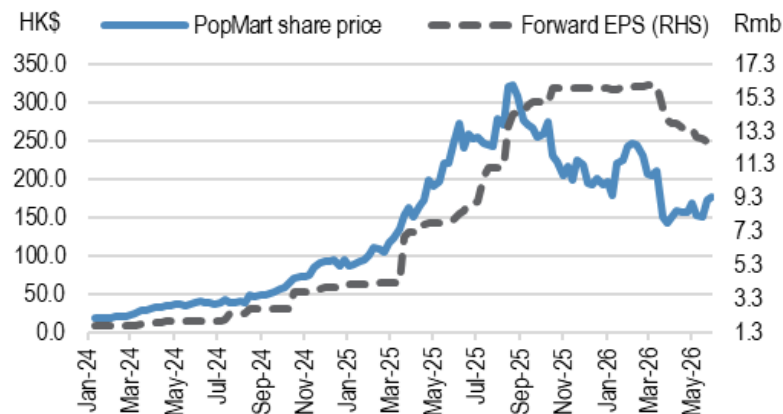
Pop Mart (N): Moat intact, timing nuanced

Pop Mart - Consensus EBIT revisions



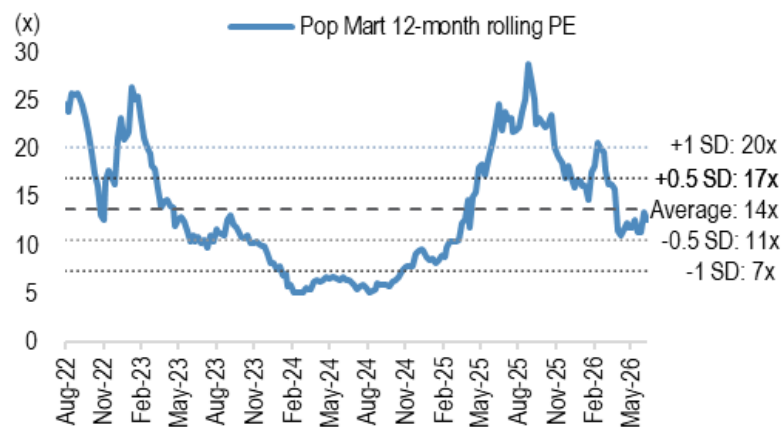
Source: Bloomberg Finance L.P. estimates.

Pop Mart - Share price vs consensus forward EPS



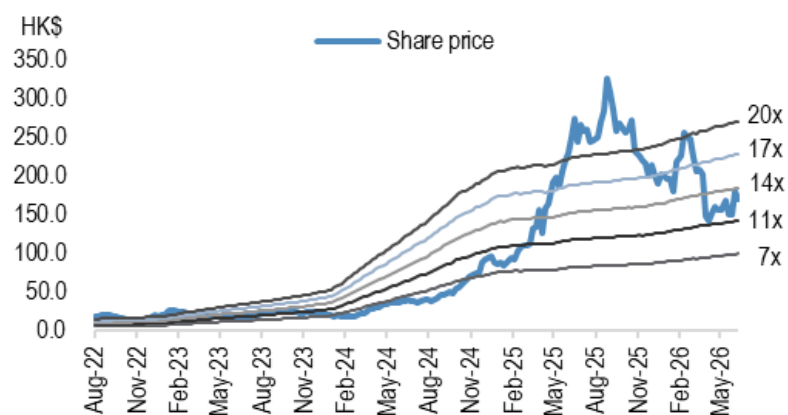
Source: Bloomberg Finance L.P.

Pop Mart 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Pop Mart 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Pop Mart (N): Moat intact, timing nuanced

Pop Mart SOTP-based stress valuation test: 15x target 2026E P/E on China business (17% CAGR) and 8x on overseas business (trough valuation for cyclicals) implies a fair value of HK\$140; China alone = HK\$124

FYE Dec 31 (Rmb mn)	2024	2025	2026E	2027E	2028E	25-28E CAGR
Revenue	13,038	37,120	40,598	45,657	50,002	10%
China PRC	8,886	20,852	26,636	28,836	30,939	14%
Overseas	4,151	16,268	13,961	16,821	19,063	5%
* Asia Pacific	3,110	8,011	7,060	7,866	8,478	2%
* Americas	802	6,806	5,453	6,733	7,604	4%
* Europe and other regions	239	1,451	1,448	2,221	2,981	27%
NPM estimates	24.7%	34.6%	29.9%	30.2%	30.4%	
China PRC	24.7%	35.0%	36.3%	37.3%	37.8%	
Overseas	24.7%	34.1%	17.6%	18.1%	18.5%	
* Asia Pacific	24.7%	34.0%	17.3%	18.2%	18.5%	
* Americas	25.0%	34.0%	15.3%	16.2%	16.5%	
* Europe and other regions	23.7%	35.2%	27.7%	23.4%	23.7%	
Estimated core net profit	3,220	12,847	12,119	13,792	15,212	6%
China PRC	2,195	7,298	9,664	10,750	11,689	17%
Overseas	1,025	5,549	2,455	3,042	3,523	-14%
* Asia Pacific	768	2,724	1,220	1,432	1,565	-17%
* Americas	201	2,314	834	1,091	1,251	-19%
* Europe and other regions	57	511	401	519	708	11%
Target PE multiple (x)		12.0	13.6	13.5		
China PRC		15	15	15		
Overseas		8	8	8		
Fair Value (Rmb mn)		153,865	164,596	185,590		
China PRC		109,472	144,959	161,255		
Overseas		44,394	19,637	24,335		
* Asia Pacific		21,790	9,763	11,454		
* Americas		18,513	6,668	8,727		
* Europe and other regions		4,091	3,205	4,154		
Fair Value per share (HK\$)		130	140	160		
China PRC		94	124	138		
Overseas		37.9	16.8	20.8		
* Asia Pacific		18.6	8.3	9.8		
* Americas		15.8	5.7	7.5		
* Europe and other regions		3.5	2.7	3.5		

Note: Red text refers to JPMe. Our Jun-27 PT of HK\$165 is based on 14x target 2027E P/E. Risks to Rating and Price Target: Key upside risks include: successful launches of new super IP, expansion of licensing business, category expansion, and faster recovery of overseas business. Key downside risks: include delays or

Miniso – ADR/H (OW): Parkification drives the next growth wave

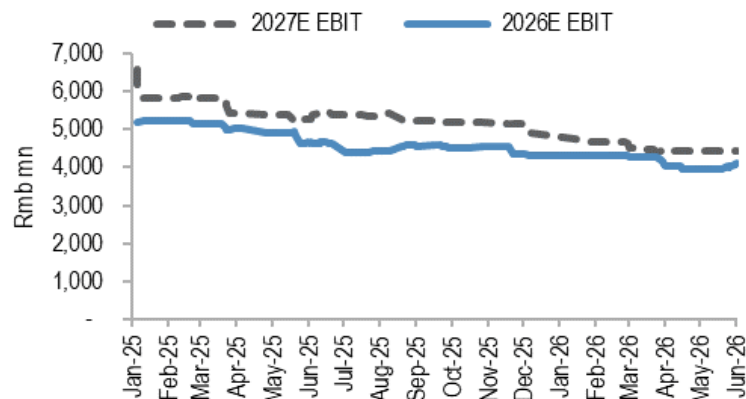
Miniso – Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26
Total store count	7,780	8,485	9,015	9,495	9,925	5%	7,768	7,905	8,138	8,485	8,565
Miniso	7,504	8,151	8,621	9,041	9,411	5%	7,488	7,612	7,831	8,151	8,210
China	4,386	4,568	4,688	4,808	4,928	3%	4,275	4,305	4,407	4,568	4,593
Overseas	3,118	3,583	3,933	4,233	4,483	8%	3,213	3,307	3,424	3,583	3,617
Top Toy	276	334	394	454	514	15%	280	293	307	334	355
Net opening	1,219	705	530	480	430		(12)	137	233	347	80
Miniso	1,091	647	470	420	370		(16)	124	219	320	59
China	460	182	120	120	120		(111)	30	102	161	25
Overseas	631	465	350	300	250		95	94	117	159	34
Top Toy	128	58	60	60	60		4	13	14	27	21
Revenue by brand	16,994	21,444	25,606	29,443	33,458	16%	4,427	4,966	5,797	6,254	5,688
Miniso	16,003	19,525	22,745	25,711	28,772	14%	4,086	4,563	5,221	5,654	5,173
Top Toy	983	1,916	2,858	3,728	4,681	35%	340	402	575	599	514
YoY change	23%	26%	19%	15%	14%		19%	23%	28%	33%	28%
Miniso	22%	22%	16%	13%	12%		17%	20%	23%	28%	27%
Top Toy	45%	95%	49%	30%	26%		59%	87%	111%	112%	51%
FYE Dec 31 (Rmb mn)	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26
Total revenue	16,994	21,444	25,606	29,443	33,458	16%	4,427	4,966	5,797	6,254	5,688
YoY %	23%	26%	19%	15%	14%		19%	23%	28%	33%	28%
Gross margin	44.9%	45.0%	44.5%	44.3%	44.4%		44.2%	44.3%	44.7%	46.4%	43.3%
Adj. operating profit	3,394	3,665	3,884	4,461	5,014	11%	733	839	1,040	1,053	838
YoY %	18%	8%	6%	15%	12%		-5%	7%	18%	10%	14%
Adj. operating margin	20.0%	17.1%	15.2%	15.2%	15.0%		16.6%	16.9%	17.9%	16.8%	14.7%
Reported net profit	2,618	1,205	3,011	3,177	3,648	45%	416	490	441	(142)	1,251
YoY %	16%	-54%	150%	6%	15%		-29%	-17%	-31%	-118%	200%
Reported net margin	15.4%	5.6%	11.8%	10.8%	10.9%		9.4%	9.9%	7.6%	-2.3%	22.0%
Adj. net profit	2,714	2,892	2,832	3,406	3,792	9%	586	679	784	844	633
YoY %	16%	7%	-2%	20%	11%		-4%	9%	16%	5%	8%
Adj. net margin	16.0%	13.5%	11.1%	11.6%	11.3%		13.2%	13.7%	13.5%	13.5%	11.1%
Adj. EPADS - basic (Rmb)	8.78	9.45	8.35	11.01	12.26	9%	1.92	2.24	2.48	2.80	1.80
YoY %	16%	8%	-12%	32%	11%		-2%	12%	13%	9%	-6%

Source: Company data, J.P. Morgan estimates.

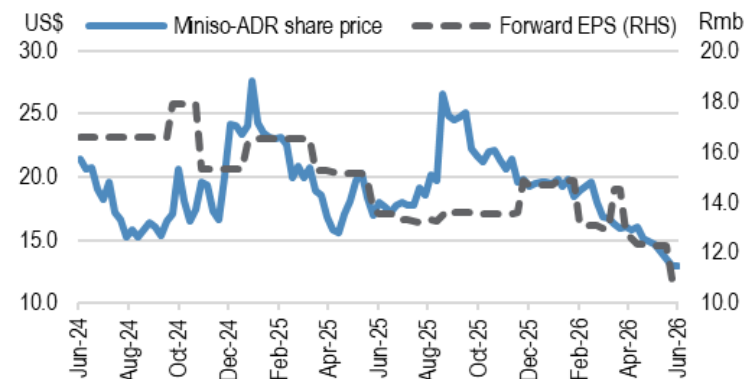
Miniso – ADR/H (OW): Parkification drives the next growth wave

Miniso (ADR) - Consensus EBIT revisions



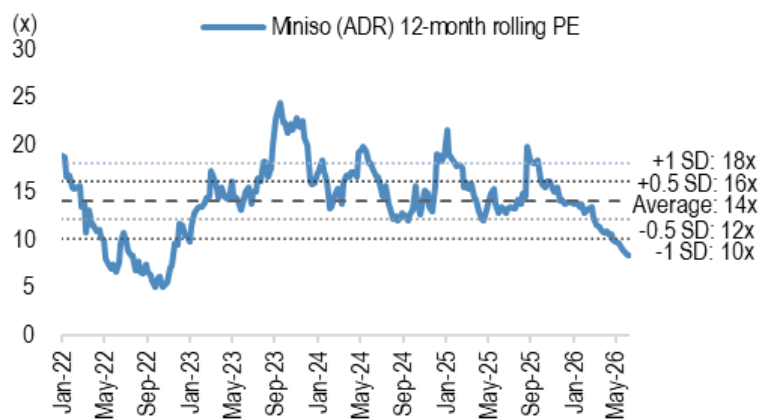
Source: Bloomberg Finance L.P. estimates.

Miniso (ADR) - Share price vs consensus forward EPS



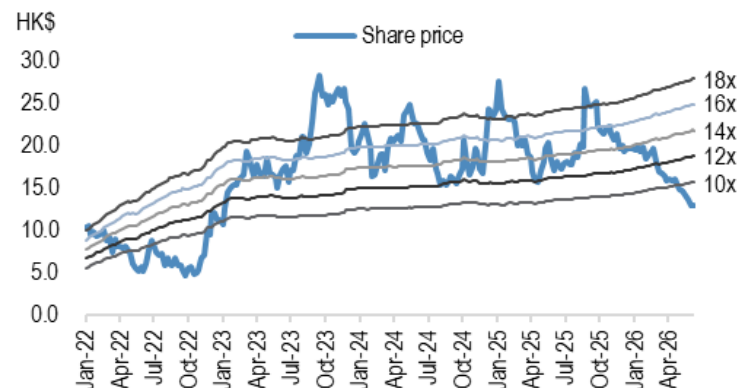
Source: Bloomberg Finance L.P.

Miniso (ADR) 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Miniso (ADR) 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

CR Beer (OW): Right side of the channel migration

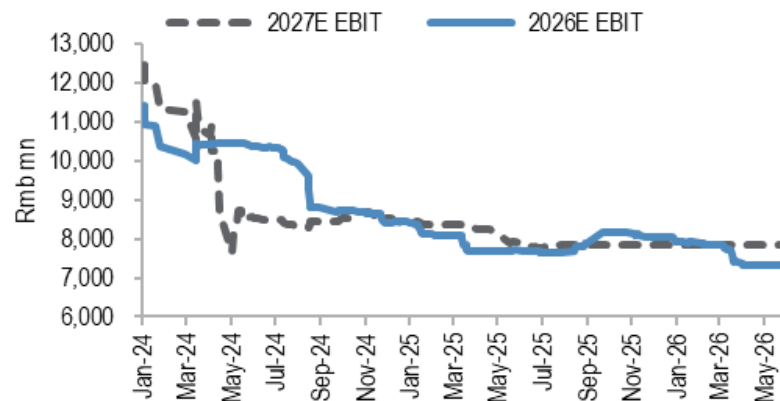
CR Beer – Key operating and financial metrics

P&L (Rmb mn, FYE Dec 31)	2022	2023	2024	1H25	2H25	2025	2026E	2027E	2028E
Total revenue	35,263	38,932	38,635	23,942	14,043	37,985	39,506	40,752	42,209
- Beer		36,865	36,486	23,161	13,328	36,489	38,052	39,269	40,652
- Baijiu		2,067	2,149	781	715	1,496	1,454	1,483	1,557
Total revenue yoy (%)	5.6%	10.4%	-0.8%	0.8%	-5.7%	-1.7%	4.0%	3.2%	3.6%
- Beer revenue yoy (%)	5.6%	4.5%	-1.0%	2.6%	-4.3%	0.0%	4.3%	3.2%	3.5%
* Beer volume	0.4%	0.5%	-2.5%	2.2%	0.4%	1.4%	0.9%	1.1%	1.3%
-- Sub-premium +	12.6%	18.9%	4.3%	6.1%	5.3%	5.7%	7.0%	7.8%	7.9%
-- Mid-end	-1.7%	-1.6%	-3.1%	1.7%	-1.2%	0.4%	-0.4%	1.0%	1.0%
-- Low-end	-2.4%	-5.3%	-5.4%	0.5%	-1.2%	-0.2%	-1.6%	-3.0%	-3.0%
* Beer ASP	5.2%	4.0%	1.5%	0.4%	-4.6%	-1.4%	3.3%	2.1%	2.2%
- Baijiu revenue yoy (%)			4.0%	-33.7%	-26.4%	-30.4%	-2.8%	2.0%	5.0%
Gross profit	13,561	16,103	16,475	11,704	4,656	16,360	17,097	17,932	18,728
- Beer		14,802	15,004	11,178	4,320	15,498	16,151	16,924	17,670
- Baijiu		1,301	1,471	526	336	862	946	1,008	1,059
Gross margin (%)	38.5%	41.4%	42.6%	48.9%	33.2%	43.1%	43.3%	44.0%	44.4%
- Beer		40.2%	41.1%	48.3%	32.4%	42.5%	42.4%	43.1%	43.5%
- Baijiu		62.9%	68.5%	67.3%	47.0%	57.6%	65.1%	68.0%	68.0%
SG&A	(10,070)	(11,427)	(11,681)	(5,556)	(5,331)	(10,887)	(10,707)	(10,814)	(11,183)
SG&A as % of sales	-28.6%	-29.4%	-30.2%	-23.2%	-38.0%	-28.7%	-27.1%	-26.5%	-26.5%
EBIT (IFRS)	5,227	6,961	6,574	7,691	(2,416)	5,275	7,930	8,677	9,147
- EBIT yoy growth (%)	-12.8%	33.2%	-5.6%	20.8%	-1272.8%	-19.8%	50.3%	9.4%	5.4%
- EBIT margin (%)	14.8%	17.9%	17.0%	32.1%	-17.2%	13.9%	20.1%	21.3%	21.7%
Adj EBIT (IFRS ex-special items) *	5,462	7,102	6,344	7,105	348	7,453	8,065	8,814	9,286
- Beer		7,030	6,277	7,276	678	7,954	8,287	8,795	9,266
- Baijiu		130	116	(152)	(325)	(477)	(194)	45	46
- Unallocated corporate exp		(58)	(49)	(19)	(5)	(24)	(28)	(26)	(26)
Adj EBIT yoy (%) - cur. year vs last year	17.4%	30.0%	2.9%	11.3%	56.1%	12.8%	8.8%	9.3%	5.4%
- Beer		27.5%	2.0%	14.0%	340.3%	21.7%	4.7%	6.1%	5.4%
- Baijiu			72.1%	-416.7%	-545.2%	-494.2%	59.3%	-122.9%	2.3%
Adj EBIT margin (%)	15.5%	18.2%	16.4%	29.7%	2.5%	19.6%	20.4%	21.6%	22.0%
- Beer		19.1%	17.2%	31.4%	5.1%	21.8%	21.8%	22.4%	22.8%
- Baijiu		6.3%	5.4%	-19.5%	-45.5%	-31.9%	-13.4%	3.0%	2.9%
Net Profit attributable to shareholders	4,344	5,153	4,739	5,789	(2,418)	3,371	5,979	6,505	6,893
- Beer	4,344	4,961	4,697	5,856	626	6,482	6,067	6,494	6,883
- Baijiu		192	42	(67)	(3,044)	(3,111)	(89)	10	11
Net profit yoy growth (%)	-5.3%	18.6%	-8.0%	23.0%	-7211.8%	-28.9%	77.4%	8.8%	6.0%
Net margin (%)	12.3%	13.2%	12.3%	24.2%	-17.2%	8.9%	15.1%	16.0%	16.3%
- Beer		13.5%	12.9%	25.3%	4.7%	17.8%	15.9%	16.5%	16.9%
- Baijiu		9.3%	1.9%	-8.6%	-425.8%	-208.0%	-6.1%	0.7%	0.7%
Adjusted net earnings (ex-impairment)	4,520	5,257	4,570	5,789	459	6,248	5,979	6,505	6,893
Adj NP yoy (%)	26.2%	16.3%	-0.9%	22.7%	-408.1%	36.7%	-4.3%	8.8%	6.0%
Adj net margin (%)	12.8%	13.5%	11.8%	24.2%	3.3%	16.4%	15.1%	16.0%	16.3%
Dividend payout (% on reported NP)	40%	59%	52%			53%	65%	70%	70%
Dividend yield (%)						5%	5.6%	6.5%	6.9%

Source: Company data, J.P. Morgan estimates.

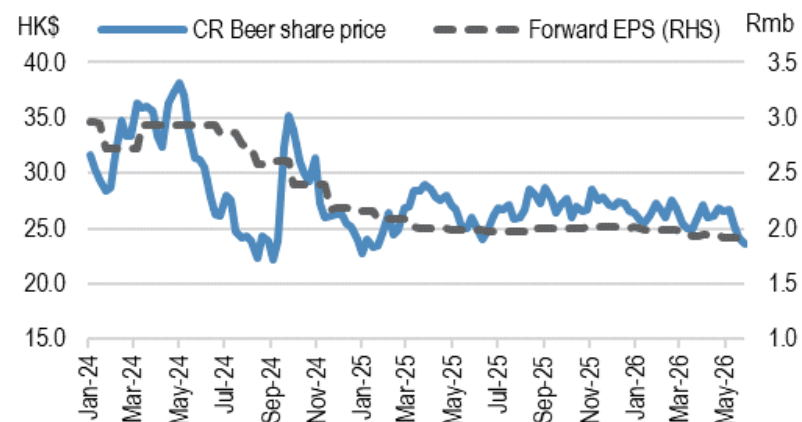
CR Beer (OW): Right side of the channel migration

CR Beer - Consensus EBIT revisions



Source: Bloomberg Finance L.P. estimates.

CR Beer - Share price vs consensus forward EPS



Source: Bloomberg Finance L.P.

CR Beer 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

CR Beer 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Bud APAC: Channel migration and early recovery in a shifting landscape

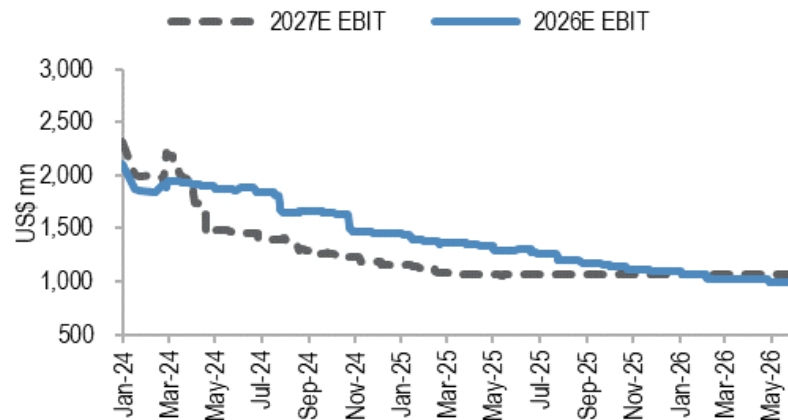
BUD APAC– Key operating and financial metrics

P&L, US\$ mn	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	2026E	2027E	2028E
Sales volume ('000 HL)	88,491	92,767	84,811	19,741	23,887	22,512	13,518	79,658	81,237	82,515	83,460
- APAC East	11,573	11,539	11,960	2,860	2,846	3,393	2,712	11,811	11,796	12,032	12,273
- APAC West	76,918	81,228	72,851	16,881	21,041	19,119	10,806	67,847	69,441	70,482	71,187
Volume yoy (% , organic)	0.7%	4.6%	-8.8%	-6.1%	-6.2%	-8.6%	-0.7%	-6.0%	2.0%	1.6%	1.1%
- APAC East	8.9%	-0.3%	3.6%	11.9%	-10.4%	-0.6%	-3.7%	-1.3%	-0.1%	2.0%	2.0%
- APAC West	-0.4%	5.3%	-10.6%	-8.6%	-5.6%	-9.9%	0.1%	-6.7%	2.4%	1.5%	1.0%
ASP yoy (% , organic)	1.7%	6.2%	2.0%	-1.5%	2.4%	0.1%	-3.5%	-0.2%	0.1%	1.4%	1.8%
- APAC East	6.1%	1.5%	8.7%	-0.2%	2.2%	4.5%	3.2%	2.5%	3.0%	2.5%	2.5%
- APAC West	-0.1%	7.7%	-0.9%	-3.4%	3.0%	-2.4%	-5.7%	-1.5%	-0.5%	1.0%	1.5%
Revenue (\$ mn)	6,478	6,856	6,246	1,461	1,675	1,555	1,073	5,764	6,018	6,197	6,381
- APAC East	1,251	1,243	1,352	295	319	392	304	1,310	1,351	1,413	1,477
- APAC West	5,227	5,613	4,894	1,166	1,356	1,163	769	4,454	4,667	4,784	4,904
Revenue yoy (% , organic)	2.4%	11.1%	-7.0%	-7.5%	-3.9%	-8.4%	-4.2%	-6.1%	2.1%	3.0%	3.0%
- APAC East	15.5%	1.2%	12.7%	11.7%	-8.4%	3.9%	-0.6%	1.3%	2.9%	4.5%	4.5%
- APAC West	-0.6%	13.4%	-11.4%	-11.7%	-2.7%	-12.0%	-5.6%	-8.2%	1.8%	2.5%	2.5%
Gross margin (%)	50.0%	50.4%	50.4%	51.0%	51.8%	51.4%	44.3%	50.1%	50.3%	50.5%	50.8%
- APAC East	58.0%	56.4%	60.0%	55.6%	62.6%	62.6%	60.2%	60.5%	62.0%	62.6%	63.1%
- APAC West	48.1%	49.0%	47.7%	49.9%	49.3%	47.6%	38.0%	47.0%	46.9%	47.0%	47.1%
SG&A/sales (%)	-32.7%	-32.0%	-33.6%	-30.0%	-32.0%	-35.1%	-43.4%	-34.5%	-35.2%	-34.9%	-34.5%
- APAC East	-37.0%	-37.0%	-36.1%	-35.5%	-41.3%	-36.0%	-36.0%	-37.2%	-36.8%	-36.6%	-36.4%
- APAC West	-31.7%	-30.8%	-32.9%	-28.6%	-29.8%	-34.8%	-46.3%	-33.7%	-34.8%	-34.3%	-33.9%
EBITDA (\$ mn)	1,932	2,023	1,807	485	498	438	167	1,588	1,606	1,685	1,769
- APAC East	346	323	403	96	80	122	82	379	407	434	462
- APAC West	1,587	1,700	1,405	389	418	316	86	1,209	1,199	1,252	1,306
EBITDA yoy (% , organic)	-5.2%	10.8%	-6.3%	-11.2%	-4.5%	-6.9%	-24.7%	-9.8%	-0.2%	4.7%	4.8%
- APAC East	23.9%	-10.1%	33.2%	24.4%	-26.5%	8.7%	-5.9%	-1.2%	7.1%	6.6%	6.6%
- APAC West	-10.6%	15.7%	-14.0%	-17.6%	1.4%	-11.9%	-40.0%	-12.4%	-2.6%	4.0%	4.2%
EBITDA margin (%)	29.8%	29.5%	28.9%	33.2%	29.7%	28.2%	15.6%	27.6%	26.7%	27.2%	27.7%
- APAC East	29.2%	26.0%	30.0%	32.5%	25.1%	31.1%	29.9%	29.7%	30.1%	30.7%	31.3%
- APAC West	30.0%	30.3%	28.6%	33.4%	30.8%	27.2%	9.9%	26.9%	25.7%	26.2%	26.6%
EBIT yoy (%)	-11.6%	8.6%	-15.3%	-18.9%	-5.4%	-9.2%	-69.6%	-15.0%	0.6%	7.1%	7.0%
Net profit	913	852	726	234	175	185	(105)	489	638	693	747
NP yoy (%)	-3.9%	-6.7%	-14.8%	-18.5%	-31.1%	-8.0%	-556.3%	-32.6%	30.5%	8.6%	7.7%
Net margin	14.1%	12.4%	11.6%	16.0%	10.4%	11.9%	-9.8%	8.5%	10.6%	11.2%	11.7%
OpCF	1,577	1,811	1,134					951	1,356	1,426	1,456
Capex	(494)	(498)	(379)					(307)	(396)	(406)	(415)
Dividend declared	501	701	750					750	750	750	750
Dividend payout (%)	55%	82%	103%					153%	117%	108%	100%
Dividend yield (on current price)								6.3%	6.3%	6.3%	6.3%

Source: Company data, J.P. Morgan estimates.

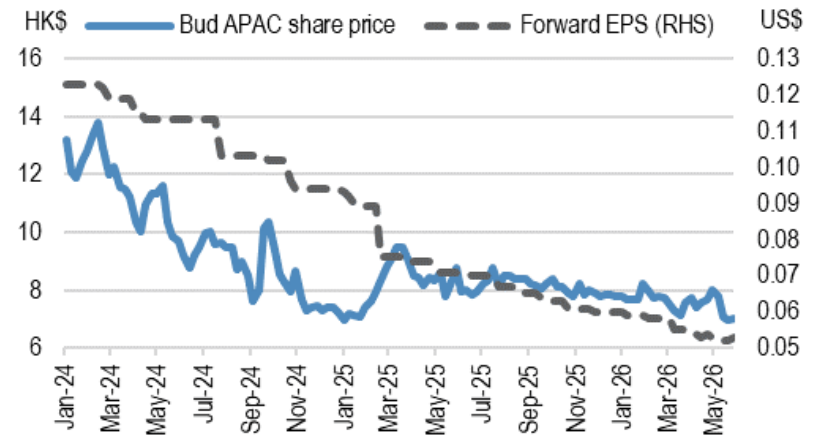
Bud APAC: Channel migration and early recovery in a shifting landscape

BUD APAC - Consensus EBIT revisions



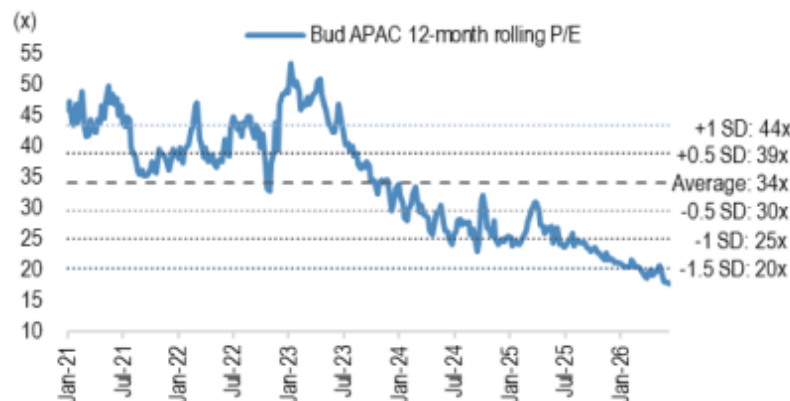
Source: Bloomberg Finance L.P. estimates.

BUD APAC - Share price vs consensus forward EPS



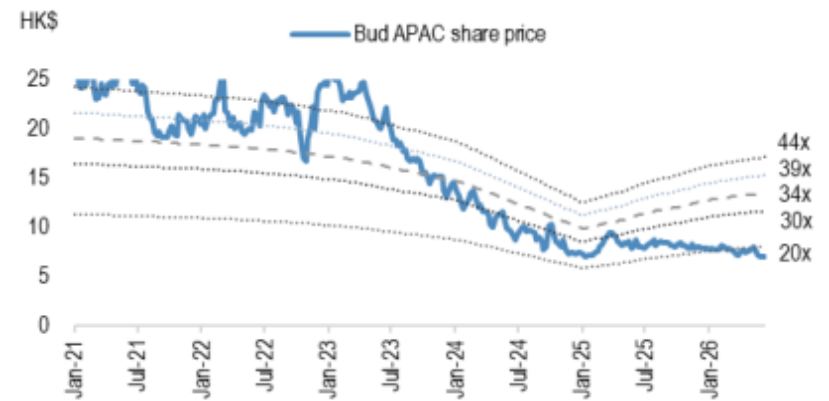
Source: Bloomberg Finance L.P.

BUD APAC 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

BUD APAC 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Tsingtao Brewery: Margin expansion on track

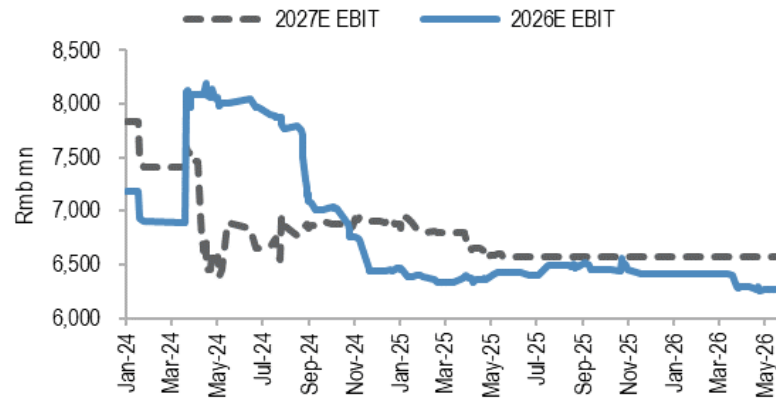
Tsingtao– Key operating and financial metrics

P&L (Rmb mn, FYE Dec 31)	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	2026E	2027E	2028E
Sales volume (mn L)	8,072	8,007	7,538	2,261	2,471	2,162	754	7,648	7,628	7,682	7,746
- Core brand (Tsingtao)	4,440	4,560	4,340	1,375	1,338	1,277	504	4,494	4,607	4,752	4,903
- Secondary brand (Laoshan)	3,632	3,447	3,198	886	1,133	885	250	3,154	3,021	2,930	2,842
Sales volume yoy (%)	1.8%	-0.8%	-5.9%	3.5%	1.0%	0.3%	0.1%	1.5%	-0.3%	0.7%	0.8%
- Core brand	2.6%	2.7%	-4.8%	4.0%	3.9%	4.2%	-0.2%	3.5%	2.5%	3.1%	3.2%
- Secondary brand	0.9%	-5.1%	-7.2%	2.8%	-2.2%	-4.8%	0.8%	-1.4%	-4.2%	-3.0%	-3.0%
ASP (Rmb/KL)	3,927	4,172	4,189	4,559	4,009	4,031	3,846	4,162	4,234	4,319	4,406
- Core brand	4,824	5,102	5,088					4,980	5,105	5,232	5,363
- Secondary brand	2,831	2,943	2,969					2,996	2,996	2,996	2,996
Price/mix growth (%)	4.9%	6.2%	0.4%	-0.7%	0.1%	-0.5%	-4.1%	-0.7%	1.7%	2.0%	2.0%
- Core brand	5.5%	5.8%	-0.3%					-2.1%	2.5%	2.5%	2.5%
- Secondary brand	3.2%	4.0%	0.9%					0.9%	0.0%	0.0%	0.0%
Gross sales	32,172	33,937	32,138	10,446	10,046	8,876	3,107	32,473	32,781	33,661	34,607
- Beer	31,697	33,406	31,579	10,307	9,907	8,716	2,900	31,830	32,301	33,181	34,127
* Core brand	21,417	23,263	22,083					22,382	23,519	24,863	26,298
* Secondary brand	10,280	10,143	9,495					9,448	9,050	8,778	8,515
- Other business	474	531	559	139	139	160	207	644	480	480	480
Gross sales yoy (%)	6.6%	5.5%	-5.3%	2.9%	1.3%	-0.2%	-2.3%	1.0%	0.9%	2.7%	2.8%
- Beer	6.8%	5.4%	-5.5%	2.8%	1.1%	-0.2%	-3.9%	0.8%	1.5%	2.7%	2.9%
* Core brand	8.2%	8.6%	-5.1%					1.4%	5.1%	5.7%	5.8%
* Secondary brand	4.1%	-1.3%	-6.4%					-0.5%	-4.2%	-3.0%	-3.0%
Gross margin (%)	31.8%	34.0%	35.6%	37.9%	41.4%	39.0%	16.7%	37.3%	37.9%	38.0%	38.1%
* Core brand	39.5%	40.5%	42.1%					42.9%	45.7%	45.7%	45.7%
* Secondary brand	15.0%	18.1%	19.5%					23.2%	15.8%	13.6%	10.2%
GP margin chg (bps)	30	220	150	120	310	150	(120)	170	60	20	-
SG&A / net sales (%)	-19.3%	-20.1%	-20.5%	-16.9%	-13.5%	-18.6%	-58.1%	-20.2%	-19.9%	-19.5%	-19.2%
Adjusted EBIT	4,270	4,975	4,994	2,144	2,692	1,770	(1,063)	5,543	5,843	6,177	6,441
- EBIT yoy (%)	22.3%	16.5%	0.4%	11.3%	7.7%	8.0%	0.7%	11.0%	5.4%	5.7%	4.3%
- EBIT margin (%)	14.3%	15.8%	16.8%	21.8%	29.0%	21.5%	-37.9%	18.4%	19.2%	19.8%	20.1%
- EBIT margin chg (bps)	180	140	100	170	180	160	-30	170	80	60	30
Adjusted EBITDA	5,396	6,157	6,235	2,468	3,015	2,097	(735)	6,845	7,197	7,529	7,791
- EBITDA yoy (%)	16.4%	14.1%	1.3%	10.3%	7.3%	7.7%	3.5%	9.8%	5.2%	4.6%	3.5%
- EBITDA margin (%)	18.1%	19.5%	20.9%	25.1%	32.5%	25.5%	-26.2%	22.7%	23.7%	24.1%	24.3%
- EBITDA margin chg (bps)	150	140	140	170	190	190	50	180	90	40	20
PBT	5,006	5,746	5,881	2,307	2,956	1,910	(883)	6,291	6,486	6,880	7,161
Net profit	3,711	4,268	4,345	1,710	2,194	1,370	(686)	4,588	4,810	5,134	5,363
- NP yoy (%)	17.6%	15.0%	1.8%	7.1%	7.3%	1.6%	-6.4%	5.6%	4.8%	6.7%	4.4%
- NP margin (%)	12.5%	13.5%	14.6%	17.4%	23.6%	16.7%	-24.5%	15.2%	15.8%	16.4%	16.7%

Source: Company data, J.P. Morgan estimates.

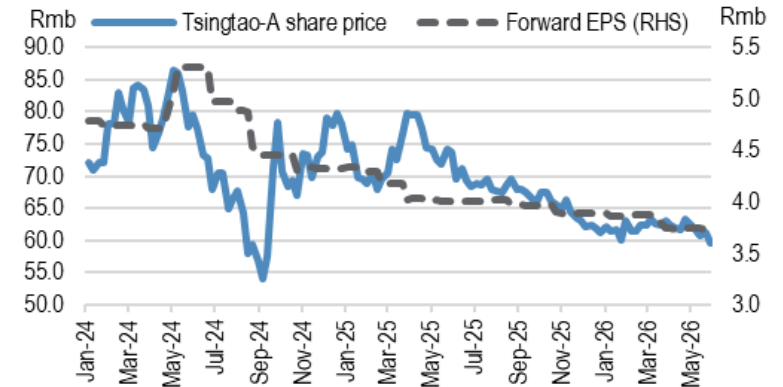
Tsingtao Brewery: Margin expansion on track

Tsingtao (A) - Consensus EBIT revisions



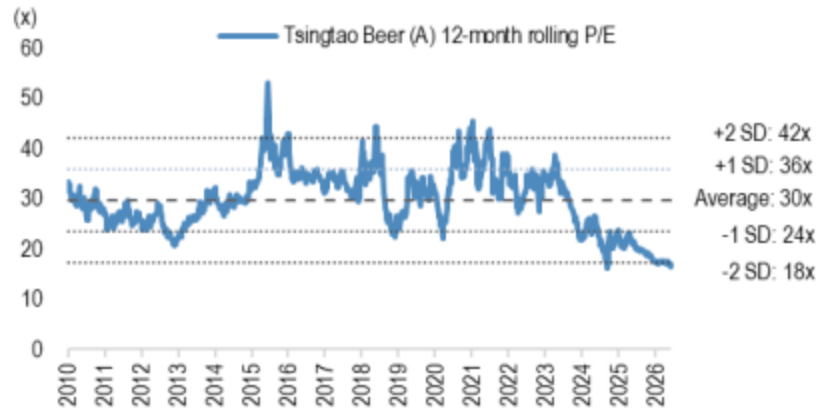
Source: Bloomberg Finance L.P. estimates.

Tsingtao (A) - Share price vs consensus forward EPS



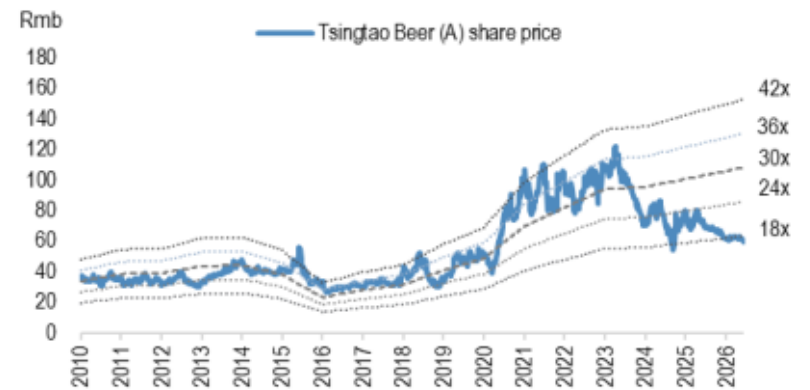
Source: Bloomberg Finance L.P.

Tsingtao (A) 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Tsingtao (A) 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

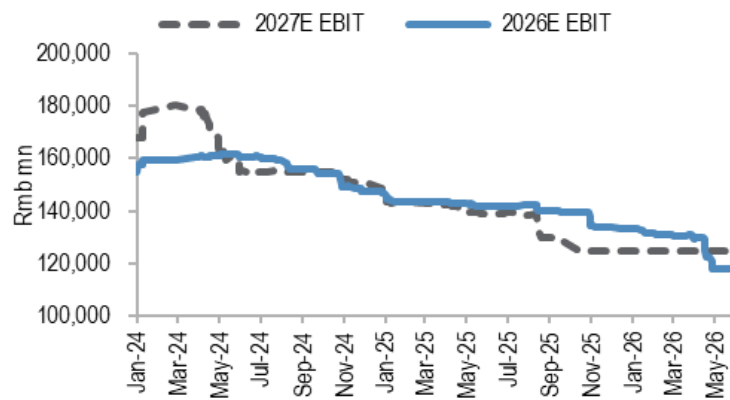
Moutai: DTC reform anchors early recovery; patience & catalysts needed

Moutai – Key operating and financial metrics

P&L, FYE Dec 31 (Rmb mn)	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	2026E	2027E	2028E
Gross sales (including Fin Sub)	127,554	150,560	174,144	51,443	39,650	39,810	41,150	172,054	173,704	184,865	195,819
- yoy growth	16.5%	18.0%	15.7%	10.7%	7.3%	0.3%	-19.3%	-1.2%	1.0%	6.4%	5.9%
Gross sales (ex Fin Sub)	124,100	147,694	170,899	50,601	38,788	39,064	40,384	168,838	170,412	181,314	191,884
- Premium liquor	107,834	126,589	145,928	43,557	32,032	34,924	35,986	146,500	153,092	162,400	171,524
- Series liquor	15,939	20,630	24,684	7,022	6,740	4,122	4,390	22,275	17,250	18,837	20,276
- Others (Moutai Hotel & Moutai ice cream)	328	475	287	21	16	19	8	64	70	77	85
Gross sales yoy (%)	16.9%	19.0%	15.7%	10.5%	7.3%	0.6%	-19.4%	-1.2%	0.9%	6.4%	5.8%
- Premium liquor	15.4%	17.4%	15.3%	9.7%	11.0%	7.3%	-19.7%	0.4%	4.5%	6.1%	5.6%
- Series liquor	26.5%	29.4%	19.7%	18.3%	-6.5%	-34.0%	-17.0%	-9.8%	-22.6%	9.2%	7.6%
Sales volume yoy (%)	2.6%	7.5%	13.7%					2.1%	0.1%	4.8%	4.4%
- Premium liquor	4.5%	11.1%	10.2%					0.7%	10.0%	4.0%	4.0%
- Series liquor (incl 1935)	0.3%	2.9%	18.5%					3.9%	-12.0%	6.0%	5.0%
ASP yoy (%)	13.7%	10.7%	1.9%					-3.1%	0.8%	1.5%	1.4%
- Premium liquor	10.4%	5.7%	4.6%					-0.3%	-5.0%	2.0%	1.6%
- Series liquor	26.1%	25.7%	1.0%					-13.1%	-12.0%	3.0%	2.5%
Direct sales channel:											
- % of total revenue	39.9%	45.7%	43.9%					50.1%	56.4%	57.2%	56.2%
- % of total volume	16.4%	21.3%	21.9%					25.0%	33.5%	33.7%	33.2%
Net sales	105,604	125,459	143,973	43,436	32,011	32,361	33,676	141,484	142,803	151,940	160,798
Net sales yoy (%)	16.2%	18.8%	14.8%	12.6%	7.2%	-0.2%	-21.9%	-1.7%	0.9%	6.4%	5.8%
COGS	(10,093)	(11,867)	(13,789)	(4,061)	(3,716)	(3,406)	(3,708)	(14,892)	(17,044)	(18,212)	(19,331)
Gross profit	95,511	113,592	130,184	39,375	28,295	28,955	29,968	126,592	125,759	133,727	141,466
- Gross margin (% net sales)	90.4%	90.5%	90.4%	90.6%	88.4%	89.5%	89.0%	89.5%	88.1%	88.0%	88.0%
- Gross margin (% of gross sales)	91.9%	92.0%	91.9%	92.0%	90.4%	91.3%	90.8%	91.2%	90.0%	90.0%	89.9%
SG&A	(12,445)	(14,535)	(15,173)	(3,442)	(3,587)	(3,066)	(5,669)	(15,764)	(14,285)	(14,743)	(15,602)
SG&A / net sales (%)	-11.8%	-11.6%	-10.5%	-7.9%	-11.2%	-9.5%	-16.8%	-11.1%	-10.0%	-9.7%	-9.7%
SG&A / gross sales (%)	-10.0%	-9.8%	-8.9%	-6.8%	-9.2%	-7.8%	-14.0%	-9.3%	-8.4%	-8.1%	-8.1%
Operating profits	83,065	99,057	115,010	35,933	24,707	25,888	24,299	110,828	111,475	118,984	125,864
- OP yoy (%)	17.6%	19.3%	16.1%	12.4%	6.6%	2.1%	-29.6%	-3.6%	0.6%	6.7%	5.8%
- OP margin (% of net sales)	78.7%	79.0%	79.9%	82.7%	77.2%	80.0%	72.2%	78.3%	78.1%	78.3%	78.3%
- OP margin (% of gross sales)	66.9%	67.1%	67.3%	71.0%	63.7%	66.3%	60.2%	65.6%	65.4%	65.6%	65.6%
Profit before tax	87,701	103,663	119,639	37,031	25,747	26,625	25,352	114,755	115,646	123,644	131,058
Net profits	62,716	74,734	86,228	26,847	18,555	19,224	17,693	82,320	82,963	88,701	94,020
- NP yoy (%)	19.6%	19.2%	15.4%	11.6%	5.2%	0.5%	-30.3%	-4.5%	0.8%	6.9%	6.0%
- NP margin (% of net sales)	59.4%	59.6%	59.9%	61.8%	58.0%	59.4%	52.5%	58.2%	58.1%	58.4%	58.5%
- NP margin (% of gross sales)	50.5%	50.6%	50.5%	53.1%	47.8%	49.2%	43.8%	48.8%	48.7%	48.9%	49.0%
Cash flow quality:											
Cash sales	140,692	163,700	182,645	56,144	38,943	43,705	45,199	183,990			
- yoy growth (%)	17.9%	16.4%	11.6%	21.4%	-4.6%	2.6%	-14.7%	0.7%			
Deferred revenue ("customer advance")	15,472	14,126	9,592	8,788	5,507	7,749	8,007	8,007			
- yoy growth (%)	21.6%	-8.7%	-32.1%	-7.7%	-44.9%	-22.0%	-16.5%	-16.5%			

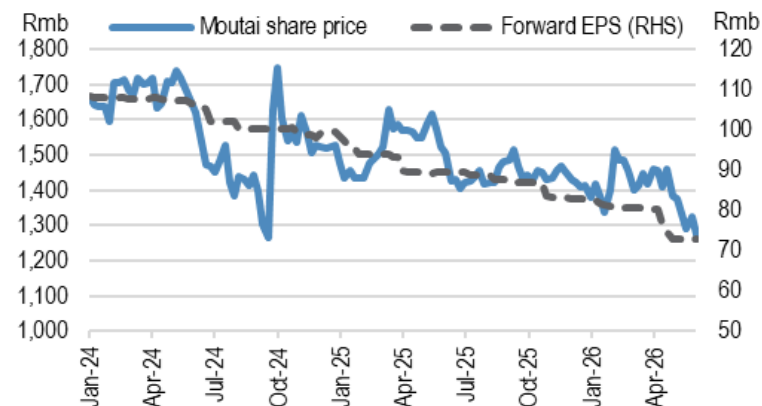
Moutai: DTC reform anchors early recovery; patience & catalysts needed

Moutai - Consensus EBIT revisions



Source: Bloomberg Finance L.P. estimates.

Moutai - Share price vs consensus forward EPS



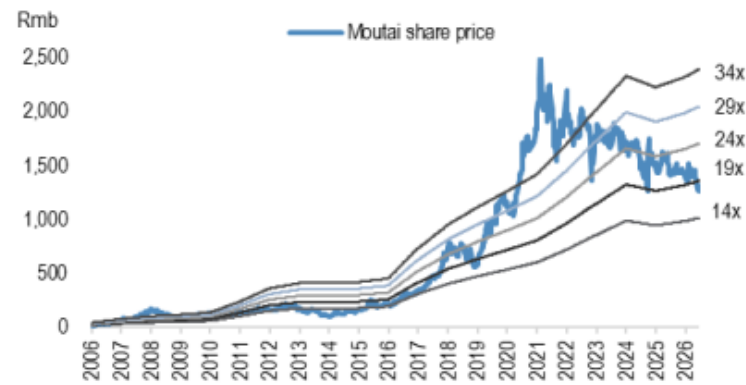
Source: Bloomberg Finance L.P.

Moutai 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Moutai 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Wuliangye: “Accounting error” corrected, trust needs to be rebuilt

Wuliangye’s accounting error correction and our reading

P&L and balance sheet items were restated, while cash flow statement was not restated

P&L, FYE Dec 31 (Rmb mn)	Restated					Previously				Change				Change %			
	1Q25	2Q25	3Q25	9M25	FY25	1Q25	2Q25	3Q25	9M25	1Q25	2Q25	3Q25	9M25	1Q25	2Q25	3Q25	9M25
Gross sales	17,086	6,424	7,128	30,638	40,529	36,940	15,831	8,174	60,945	(19,855)	(9,406)	(1,047)	(30,308)	-54%	-59%	-13%	-50%
Net sales	11,681	3,978	5,863	21,521	29,490	31,535	13,384	6,910	51,829	(19,855)	(9,406)	(1,047)	(30,308)	-63%	-70%	-15%	-58%
COGS	(3,576)	(1,628)	(2,234)	(7,437)	(9,102)	(8,222)	(4,006)	(3,054)	(15,282)					-57%	-59%	-27%	-51%
Gross profit	8,105	2,350	3,630	14,084	20,388	23,313	9,378	3,856	36,547	(15,209)	(7,028)	(227)	(22,463)	-65%	-75%	-6%	-61%
- Gross margin (% of net sales)	69.4%	59.1%	61.9%	65.4%	69.1%	73.9%	70.1%	55.8%	70.5%								
SG&A	(2,641)	(2,781)	(1,929)	(7,351)	(11,174)	(3,554)	(3,764)	(1,929)	(9,248)	914	983	0	1,897	-26%	-26%	0%	-21%
Operating profits	5,464	(431)	1,700	6,733	9,214	19,759	5,613	1,927	27,300	(14,295)	(6,045)	(227)	(20,567)	-72%	-108%	-12%	-75%
Income tax expense	(1,489)	(9)	(584)	(2,083)	(2,882)	(5,063)	(1,521)	(641)	(7,224)	3,574	1,511	57	5,142	-71%	-99%	-9%	-71%
Minus: Minority interest	230	26	56	312	363	508	136	57	701	(277)	(109)	(1)	(388)	-55%	-81%	-2%	-55%
Net profits	4,416	208	1,851	6,475	8,954	14,860	4,632	2,019	21,511	(10,444)	(4,424)	(169)	(15,037)	-70%	-96%	-8%	-70%
- Net margin (% of net sales)	37.8%	5.2%	31.6%	30.1%	30.4%	47.1%	34.6%	29.2%	41.5%								

BS, as of Dec 31 (Rmb mn)	Restated					Previously				Change				Chg%			
	1Q25	2Q25	3Q25	9M25	FY25	1Q25	2Q25	3Q25	9M25	1Q25	2Q25	3Q25	9M25	1Q25	2Q25	3Q25	9M25
Current assets	178,844	178,499	166,127	166,127	164,752	175,463	170,504	157,724	157,724	3,381	7,995	8,403	8,403	2%	5%	5%	5%
Other current assets	3,499	8,187	8,547	8,547	7,968	118	191	144	144	3,381	7,995	8,403	8,403	2860%	4177%	5833%	5833%
* Input VAT to be deducted					135												
* Prepaid VAT and corp income tax					2,926												
* Supervised goods 监管商品					4,907												
Non-current assets	23,606	24,481	25,054	25,054	25,233	22,517	22,911	23,349	23,349	1,089	1,570	1,705	1,705	5%	7%	7%	7%
Deferred income tax assets	4,165	4,720	4,901	4,901	4,813	3,076	3,150	3,196	3,196	1,089	1,570	1,705	1,705	35%	50%	53%	53%
Total assets	202,450	202,981	191,181	191,181	189,984	197,980	193,415	181,073	181,073	4,470	9,565	10,108	10,108	2%	5%	6%	6%
Current liabilities	60,683	73,497	59,906	59,906	67,352	45,492	48,677	34,373	34,373	15,191	24,820	25,533	25,533	33%	51%	74%	74%
Tax payable	5,683	3,931	1,544	1,544	2,093	8,168	4,540	1,556	1,556	(2,485)	(609)	(12)	(12)	-30%	-13%	-1%	-1%
Other payable	10,616	17,009	7,449	7,449	10,186	11,530	18,905	9,346	9,346	(914)	(1,897)	(1,897)	(1,897)	-8%	-10%	-20%	-20%
Other current liabilities	19,093	27,326	27,827	27,827	27,029	504	423	386	386	18,589	26,903	27,442	27,442	2048%	3378%	3636%	3636%
* Output tax to be transferred					714												
* Payables for supervised goods 应付监管商品款项					26,315												
Total liabilities	61,408	74,104	60,406	60,406	67,804	46,217	49,284	34,873	34,873	15,191	24,820	25,533	25,533	33%	50%	73%	73%
Ownership equity	137,702	125,608	127,459	127,459	119,932	148,146	140,476	142,496	142,496	(10,444)	(14,868)	(15,037)	(15,037)	-7%	-11%	-11%	-11%
Retained earning	92,073	79,980	81,830	81,830	70,419	102,517	94,848	96,867	96,867	(10,444)	(14,868)	(15,037)	(15,037)	-10%	-16%	-16%	-16%
Minority interest	3,340	3,268	3,317	3,317	2,248	3,617	3,655	3,705	3,705	(277)	(387)	(388)	(388)	-8%	-11%	-10%	-10%
Shareholder equity	141,041	128,876	130,776	130,776	122,181	151,763	144,131	146,200	146,200	(10,721)	(15,255)	(15,425)	(15,425)	-7%	-11%	-11%	-11%

* Supervised goods 监管商品 4,907

* Payables for supervised goods 应付监管商品款项 26,315

* Net payables 21,408

* Deducted net sales 30,308

Revenue was recognized, but the goods are still sitting in the company's warehouse (valued at production cost)

Payment was received but goods were not shipped, so revenue cannot be recognized (valued at ex-factory price)

Revenue reversed for the portion where goods have not been shipped

Source: Company data, J.P. Morgan estimates.

Wuliangye: “Accounting error” corrected, trust needs to be rebuilt

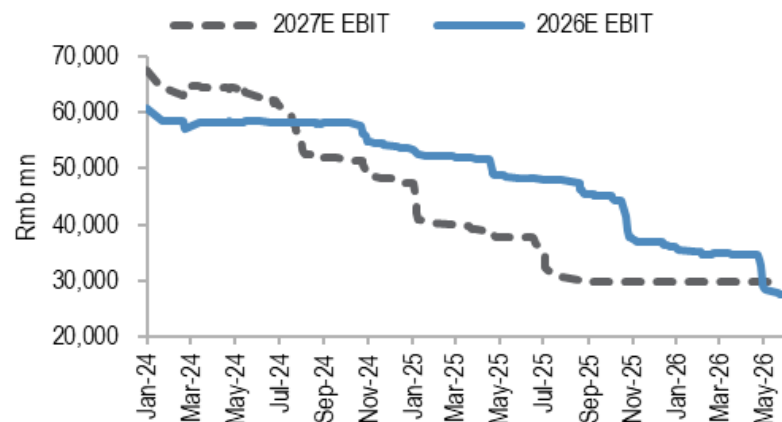
Wuliangye – Key operating and financial metrics

P&L, FYE Dec 31 (Rmb mn)	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	2026E	2027E	2028E
Gross sales	73,969	83,272	89,175	17,086	6,424	7,128	9,891	40,529	54,418	57,456	60,486
- Premium liquor	55,335	62,804	67,875					27,936	40,878	43,435	45,967
- Series liquor	12,227	13,643	15,251					9,168	10,286	10,702	11,134
- Other business	6,406	6,825	6,048					3,425	3,253	3,318	3,385
Gross sales yoy (%)	11.7%	12.6%	7.1%	-50.9%	-59.4%	-58.7%	-53.5%	-54.6%	34.3%	5.6%	5.3%
- Premium liquor	12.7%	13.5%	8.1%					-58.8%	46.3%	6.3%	5.8%
- Series liquor	-3.1%	11.6%	11.8%					-39.9%	12.2%	4.0%	4.0%
Sales volume yoy (%)	-30.0%	25.1%	1.8%					-30.3%	14.5%	2.6%	2.6%
- Premium liquor	12.2%	18.0%	7.1%					-53.0%	36.0%	5.0%	5.0%
- Series liquor	-38.1%	27.6%	0.1%					-22.5%	10.0%	2.0%	2.0%
ASP yoy (%)	56.5%	-9.6%	6.8%					-36.0%	20.5%	3.1%	2.8%
- Premium liquor	0.4%	-3.8%	0.9%					-12.4%	7.6%	1.2%	0.8%
- Series liquor	56.6%	-12.6%	11.7%					-22.5%	2.0%	2.0%	2.0%
Net sales	63,220	70,740	76,134	11,681	3,978	5,863	7,969	29,490	46,410	48,986	51,556
Net sales yoy (%)	12.1%	11.9%	7.6%	-61.0%	-70.5%	-60.1%	-55.6%	-61.3%	57.4%	5.6%	5.2%
COGS	(18,178)	(20,157)	(20,461)	(3,576)	(1,628)	(2,234)	(4,339)	(9,102)	(12,851)	(13,235)	(13,810)
Gross profit	45,041	50,583	55,673	8,105	2,350	3,630	3,630	20,388	33,558	35,751	37,746
- Gross margin (% of net sales)	71.2%	71.5%	73.1%	69.4%	59.1%	61.9%	45.5%	69.1%	72.3%	73.0%	73.2%
- Gross margin (% of gross sales)	75.4%	75.8%	77.1%	79.1%	74.7%	68.7%	56.1%	77.5%	76.4%	77.0%	77.2%
SG&A	(10,148)	(11,438)	(14,653)	(2,641)	(2,781)	(1,929)	(3,823)	(11,174)	(13,981)	(11,892)	(11,020)
SG&A / net sales (%)	-16.1%	-16.2%	-19.2%	-22.6%	-69.9%	-32.9%	-48.0%	-37.9%	-30.1%	-24.3%	-21.4%
SG&A / gross sales (%)	-13.7%	-13.7%	-16.4%	-15.5%	-43.3%	-27.1%	-38.7%	-27.6%	-25.7%	-20.7%	-18.2%
Operating profits	34,893	39,146	41,020	5,464	(431)	1,700	(194)	9,214	19,577	23,860	26,726
- OP yoy (%)	14.3%	12.2%	4.8%	-70.8%	-107.1%	-77.0%	-102.2%	-77.5%	112.5%	21.9%	12.0%
- OP margin (% of net sales)	55.2%	55.3%	53.9%	46.8%	-10.8%	29.0%	-2.4%	31.2%	42.2%	48.7%	51.8%
- OP margin (% of gross sales)	47.2%	47.0%	46.0%	32.0%	-6.7%	23.9%	-2.0%	22.7%	36.0%	41.5%	44.2%
PBT	37,104	41,913	44,163	6,136	243	2,491	655	12,199	22,260	26,456	29,357
Net profits	26,691	30,211	31,853	4,416	208	1,851	(194)	8,954	16,087	19,120	21,217
- NP yoy (%)	14.2%	13.2%	5.4%	-68.6%	-95.9%	-68.5%	-102.8%	-71.9%	79.7%	18.9%	11.0%
- Net margin (% of net sales)	42.2%	42.7%	41.8%	37.8%	5.2%	31.6%	-2.4%	30.4%	34.7%	39.0%	41.2%
- NP margin (% of gross sales)	36.1%	36.3%	35.7%	25.8%	3.2%	26.0%	-2.0%	22.1%	29.6%	33.3%	35.1%
Cash flow quality:											
Cash sales yoy (%)	1%	29%	-3%	76%	12%	-75%	128%	-10%			
OpCF yoy (%)	-9%	71%	-19%	n.m.	18%	-118%	-65%	-12%			
A/R yoy (%)	14%	-51%	39%	-31%	-80%	-56%	-52%	-52%			
Customer advance yoy (%)	-5%	-44%	70%	101%	23%	31%	15%	15%			
Dividend payout	55.0%	60.0%	70.0%					223.5%	124.3%	104.6%	94.3%
Dividend yield								0.0%	6.6%	6.6%	6.6%
ROE	25.1%	24.8%	24.2%					7.1%	13.6%	16.5%	18.3%
Net cash/equity	81.0%	89.1%	95.6%					105.9%	101.5%	101.9%	103.3%

Source: Company data, J.P. Morgan estimates.

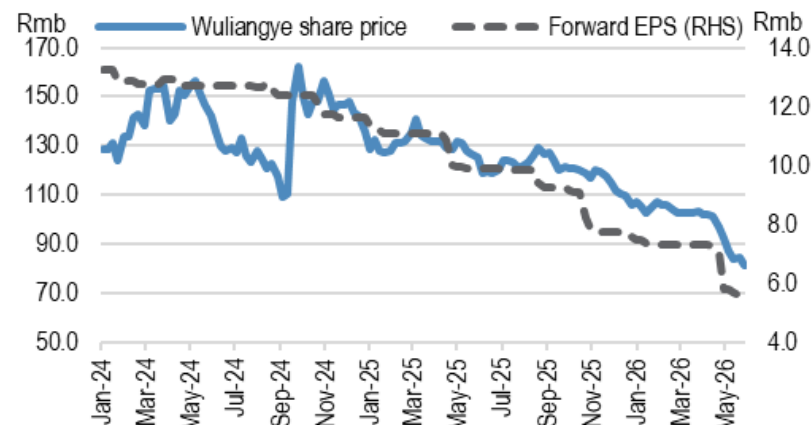
Wuliangye: “Accounting error” corrected, trust needs to be rebuilt

Wuliangye - Consensus EBIT revisions



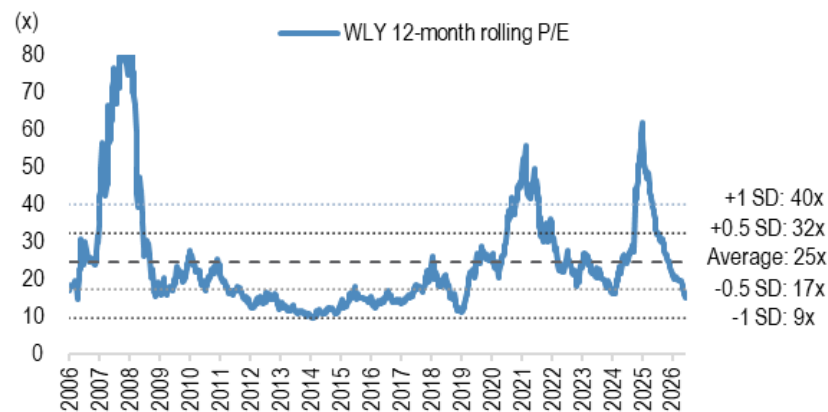
Source: Bloomberg Finance L.P. estimates.

Wuliangye - Share price vs consensus forward EPS



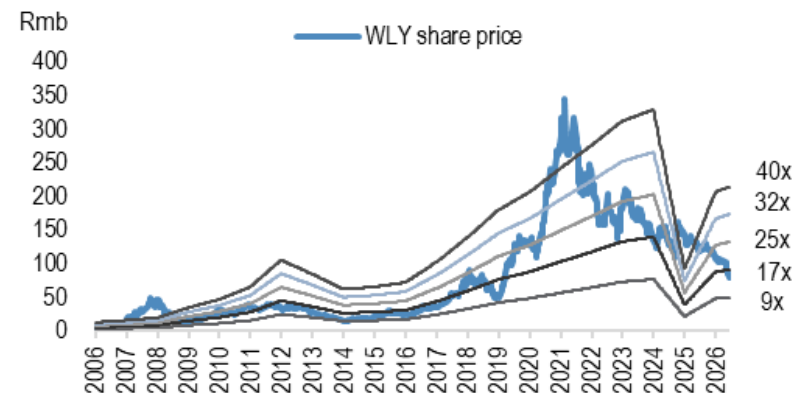
Source: Bloomberg Finance L.P.

Wuliangye 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Wuliangye 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Luzhou Laojiao (UW): Mid-end strength meets sector uncertainty

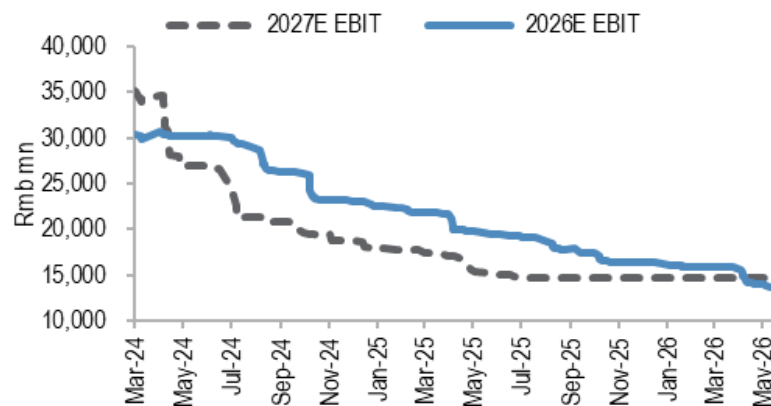
Luzhou Laojiao – Key operating and financial metrics

P&L (Rmb mn, FYE Dec 31)	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	2026E	2027E	2028E
Gross sales	25,124	30,233	31,196	9,352	7,102	6,674	2,604	25,731	23,851	24,722	26,127
- Premium liquor / Guojiao	16,229	20,611	20,817	6,157	4,730	4,472	1,711	17,070	17,619	18,361	19,569
- Mid-end liquor / Tequ	5,904	6,231	6,768	2,228	1,932	1,530	208	5,898	3,524	3,647	3,812
- Economy liquor	2,634	3,236	3,467	950	400	638	650	2,638	2,593	2,593	2,618
- Others	357	156	144	17	39	34	35	125	115	121	127
Gross sales yoy (%)	21.7%	20.3%	3.2%	1.8%	-8.0%	-9.8%	-62.2%	-17.5%	-7.3%	3.7%	5.7%
- Premium liquor	18.0%	27.0%	1.0%	1.7%	-10.5%	-10.0%	-62.0%	-18.0%	3.2%	4.2%	6.6%
- Mid-end liquor	27.1%	5.5%	8.6%	1.7%	14.9%	-9.0%	-82.9%	-12.9%	-40.3%	3.5%	4.5%
- Economy liquor	30.5%	22.9%	7.2%	8.0%	-46.4%	-9.0%	-43.0%	-23.9%	-1.7%	0.0%	1.0%
Sales volume yoy (%)	10.7%	11.7%	7.8%					-17.0%	-13.7%	1.5%	2.3%
- Premium liquor	16.0%	22.0%	3.0%					3.0%	-16.0%	4.0%	4.0%
- Mid-end liquor	17.3%	-7.8%	21.0%					-21.2%	-20.0%	3.5%	4.0%
- Economy liquor	6.5%	19.6%	3.5%					-19.7%	-10.0%	0.0%	1.0%
ASP yoy (%)	9.5%	8.7%	-4.2%					-0.6%	7.4%	2.1%	3.4%
- Premium liquor	1.7%	4.1%	-1.9%					-2.2%	0.0%	0.2%	2.5%
- Mid-end liquor	8.4%	14.5%	-10.2%					-10.2%	-8.0%	0.0%	0.5%
- Economy liquor	22.5%	2.7%	3.5%					3.5%	0.0%	0.0%	0.0%
Net sales	21,600	26,100	26,442	8,262	6,009	6,056	1,476	21,803	20,210	20,948	22,139
Net sales yoy (%)	21.5%	20.8%	1.3%	2.7%	-11.8%	-9.7%	-69.7%	-17.5%	-7.3%	3.7%	5.7%
COGS	(3,370)	(3,537)	(3,888)	(1,262)	(862)	(856)	(461)	(3,442)	(3,451)	(3,477)	(3,583)
Gross profit	18,230	22,563	22,554	7,001	5,146	5,200	1,015	18,362	16,760	17,471	18,556
- GP margin (% of net sales)	84.4%	86.4%	85.3%	84.7%	85.6%	85.9%	68.7%	84.2%	82.9%	83.4%	83.8%
- GP margin (% of gross sales)	86.6%	88.3%	87.5%	86.5%	87.9%	87.2%	82.3%	86.6%	85.5%	85.9%	86.3%
SG&A	(4,817)	(5,340)	(4,900)	(993)	(1,038)	(1,198)	(1,187)	(4,415)	(3,965)	(4,043)	(4,100)
SG&A / net sales (%)	-22.3%	-20.5%	-18.5%	-12.0%	-17.3%	-19.8%	-80.4%	-20.3%	-19.6%	-19.3%	-18.5%
SG&A / gross sales (%)	-19.2%	-17.7%	-15.7%	-10.6%	-14.6%	-17.9%	-45.6%	-17.2%	-16.6%	-16.4%	-15.7%
Operating profits	13,413	17,223	17,654	6,008	4,108	4,002	(172)	13,946	12,794	13,428	14,455
- OP yoy growth (%)	33.7%	28.4%	2.5%	0.2%	-13.0%	-13.5%	-107.5%	-21.0%	-8.3%	5.0%	7.7%
- OP margin (% of net sales)	62.1%	66.0%	66.8%	72.7%	68.4%	66.1%	-11.7%	64.0%	63.3%	64.1%	65.3%
- OP margin (% of gross sales)	53.4%	57.0%	56.6%	64.2%	57.9%	60.0%	-6.6%	54.2%	53.6%	54.3%	55.3%
PBT	13,855	17,806	18,205	6,130	4,281	4,177	66	14,654	13,314	13,944	15,058
Net profit	10,365	13,246	13,473	4,593	3,070	3,099	68	10,831	9,902	10,370	11,199
- NP yoy growth (%)	30.3%	27.8%	1.7%	0.4%	-11.1%	-13.1%	-96.4%	-19.6%	-8.6%	4.7%	8.0%
- Net margin (% of net sales)	48.0%	50.8%	51.0%	55.6%	51.1%	51.2%	4.6%	49.7%	49.0%	49.5%	50.6%
- Net margin (% of gross sales)	41.3%	43.8%	43.2%	49.1%	43.2%	46.4%	2.6%	42.1%	41.5%	41.9%	42.9%
Cash flow quality:											
Cash sales yoy (%)	15%	22%	27%	-7%	-15%	-2%	-84%	-31%			
OpCF yoy (%)	7%	29%	80%	-24%	-29%	-11%	-140%	-63%			
A/R yoy (%)	-4%	30%	-70%	-77%	-65%	-73%	-19%	-19%			
Customer advance yoy (%)	-27%	4%	49%	21%	51%	45%	-15%	-15%			
Dividend payout	60.0%	60.0%	65.0%					60.0%	75.0%	75.0%	75.0%
Dividend yield									6.1%	6.4%	6.9%
ROE	33.3%	35.0%	30.4%					22.3%	19.2%	19.0%	19.4%
Net gearing	-33.6%	-34.7%	-50.7%					-41.5%	-43.7%	-48.4%	-53.2%

Source: Company data, J.P. Morgan estimates.

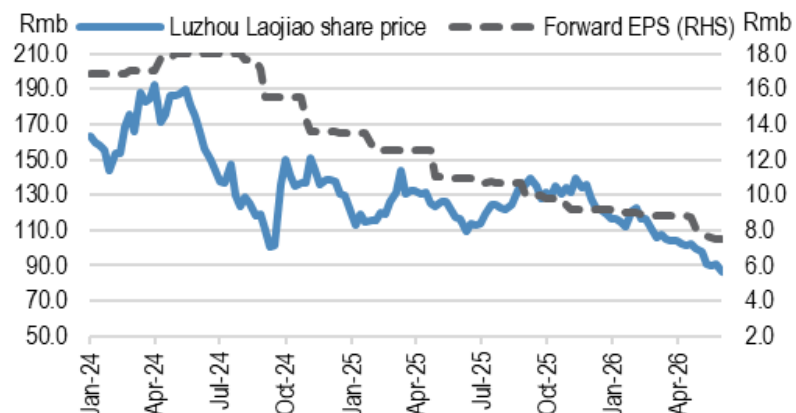
Luzhou Laojiao (UW): Mid-end strength meets sector uncertainty

Laojiao - Consensus EBIT revisions



Source: Bloomberg Finance L.P. estimates.

Laojiao - Share price vs consensus forward EPS



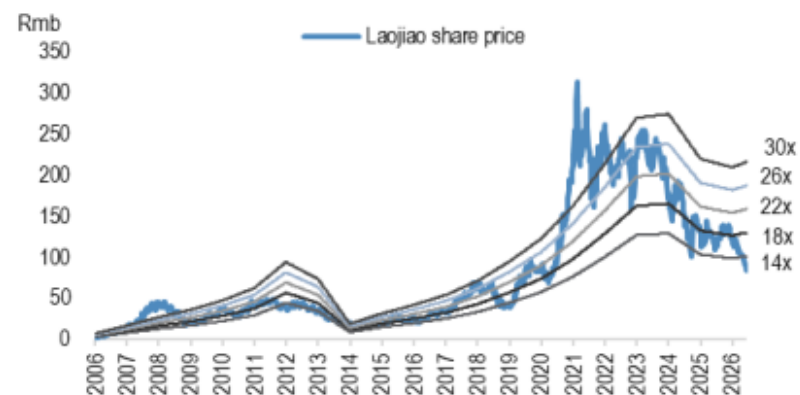
Source: Bloomberg Finance L.P.

Laojiao 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Laojiao 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Yanghe (UW): Inventory overhang and weak recovery limit upside

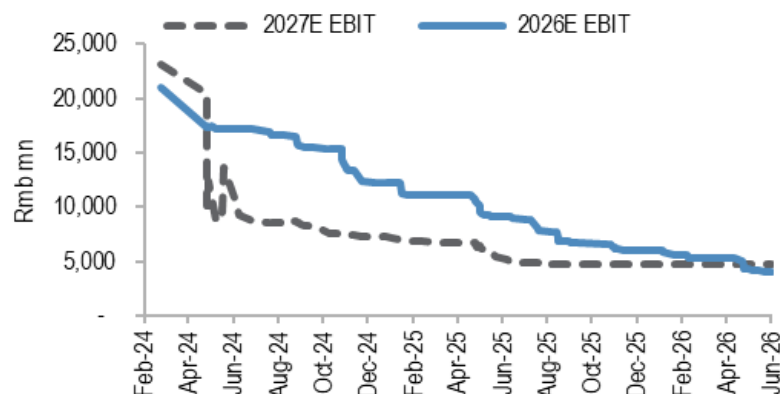
Yanghe – Key operating and financial metrics

P&L, FYE Dec 31 (Rmb mn)	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	2026E	2027E	2028E
Gross revenue	30,105	33,126	28,876	11,066	3,729	3,295	1,121	19,211	15,973	16,959	17,857
- Mid/high-end liquor	26,227	28,539	24,317					16,542	14,061	14,905	15,650
- Economy liquor	3,273	3,950	3,931					2,234	1,564	1,689	1,824
- Others	605	637	628					435	348	365	383
Gross revenue yoy (%)	18.8%	10.0%	-12.8%	-31.9%	-43.7%	-29.0%	-17.6%	-33.5%	-16.9%	6.2%	5.3%
- Mid/high-end liquor	21.9%	8.8%	-14.8%					-32.0%	-15.0%	6.0%	5.0%
- Economy liquor	5.0%	20.7%	-0.5%					-43.2%	-30.0%	8.0%	8.0%
Sales volume yoy (%)	6.2%	-14.9%	-16.3%					-26.0%	-10.0%	0.0%	5.0%
ASP yoy (%)	13.1%	29.8%	3.9%					-10.1%	-7.5%	6.2%	0.3%
Net revenue	25,717	27,857	24,050	9,333	3,047	2,643	770	15,793	13,212	14,111	14,858
Net revenue yoy (%)	21.3%	8.3%	-13.7%	-31.6%	-47.5%	-30.7%	-0.8%	-34.3%	-16.3%	6.8%	5.3%
COGS	(7,646)	(8,200)	(7,751)	(2,701)	(995)	(1,531)	(228)	(5,456)	(4,783)	(4,945)	(5,042)
Gross profit	18,071	19,657	16,299	6,632	2,052	1,112	542	10,338	8,429	9,166	9,816
- Gross margin (% of net revenue)	70.3%	70.6%	67.8%	71.1%	67.3%	42.1%	70.4%	65.5%	63.8%	65.0%	66.1%
- Gross margin (% of gross revenue)	74.6%	75.2%	73.2%	75.6%	73.3%	53.5%	79.6%	71.6%	70.1%	70.8%	71.8%
SG&A expense	(6,368)	(7,436)	(7,546)	(1,874)	(1,213)	(1,708)	(2,346)	(7,140)	(5,988)	(6,254)	(6,288)
SG&A / net revenue (%)	-24.8%	-26.7%	-31.4%	-20.1%	-39.8%	-64.6%	-304.5%	-45.2%	-45.3%	-44.3%	-42.3%
SG&A / gross revenue (%)	-21.2%	-22.4%	-26.1%	-16.9%	-32.5%	-51.8%	-209.3%	-37.2%	-37.5%	-36.9%	-35.2%
Operating profits	11,703	12,221	8,753	4,758	840	(596)	(1,804)	3,198	2,441	2,912	3,528
- OP yoy (%)	25.6%	4.4%	-28.4%	-39.7%	-64.0%	-226.4%	-7.0%	-63.5%	-23.7%	19.3%	21.2%
- OP margin (% of net revenue)	45.5%	43.9%	36.4%	51.0%	27.6%	-22.6%	-234.1%	20.2%	18.5%	20.6%	23.7%
- OP margin (% of gross revenue)	38.9%	36.9%	30.3%	43.0%	22.5%	-18.1%	-160.9%	16.6%	15.3%	17.2%	19.8%
PBT	12,503	13,218	9,143	4,841	1,087	(429)	(2,036)	3,464	3,019	3,528	4,190
- PBT yoy (%)	25.7%	5.7%	-30.8%	-40.1%	-57.3%	-151.4%	-12.1%	-62.1%	-12.8%	16.8%	18.8%
- PBT margin (% of net revenue)	48.6%	47.4%	38.0%	51.9%	35.7%	-16.2%	-264.2%	21.9%	22.9%	25.0%	28.2%
Net profits	9,378	10,016	6,673	3,637	707	(369)	(1,769)	2,206	2,279	2,661	3,157
- NP yoy (%)	24.9%	6.8%	-33.4%	-39.9%	-62.7%	-158.4%	7.2%	-66.9%	3.3%	16.7%	18.7%
- Net margin (% of net revenue)	36.5%	36.0%	27.7%	39.0%	23.2%	-13.9%	-229.6%	14.0%	17.3%	18.9%	21.3%
- Net margin (% of gross revenue)	31.2%	30.2%	23.1%	32.9%	18.9%	-11.2%	-157.8%	11.5%	14.3%	15.7%	17.7%
Cash flow quality:											
Cash sales	30,888	34,854	30,814	9,805	2,573	4,660	7,718	19,412			
- yoy growth (%)	-16.1%	12.8%	-11.6%	-24.0%	-47.5%	-27.4%	17.3%	-37.0%			
Account & notes receivable	1,194	792	1,513	529	833	358	190	190			
- yoy growth (%)	34.5%	-33.7%	91.2%	-43.3%	-10.1%	-22.7%	-87.4%	-87.4%			
Deferred revenue	13,742	11,105	10,344	7,024	5,878	6,424	7,529	7,529			
- yoy growth (%)	-13.1%	-19.2%	-6.9%	20.8%	49.3%	29.4%	-27.2%	-27.2%			

Source: Company data, J.P. Morgan estimates.

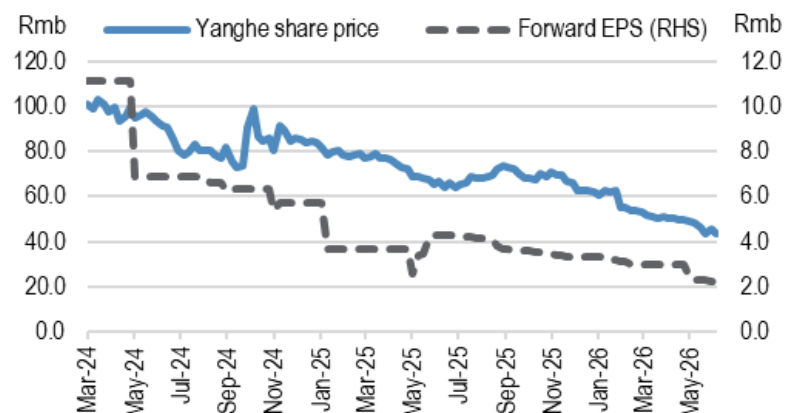
Yanghe (UW): Inventory overhang and weak recovery limit upside

Yanghe - Consensus EBIT revisions



Source: Bloomberg Finance L.P. estimates.

Yanghe - Share price vs consensus forward EPS



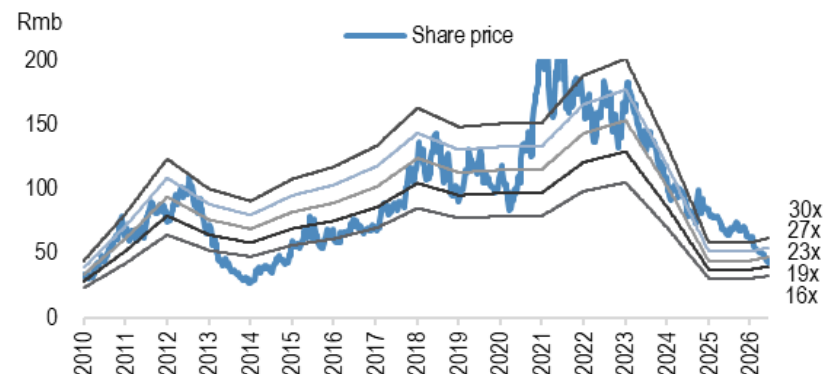
Source: Bloomberg Finance L.P.

Yanghe 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Yanghe 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

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